Annual Report 2012

بنك أبوظبي الوطني
NATIONAL BANK OF ABU DHABI



The Late His Highness Sheikh Zayed Bin Sultan Al Nahyan

First President of the United Arab Emirates



His Highness Sheikh Khalifa Bin Zayed Al Nahyan

President of the United Arab Emirates and Ruler of Abu Dhabi



His Highness Lt. General Sheikh Mohamed Bin Zayed Al Nahyan

Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces



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Vision, Mission, Values, Customer Pledge and Corporate Sustainability Policy



Our Vision

To be recognised as the World's Best Arab Bank

Our Mission

To provide our customers with exceptional service by creating products and delivering services of enduring value to help our customers grow

Our Values

- Value our stakeholders
- Accessible to our customers 24 x 7
- Loyal to our heritage and global in our outlook
- Understand our customers' needs
- Recognise that people are our single biggest asset and empower them
- Teamwork
- Deal with others as we would like them to deal with us

Our Customer Pledge

- We will recognise you
- We will listen to you
- We will understand your needs
- We will dedicate all our energies to serving you
- We will grow with you

Our Corporate Sustainability Policy

Investing in our future. We are committed to doing business in a responsible way; by dealing with our customers, investors and other stakeholders honestly and fairly, by valuing our employees, by being accessible and responsive to the communities where we do business and through careful environmental stewardship.



Board of Directors & Senior Management


Conference
call
5:45AM

Board of Directors



Chairman
H. E. Nasser Ahmed Alsowaidi



Deputy Chairman
H. E. Dr. Jauan Salem Al Dhaheri



Member
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan



Member
Sheikh Ahmed Mohammed Sultan Al Dhaheri



Member
H.E. Mohammed Omar Abdulla



Member
H.E. Sultan Bin Rashed Al Dhaheri



Member
Mr. Hashim Fawwaz Al Kudsi



Member
Mr. Khalifa Sultan Al Suwaidi



Member
Mr. David Beau



Member
Mr. Matar Hamdan Al Ameri



Member & Group Chief Executive
Mr. Michael H. Tomalin

Risk Management Committee (RMC)

Chairman
H.E. Nasser Ahmed Alsowaidi

Members
Sheikh Ahmed Mohammed Sultan Al Dhaheri
H.E. Dr. Jauan Salem Al Dhaheri
H.E. Sultan Bin Rashed Al Dhaheri
Mr. Hashim Fawwaz Al Kudsi

Remuneration Committee (RC)

Chairman
H.E. Mohamed Omar Abdulla

Members
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan
Sheikh Ahmed Mohammed Sultan Al Dhaheri
Mr. Khalifa Sultan Al Suwaidi
Mr. David Beau

Audit Committee (AC)

Chairman
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan

Members
Mr. Khalifa Sultan Al Suwaidi
Mr. Matar Hamdan Al Ameri
Mr. David Beau

Corporate Governance and Nominations Committee (CGNC)

Chairman
H. E. Nasser Ahmed Alsowaidi

Members
H.E. Mohamed Omar Abdulla
Mr. Khalifa Sultan Al Suwaidi
Mr. Matar Hamdan Al Ameri

Senior Management

Group Chief Executive
Mr. Michael H. Tomalin

Deputy Group Chief Executive
Mr. Abdulla Mohammed Saleh AbdulRaheem

Senior General Manager Domestic Banking & Islamic Banking
Mr. Abdulla Khalaf Ahmed Al Otaiba

Senior General Manager & Group Chief Risk Officer
Mr. Abhijit Choudhury

Senior General Manager Global Wholesale & Investment Banking
Mr. Akram-Mark Yassin

Senior General Manager & Group Chief Operating Officer
Mr. Khalaf Sultan Rashed Al Dhaheri

Senior General Manager Global Financial Markets
Mr. Mahmood Al Aradi

Senior General Manager International Banking
Mr. Qamber Ali Al Mulla

Senior General Manager Global Wealth
Mr. Rudiger Von Wedel

Senior General Manager Corporate Banking & Real Estate - UAE
Mr. Saif Ali Mohammed Munakhas Al Shehhi

Regional Manager Northern Emirates
Mr. Abdullah Abdulla Ghobash

General Manager & Group Chief Compliance Officer
Mr. John Garrett

General Manager & Group Chief Audit Officer
Mr. Malcolm Walker

Group General Counsel and Board Secretary
Mr. Samer Salah Abdelhaq



NBAD at a Glance



NBAD at a Glance*

Key Facts

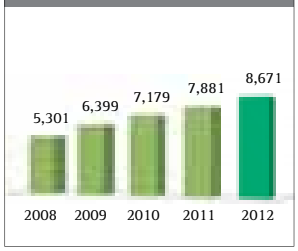
- Incorporated in 1968 to serve as Banker to the Emirate of Abu Dhabi
- Owned (70%) by Government of Abu Dhabi, via the Abu Dhabi Investment Council (ADIC)
- Listed on Abu Dhabi Securities Exchange (ADX) since its inception in November 2000 with a market capitalisation of around USD 11 billion
- Among the highest rated banks in the Middle East (rated 'Aa3' by Moody's, 'AA-' by Fitch & 'A+' by S&P)
- One of the largest domestic networks with 121 branches & cash offices, 571 ATMs/CDMs & 13 Business Banking centers across the UAE

- Well diversified Financial Group – across businesses and geography
- Consistent profitability and value creation to shareholders
- Well positioned for growth from global economic recovery
- 'Safest Bank in the Middle East' - highest rated bank in the Middle East *(Global Finance)*
- Putting the client at the heart of the business
- Clear and focused strategy for growth
- Investing in the business - developing and growing our fee income generating business
- People focused - attracting, selecting and retaining top tier staff across all

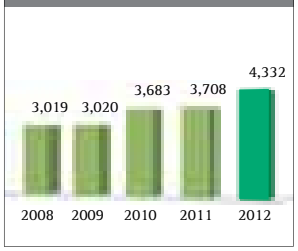
Financial Snapshot

2012	AED (Bn)	USD (Bn)
Revenue	8.7	2.4
Net Profit	4.3	1.2
Assets	300.6	81.8
Equity	31.1	8.5
Return on Shareholders Funds	16.5%	
Capital Adequacy ratio	21.0%	
Tier-I Capital ratio	17.2%	

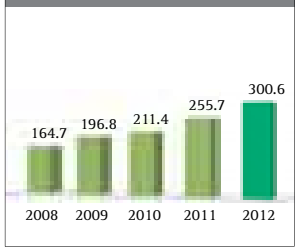
Revenues (AED million)



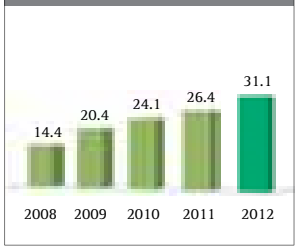
Net profits (AED million)



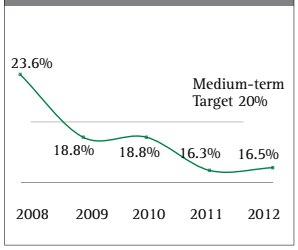
Assets (AED billion)



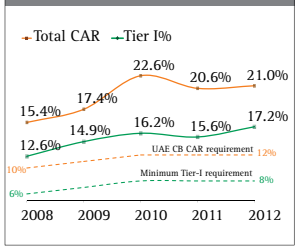
Equity (AED billion)



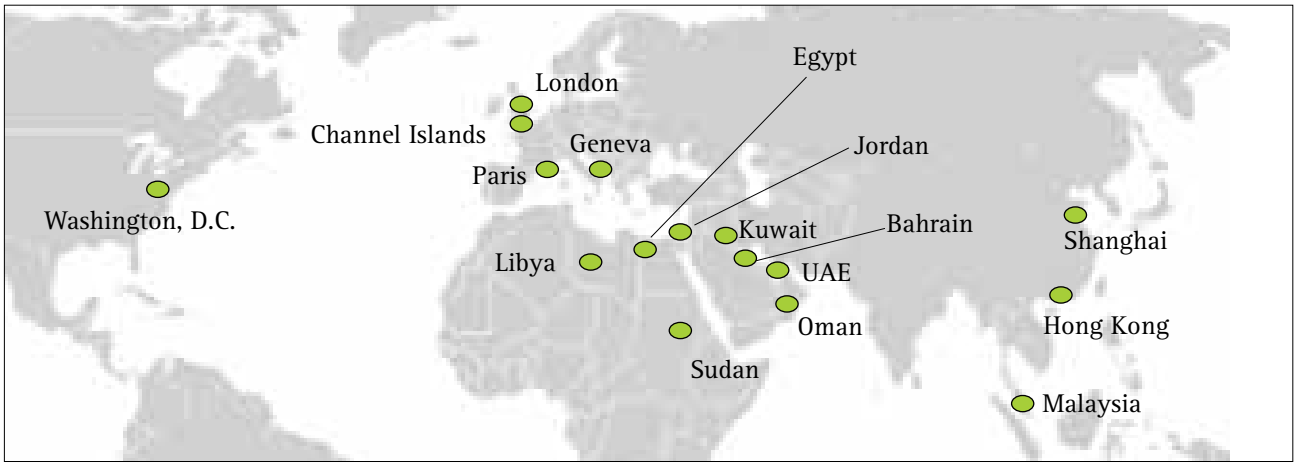
Return on average Shareholders' funds (%)



Capital adequacy (%)



Worldwide presence of NBAD



** All figures as of 31 December 2012*

A Diversified Business Model

National Bank of Abu Dhabi

Domestic Banking

- Consumer & Elite Banking
- Business Banking Group

UAE Corporate Banking & Real Estate

- UAE Government & Government Related Entities (GREs)
- UAE Corporate Banking
- UAE Real Estate Finance
- Abu Dhabi National Properties

Islamic Banking

- Abu Dhabi National Islamic Finance (ADNIF)
- NBAD Islamic Division

Global Financial Markets

- Corporate coverage
- Trading & Investments
- Cash & Rates
- Institutional Sales & Primary Markets

International Banking

- Arab World
  - *Egypt*
  - *Oman*
  - *Sudan*
  - *Jordan*
  - *Bahrain*
  - *Kuwait*
  - *Libya*
- International
  - *UK*
  - *France*
  - *USA*
  - *Hong Kong*
  - *China*
  - *Malaysia*

Global Wholesale & Investment Banking

- Global Corporates
- Multinationals & Globally operating GREs
- Wholesale Banking Group
  - Global Project & Structured Finance
  - Syndications & Specialised Portfolio
  - Financial Institutions Group
  - Global Transaction Banking (Trade Finance & Cash Management Services)
- Investment Banking Group
  - DCM
  - Advisory / M&A/ ECM/ Private Equity
- Abu Dhabi National Leasing – Leasing

Global Wealth

- Private Banking
  - Investments & Financial Planning for UHNWIs
  - On-shore & Off-shore platforms
- Asset Management Group
  - Local & Global Funds
  - Discretionary Portfolio Management
- NBAD Securities (Brokerage)
  - Retail & HNWIs
  - Institutional Desk
- Custody services
  - Non-discretionary Portfolio Management
  - Funds administration
- NBAD Trust Co. (Jersey) Ltd
  - Corporate Pension & Savings solutions
  - Private trusts, charitable foundations
- Investment Group (Investment products & views)

Head Office Support functions

Group Treasury, Audit, Compliance, Finance, Human Resources, Information Technology, Legal, Operations, Risk Management, Investor Relations, Corporate Communications, Strategic Planning, Securities Services, Corporate Governance, Economic Research



Chairman's Report to the Shareholders

for the Financial Year ended 31 December 2012





On behalf of the Board of Directors of National Bank of Abu Dhabi, I would like to commend and thank our senior management and staff for their efforts in enabling the group to produce good results in a challenging year characterised by difficult economic conditions.

Economic conditions in 2012

Global economic activity grew by 3.3% in 2012, down slightly from 3.8% in 2011. The uncertainty surrounding financial systems in many developed economies continues to dampen the pace of global activity. Moreover, prospects for the Euro Area remain a risk, although forceful intervention by the European Central Bank has been an important factor in easing concerns and providing time for the Euro Area to implement greater financial and fiscal integration. Monetary policy by major Central Banks has been and is expected to remain, by necessity, extremely accommodative to provide a cushion for fiscal adjustment.

United Arab Emirates continued to grow while other economies faced challenges. Transport, trade, tourism, and manufacturing activity picked up. Residential property prices rose in a number of areas in Dubai. Nevertheless, real estate sector overhang and corporate debt resolution remained challenges. Throughout the year, the UAE continued to be viewed as a safe haven in a period of regional turmoil, further cementing its role as a regional hub.

Average oil price in 2012 reached a record US$ 109.1 per barrel (Dubai, spot), up from US$ 105.7 per barrel in 2011, allowing oil exporting countries to spearhead growth in the Middle East and North Africa. United Arab Emirates raised oil production to the highest level since 2008 and generated significant current account and fiscal surpluses. Oil importers in the region grappled with sub-par growth against the background of political transition and high energy prices.

Banking sector loan growth – a proxy for the pace of non-oil activity - was subdued at 3.4% during the year through November 2012. The loan-to-deposit ratio for the banking system as a whole declined from 100% to 94% through November 2012, driven by deposit growth of 10.6% and signifying healthy liquidity levels across the sector. Banks in the system also continued to maintain capitalisation levels well above regulatory requirements.

Financial Performance of the Group

National Bank of Abu Dhabi performed well in 2012 despite challenging economic conditions. This strong performance

in uncertain times reflects the strength of the bank's global diversified business model as well as the quality of the bank's staff, our single most valuable asset.

Net profits grew 17% to AED 4.3 billion for the full year 2012, and the growth came essentially from international business and operations whereas local earnings fell back. The bank continued to grow its balance sheet and build upon its strong capital and liquidity positions. In 2012, the bank was once again named as one of the "World's 50 Safest Banks" and "the Safest Bank in the Middle East" by Global Finance.

We continued to grow both our domestic and international operations. Our domestic network expanded to reach 121 offices complemented by over 570 ATMs. These are further suppported with the set up of 13 Business Banking centres dedicated to serve the needs of our SME customers. Internationally, we opened new offices in China and Malaysia in 2012 and have set a target of expanding internationally from 14 countries to 41 countries by 2022.

The Bank is well positioned to continue our growth trajectory in 2013. We will continue to expand our local presence while also moving forward with plans to open more offices internationally. We anticipate opening branches in Lebanon, South Sudan and Brazil in 2013 as we continue to execute against our international expansion strategy. At the end of 2012, approximately 42% of our business was derived from clients based outside UAE.

Finally, on behalf of the shareholders, the members of the Board of Directors and the management and staff of the Bank, I wish to extend our most sincere appreciation and gratitude to His Highness Sheikh Khalifa Bin Zayed Al Nahyan, President of the UAE and Ruler of Abu Dhabi; His Highness Sheikh Mohammed Bin Rashed Al Maktoum, Vice President and Prime Minister of the UAE and Ruler of Dubai; Their Highnesses members of Supreme Council, rulers of Emirates; His Highness Sheikh Mohamed Bin Zayed Al Nahyan, Abu Dhabi Crown Prince and Deputy Supreme Commander of the UAE Armed Forces and to His Highness Sheikh Mansour Bin Zayed Al Nahyan, Deputy Prime Minister and Minister of Presidential Affairs, for their continued support and interest in the Bank's activities.

Nasser Ahmed Khalifa Alsowaidi
Chairman



Group Chief Executive Review

for the Financial Year ended 31 December 2012





In a year marked by ongoing global challenges, National Bank of Abu Dhabi delivered another year of solid results. We continued to make progress towards our goal to be recognised as the World's Best Arab Bank, the Super Regional bank from MENA.

In 2012, the bank delivered record top line revenues of AED 8.7 billion and net profits of AED 4.3 billion, representing growth of 10% and 17%, respectively. Return on average shareholders' funds was 16.5%, assets grew 18% to over AED 300 billion, and our capital adequacy ratios continued to be well in excess of the minimum thresholds required by our regulators.

Our growth in 2012 came from both domestic and international operations, and our international division continued to make increasingly significant contributions to both top and bottom line results. During the year, we continued to expand our presence by setting up offices in China and Malaysia while continuing expansion in the UAE, Egypt and Sudan.

In 2012, we also introduced a key pillar of our long-term strategy, which is our future Target Operating Model (TOM). TOM defines how we will drive sustainable profitable growth by becoming more customer-driven, profit-focused and efficient. This is a bank-wide initiative which will redefine the way we do business and ensure that we are well positioned to drive profit and growth.

We were also once again named as one of the "World's 50 Safest Banks" and the "Safest Bank in the Middle East" by Global Finance magazine. This is an important accolade during a time when being a safe bank is an important building block of doing good business with others. All of these results and achievements in 2012 are a testament to the talent of our management team and our employees. It is also a result of our prudent growth strategy, which is aligned with the growth of Abu Dhabi and the 2030 Vision.

NBAD delivered record top line revenues of AED 8.7 billion and net profits of AED 4.3 billion in 2012

Some highlights for the bank in 2012 included the following:

- Renewed our sponsorship commitment as Founding Partner of Yas Marina Circuit and kept our coveted status as the Official Bank of Formula 1 Abu Dhabi Grand Prix.
- Highlighted investment opportunities in Abu Dhabi to global investors as Lead Sponsor of the 4th Annual Abu Dhabi Investment Forum in London.
- Took the lead as a Gold Sponsor of the first ever Abu Dhabi Corporate Games, where more than

2500 teams and individuals represented private and government companies from Abu Dhabi and outside the UAE.

- Organised the 4th annual Global Financial Markets Forum, with record attendance of over 700 delegates including former US Fed chairman, Mr. Paul Volcker and former president of Deutsche Bundesbank, the German Central Bank, Alex Weber.
- Held first Sustainability Week to highlight, promote and educate staff about living and working sustainably; Current ranking of #3 out of 150 companies in the S&P/Hawkamah Environmental, Social & Governance Pan Arab Index.

In 2012, the bank won a number of awards, including the following:

- Ranked for the fourth consecutive year as one of the "World's 50 Safest Banks" and the "Safest Bank in the Middle East" by Global Finance magazine.
- Group Chief Executive named "Banker of the Year" by Arab Bankers Association (ABA) and awarded honorary doctorate by IFS in London.
- "Compliance Officer of the Year" at ACC Achievements Awards.
- "Best Private Bank in UAE" at 4th Annual Global Private Banking Awards.
- "UAE Asset Manager of the Year" in MENA Fund Manager Performance Awards by MENA Fund Manager magazine.
- "Best Asset Management House in Middle East" by International Takaful Awards.
- Named "Fixed Income Manager of the Year" by Global Investor magazine.

We have plans to open offices in Lebanon, South Sudan, Brazil, Turkey, India, Iraq and South Korea.

As we enter 2013, we are well positioned for success and continued expansion both locally and internationally. Our execution against our international strategy will continue during the 2013-2014 timeframe as we have plans to open offices in Lebanon, South Sudan, Brazil, Turkey, India, Iraq and South Korea. We also will continue to increase our presence in our existing network including the UAE, Egypt, Oman, Jordan, Sudan and Bahrain.

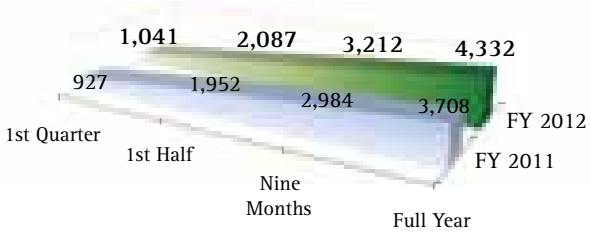
I thank the Group Chairman and the Board for their support and guidance, my executive team for their delivery and our management team and employees for their continuing efforts, I am proud of our 2012 performance, and I look forward to more success in 2013.

Michael H. Tomalin
Group Chief Executive

Financial and Business overview

The bank earned AED 4,332 million in 2012, up 16.8% from AED 3,708 million in 2011. This represents diluted EPS of AED 1.04 for 2012 versus AED 0.88 for 2011. The growth was due primarily to higher investment and interest income. The annualised return on shareholders' funds for the year was 16.5%, which represents a slight improvement over 16.3% for 2011.

Net profit (AED mn)



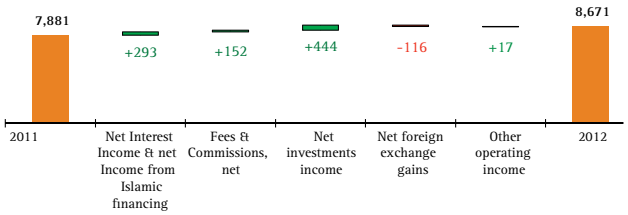
NBAD earned AED 4,332 million in 2012, up 16.8% from AED 3,708 million in 2011

Operating income

Total operating income increased by 10% to AED 8,671 million from AED 7,881 million in 2011. Net interest income and net income from Islamic financing grew at a steady pace throughout 2012, up 5.1% to reach AED 6,096 million. Net fees and commissions grew by 10.9% to AED 1,546 million in 2012 compared to AED 1,394 million in 2011. Overall, non-interest income grew strongly by 23.9% in 2012 to AED 2,575 million driven largely by an increase of AED 444 million in investment income over 2011.

Our net interest margin declined to 2.14% for the full year 2012, lower than 2.43% for 2011 due to an increase in short-dated secured lending and a more liquid balance sheet. The percentage lent (loans and advances to total assets) at the end of 2012 was 55% compared with 62% at year-end 2011.

Movement in Operating income (AED mn)



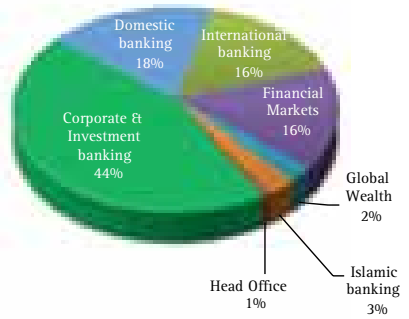
Expenses

Operating expenses for the year ended 2012 were AED 2,870 million, up 11.9% compared with the corresponding period, reflecting continued investment in our business. The cost to income ratio was 33.1% in 2012, slightly more than the 32.5% recorded for the full year 2011 but below the Group's medium-term cap of 35%.

The Bank further extended its network, which is already among the largest in the UAE, to 121 branches and cash offices, 571 ATMs and 13 business banking centres. The Bank also continued to invest in other distribution channels such as e-banking and 24x7 call centres, enhancing customer service capabilities. Our footprint now covers 18 countries and 4 continents as of March 2013. Our investments in our franchise, network and systems, products and people are in line with our vision to be recognised as the World's Best Arab Bank.

Operating Profits by Business Segments

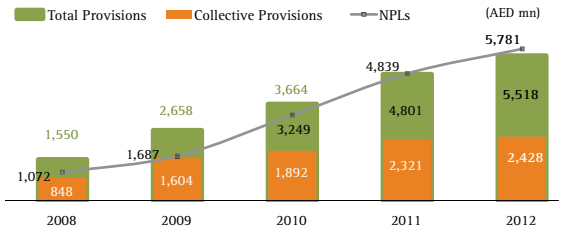
Operating profits grew 9.1% to AED 5,801 million in 2012 compared to AED 5,317 million in 2011. Operating profits for our International businesses grew by 26% to AED 935 million, while investment gains drove Head Office's contribution higher by AED 130 million. Financial Markets Group and Global Wealth businesses also performed well. Operating profits from our domestic businesses were almost flat, reflecting tougher local conditions.



Provisions & Impairment charges

Net impairment charges were AED 1,337 million in 2012, 10.8% lower than 2011. The increase in gross specific provisions of AED 418 million was neutralised by the increase of AED 408 million of recoveries and write-backs. The collective provision charge for 2012 was lower by AED 136 million compared to 2011. The Bank continues to be fully compliant with the Central Bank of UAE's requirement of 1.5% of credit risk weighted assets for collective provisions, well ahead of the effective date of 2014.

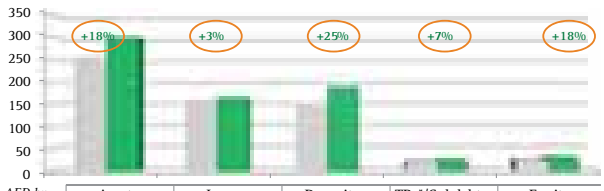
Non-performing loans increased to AED 5,781 million, representing 3.4% of the loan book and in line with our indications at the beginning of the year that non-performing loans should plateau at between 3.5% and 3.75%. Total provisions represented 95.4% of non-performing loans.



NBAD continues to be fully compliant with the Central Bank of UAE's requirement of 1.5% of credit risk weighted assets for collective provisions, well ahead of the effective date of 2014.

Balance Sheet

Total Assets were AED 300.6 billion as of 31 December 2012, up 17.6% versus 31 December 2011. Loans and advances to customers were AED 164.6 billion as of 31 December 2012. Loan growth of 3.2% year on year for the Group was slower than anticipated. Customer deposits were AED 190.3 billion, up 25.4% as of 31 December 2012. Throughout the year, there were significant inflows and outflows of government deposits, some of which were of a short-term nature. These deposits were placed across various classes of liquid assets on similar tenors.



AED bn	Assets	Loans	Deposits	TBs*/Subdebt	Equity
2011	255.7	159.5	151.8	23.1	26.4
2012	300.6	164.6	190.3	24.7	31.1

Term Borrowinas

Capital resources of AED 36.8 billion were higher by 7.0% over 31 December 2011, consisting of shareholders' funds of AED 27.1 billion (including a AED 1.6 billion increase in fair value reserve on investments due to favorable market movements), GoAD Tier-I capital notes of AED 4.0 billion and subordinated notes of AED 5.7 billion.

Basel-II ratios remain strong and well above the minimum 12% and 8% (Tier-I) required by the UAE Central Bank, with a capital adequacy ratio of 21.0% and a Tier-I ratio of 17.2% as of 31 December 2012.

Capital Markets Activity

The Bank repaid AED 2.6 billion of the original AED 5.6 billion Ministry of Finance (MoF) subordinated notes during the year. The remaining outstanding balance now stands at AED 3.0 billion. The Bank also issued a notice to exercise its call option on its London Stock Exchange-listed AED 2.0 billion subordinated convertible notes due in 2018. The outstanding principal amount was AED 808.5 million as of 15th February, 2013. The Bank successfully issued a MYR 500 million (Malaysian Ringgit) Sukuk (equivalent USD 163.4 million) with a coupon of 4.75% for a term of 15 years. This was the first ever issuance of a subordinated debt by a non-Malaysian financial institution in Malaysia.

Under its USD 5 billion EMTN programme, the Bank tapped the capital markets with 2 major public issuances of USD 750 million each in March and August. The issuance in March was a 5-year bond which was oversubscribed 4 times and the order books were closed within a day. The second major issuance in 2012 in August was a 7-year bond, the longest senior dollar benchmark ever printed by a bank in the region. In May, the Bank issued a USD 25 million 30-year bond, the region's longest tenor bond issued by a financial institution.

Credit Ratings

NBAD's long term ratings continue to remain amongst the strongest combined ratings of any financial institution in the MENA region with ratings from Moody's Aa3, Standard & Poor's (S&P) A+, Fitch AA-, RAM (Malaysia) AAA and R&I's (Japan) rating of A+. All ratings were reaffirmed in 2012 with a stable outlook.

Dividend

The Board of Directors approved a cash dividend of 35% (or 35 fils per share) and a stock dividend of 10% (1 bonus share for every 10 shares held) for the financial year ended 31 December 2012 at the Annual General Meeting on 12 March 2013.

Domestic Banking Division (DBD)

The division contributed 18% or AED 1,066 million to the Group's operating profit in 2012. The Retail, Business Banking and Islamic division of the group continued to focus on the customer experience. Customer acquisition numbers are growing in parallel with our expanding distribution and enhanced value proposition, which is 'to provide our customers with exceptional service by creating and delivering services of enduring value to help our customers grow'. Our approach is built on providing convenience and accessibility to our customers and ensuring that both physical and online presences are being optimised to meet the diverse demands of our customers.

Customer Centricity

Our customer survey results have been above industry averages, and we continue to enhance our offerings by utilising the feedback we receive to provide best in class service. As an example, we have rolled out the concept of service ambassadors.

Largest Distribution and Online Platforms

We have a total of 121 branches and cash offices in the UAE, offering one of the largest networks in the UAE, and we are enhancing our branches by introducing a new image and 'look and feel' to enrich the customer experience. In terms of ATMs &CDMs, we have one of the largest networks in the UAE with 571 and have introduced new designs for NBAD ATMs, including 'Drive-thru' ATMs. In terms of alternative platforms, we redeveloped our online banking platform ('NbadOnline') as well as a new mobile banking platform, both of which have generated significant adoption rates and increased users.



NBAD introduces new ATM design.



NBAD introduces new "look and feel" for branch offices.

Enhanced Processes

By automating and streamlining our credit origination processes, we have enhanced the turnaround time and reliability of our products, enabling our sales force to focus more on customer-specific needs. Our 'drive for excellence' has now been implemented across 86 branches, and the model has improved the level of sales and service culture within the bank and has succeeded in driving new customer acquisition across the country.

> *Our customer survey results have been above industry averages, and we continue to enhance our offerings by utilising the feedback*

New Products and Strategic Partnerships

We have also added new products to our portfolio and have seen good results from our Bancassurance and Investment products. New partnerships with companies like Dubai Islamic Insurance and Re-Insurance Company AMAN have been successful and we will continue to pursue these.

Our credit card business continues to grow successfully and the business has generated strong sales through product launches, sales campaigns, event sponsorship in GEMS Education and movie ticket offers through Reel and Cine Royal cinemas.

The Elite Banking segment continues to focus on the high net worth customer segment, providing them with more personalised products and services, including event VIP lounge access and complimentary access to Abu Dhabi's finest golf clubs.

Economic vision 2020 and Emiratisation

DBD, and in particular the retail banking division, makes the largest contribution to our Group's Emiratisation efforts, providing challenging opportunities, special assignments, job rotations and clear paths for career progression to Emiratis. In 2012, we successfully opened the Al Ain Contact Centre, a fully functional call centre handling almost 3 million calls per year, which is staffed fully with female Emiratis.



H.H. Sheikh Mansour Bin Zayed Al Nahyan, the Deputy Prime Minister and Minister of Presidential Affairs of the UAE, presents Emiratisation award to Ehab Hassan, Group Chief Human Resources Officer, praising NBAD's Initiatives.

Business Banking, which has an ongoing strategy to expand exclusive services to small and medium sized enterprises (SME), continued to strengthen its distribution channels in the UAE with 2 new business centres in the UAE.

International Banking (IBD)

IBD, consisting of our operations across the Arab World and internationally, increased its operating profit by 26% to AED 935 million in 2012. IBD accounted for 16% of the Group's operating profits.

International Strategy

The bank's international strategy is comprised of two distinct approaches. In MENA, we will build "in-country" capability serving in particular the upper end of the retail and corporate markets. In the rest of the world, we are establishing an interlinked chain of offices intermediating trade and capital flows between our MENA heartland and the rest of the world. In London, Paris, Washington, DC and Hong Kong, for instance, our clients include international companies and investors doing business in the UAE and wider MENA as well as MENA companies and investors looking to go beyond the region. In Brazil, we will be financing the growing trade flows between that country and MENA, working alongside Brazilian banks.

NBAD expanded the size of its international business to 57 units across 14 countries

Business & Expansion Updates

During the year, the Bank expanded the size of its international business to 57 units across 14 countries by opening 4 units in Egypt and its 4th unit in Sudan. The business further expanded in the Far East region with the opening of our Shanghai Rep. Office China and NBAD Malaysia Berhad in Kuala Lumpur.



Michael H. Tomalin, the Group Chief Executive of NBAD (middle) and Qamber Ali Al Mulla, the Senior General Manager of the International Banking Division (3rd from left) with NBAD executives and VIP guests at the official launch of NBAD Representative Office in Shanghai.

In Egypt, our business was stable despite tough market conditions. Business in the Arab world has been subdued, however our business in Jordan continues to grow. Our London office had a splendid year building on its trade finance and corporate businesses. Hong Kong enjoyed continued strong growth reflecting the growing links between China and the Middle East.

Additionally, work has progressed on opening new units in Juba (South Sudan), Lebanon, Iraq, India, Brazil, South Korea and Turkey. With regards to our expansion activity in our existing network within the coming year, we hope to be able to open 3 more units in Egypt, 2 units in Oman & Jordan and 1 unit each in Sudan and Bahrain.

Financial Markets Division (FMD)

FMD had an excellent year in 2012 and continued to enhance its product offering and expand market share both regionally and globally. The division's contribution reached AED 910 million, a growth of 8% and amounting to 16% of the Group's operating profits.



Paul Volcker, former Chairman of the Federal Reserve, addresses audience at 4th Global Financial Markets Forum, hosted by the Financial Markets Division.

The division's contribution reached AED 910 million, a growth of 8% and amounting to 16% of the Group's operating profits.

Under the **Trading & Investment Group**, the FX team (foreign exchange) focused on increasing trading flow, enhancing the price delivery channels by focusing on electronic trading for our client and institutions distribution. The **Structured Product Trading & Investment** team expanded its product offering and capabilities to include pricing on exotic options; commodity linked notes and increased their volumes more than 6 fold in this regard. The **MENA Fixed Income** team had an excellent year producing solid returns and increasing volumes mainly driven by secondary market trading as well as capitalising on 20 new DCM (debt capital markets) mandates that NBAD lead managed in 2012. This was supported by excellent research and market feedback produced by our **Market Strategy** team. The **Portfolio Management** team outperformed the HFRX index, producing 6.3% on NBAD's own invested capital. They also completed the set up and obtained the necessary approval to allow us to start marketing this product to our client base. Our newest product offering is **Prime Brokerage**, which currently offers electronic foreign exchange prime brokerage services,

capitalising on NBAD's superior credit rating and market liquidity. Going forward, we will broaden our prime brokerage services to include other asset classes.

The **Corporate Coverage Group** expanded its reach both regionally and globally while continuing to build market share locally. Local flows of structure products and plain vanilla business continued to grow. This business has generated excellent momentum and currently covers a diversified customer base, thanks to the efforts of the Abu Dhabi and Northern Emirates teams. Going forward, we plan to continue to grow this business.

The **Institutional Coverage & Primary Market Group** had an excellent year syndicating more than 20 new bond mandates, and expanded its Islamic and sovereign fund and central bank coverage to include most of the Arab world Central Banks and Investment Authorities and plans to further expand in the UK and Asia.

The **Cash & Rates group** produced superior results and solidified their positioning as the true market leader for GCC currencies. Our REPO offerings have expanded and grown to an excess of USD 7 billion, enabling us to manage our liquidity more efficiently while minimising the credit risk of plain vanilla lending. The Group has also invested heavily in expanding its pricing capabilities in the G7 currencies.

Corporate and Investment Banking (CIBD)

The combined businesses within CIBD contributed AED 2.5bn or 44% of the Group's Operating Profit for 2012.

Corporate Banking Group (CBG)

CBG-UAE continued its strong performance in 2012, contributing AED 1.5bn to the Group's operating profits despite the general economic slowdown in the UAE and abroad. CBG comprises the coverage teams for GREs and corporate clients in the UAE and continues to play a centric role connecting all businesses and product partners to the bank's clients.



Officials from NBAD (from right, Vasgen Edwards, Head of International Corporates and Mark Yassin, Senior General Manager – Global Banking) and Boeing at the signing ceremony for aircraft financing in Abu Dhabi.

Our **Multinational Global Coverage** team expanded during 2012 with the addition of seasoned international bankers. We have embarked on the path of establishing industrial sector specialization and have dedicated teams for both Japanese and Korean clients. The coverage teams are focused on working with leading global corporations active in MENA. Our coverage teams work closely with the product teams throughout the bank to deliver top quality financial services and products to our corporate client base resulting in a significant number of transactions in Debt Capital Markets, Global Project & Structured Finance, Trade Finance, and others across the region.

Wholesale Banking Group

The Wholesale Banking Group (WBG) consists of Global Projects & Structured Finance, Syndications & Specialised Portfolio, the Financial Institutions Group, and Global Transaction Banking which covers both Cash Management and Trade Finance. WBG contributed AED 0.9 bn to the CIBD operating profit in 2012.

Global Projects & Structured Finance (GPSF)

GPSF originate, structure, lead arrange and underwrite large and complex project & structured finance transactions across several industries and geographies. GPSF has established a strong track record for delivering complex financing solutions for top clients within the region whilst also collaborating with other local, regional and international banks.

> *The combined businesses within CIBD contributed AED 2.5bn or 44% of the Group's Operating Profit for 2012*

The team won several important mandates during the year in diverse sectors such as aviation, nuclear energy, rail transport, petrochemicals, aluminum, and acquisition financing.

During 2012, GPSF won the highly commended Deal of the Year 2012 award for Shams Power Co., in the Infrastructure and Project Finance category for the Middle East by The Banker FT Business magazine. The team won the Emerging EMEA Loan of the Year 2012 Award for JAFZA and IFN Award for the best Corporate Finance Deal of the Year 2011 for Emaar Malls.

Financial Institutions Group (FIG)

FIG is dedicated to its 550 financial institutional client base from around the world including banks, insurance companies, sovereign wealth funds, asset management houses and brokerage firms. FIG aims to be the first port of call for foreign financial institutions wanting to grow their business in MENA.

The division was re-organised in 2012 into two separate units – Portfolio Management and Coverage. Clients were further divided into 3 geographies – MENA, Europe & Americas, and Asia. A separate vertical for Non-Banking Financial Institutions Coverage was set up to look after NBFI's globally.

FIG was instrumental in winning 10 DCM mandates and was ranked No. 3 in the FI League Tables in the GCC. The team successfully arranged and closed a number of deals as Mandated Lead Arranger across the GCC, Turkey, India, Brazil, Chile and other countries. FIG was at the forefront in cross-selling Trade Finance, Treasury, Custody and other products and services of the bank to its clients.

Syndications & Specialised Portfolio (SSP)

SSP has garnered extensive expertise across a wide variety of transactions at the highest levels in key roles such as Bookrunner, Mandated Lead Arranger and Underwriter while managing syndicates of local, regional, and international corporates and banks. In 2012, NBAD ranked 5th as a Bookrunner and 6th as a Mandated Lead Arranger in the Dealogic syndications league tables for GCC, Egypt and Turkey. In addition to managing primary distribution, SSP handles all secondary loan sales/ purchases and maintains a securities' investment portfolio.

Global Transaction Banking (GTB)
Global Cash Management and Global Trade Finance businesses merged in 2012 to form Global Transaction Banking (GTB). The new GTB business with Regional Heads in Europe, USA, Egypt, and Asia Pacific regions has invested in state-of-the-art platforms to facilitate end-to-end seamless processing of transactions.

Among other products, GTB offers letters of credit (import & export), letters of guarantee (inward & outward), documentary credits & collections, standby LCs, bills for collection (inward & outward), bridge financing (trust receipts, bills discounting etc.) and structured trade finance products.

The Bank now offers its corporate clients new electronic banking services under the NBAD iBankingTMflagship brand comprisingd advanced features such as electronic payment solutions, liquidity and collections management, as well as all related trade finance products and services.

Our **Investment Banking Group (IBG)** enjoyed a very busy and productive year in 2012. On the Advisory front, IBG was mandated together with Goldman Sachs to advise on the merger of Sorouh Real Estate and Aldar Properties, two leading listed UAE real estate development companies. This was a major successful milestone for NBAD in terms of participating in a large-cap M&A transaction alongside global investment banking firms.

NBAD further cemented its position in investment banking by winning private mandates advising corporate and government-related clients on a host of project and corporate finance-related (private debt and M&A) transactions across different economic sectors.

And on the private equity front, NBAD joined forces with the Khalifa Fund for Enterprise Development in launching an investment vehicle supporting SMEs in furtherance of budding Emirati entrepreneurs.

The **Debt Capital Markets** originating team ranked amongst the top 3 banks in the GCC Bookrunner league tables. They also ranked 1st among the MENA regional Bookrunners. The DCM team executed a record 20 transactions during 2012 in the MENA region including Turkey.

Our leasing arm, **Abu Dhabi National Leasing (ADNL)** continued to record impressive growth in 2012 despite the prevailing soft market conditions. Major financing deals were executed in the Aviation, Infrastructure and Sustainable energy sectors. The prized names supported by ADNL include Abu Dhabi Ports Company, Etihad Airways, National Petroleum Construction Company and Emirates Airlines.

Our real estate subsidiary, **Abu Dhabi National Property (ADNP),** continued to focus on its core businesses of valuations, leasing and property management. In order to improve operational efficiencies and better positioning in the marketplace, ADNP benefited from a comprehensive review of its operating model and market competitiveness conducted with a view of realigning the Company's strategic objectives with those of the Group. Going forward, ADNP will be well placed to benefit from any anticipated recovery in the UAE real estate markets.

New Structure for CIBD: Global Wholesale & Investment Bank / CBRE – UAE

CIBD has been our largest business by revenue and balance sheet. Increasingly it is two businesses – a large local corporate and real estate business and a global wholesale and investment banking business. In order to reflect this, with effect from January 2013 two new businesses have been created. First, **Global Wholesale & Investment Bank**, which will include Wholesale Banking (FIG, Trade, Cash, Syndicated Lending and Project Finance), Investment Banking, Global Corporate Banking for MNCs and globally operating GREs and ADNL; and second, UAE Corporate Banking & Real Estate **(CBRE – UAE)**, will include the UAE Govt & GREs, UAE Corporate Banking, UAE Real Estate and ADNP.

Global Wealth (GW)

Global Wealth comprising of our private banking, asset management, brokerage and custody activities faced a challenging year given the continued unrest in some of our core markets and the global economic uncertainty. Despite these challenges, the business performed strongly, more than doubling its contribution to operating profits from AED 65 million (1.2%) in 2011 to AED 138 million in 2012 (2.4%) and growing Assets under Administration fourfold.

The strongest contributors to the division's performance in 2012 were our **Private Banking** activities in the UAE and Switzerland. Assets under Management in Private Banking again grew by 50%. This continued growth is a reflection of the efforts we have over the past years put into enhancing the breadth and depth of services and investment solutions we provide to our Private Banking clients. The qualitative result of these efforts was rewarded by being awarded the best Private Banking provider in the UAE by the Financial Times' Private Wealth Management Magazine and by The Banker. We are confident that we will continue the rapid rate of growth as we expand into additional markets.

The strongest contributors to the division's performance in 2012 were our Private Banking activities in the UAE and Switzerland



Ashraf Mazahreh, the Head of Private Banking at NBAD (left) receives "Best Private Bank in UAE for 2012" award from Yuri Bender, Editor of Professional Wealth Management Magazine.

In 2012 we rebranded our brokerage subsidiary from Abu Dhabi Financial Services to **NBAD Securities**. At the same time, we significantly upgraded our order management and online trading systems. These changes contributed to our further expansion of market share. We believe the business is well positioned to take advantage of the expected return of confidence in the UAE equity markets.

In 2012, our **Asset Management Group** (AMG) more than doubled its Assets under Management and won numerous awards across many investment strategies.



Alan Durrant, the Group Chief Investment Officer and General Manager of NBAD's Asset Management Group (middle) receives "UAE Asset Manager of the Year" for 2012 award from MENA Fund Manager Magazine.

Our **Custody** activities which are now fully operational showed very strong growth and continue to focus on expanding geographical reach and product depth.

Islamic Banking

Islamic Banking, comprising of our wholly-owned subsidiary **Abu Dhabi National Islamic Finance** (ADNIF) and **NBAD Islamic Division**, contributed 2.8% to the Group's operating profits or AED 162 million, 1.7% higher than 2011.

The retail segment enjoyed growth in customer finances of 60% in 2012 whilst corporate & commercial segment customer finances declined by 8%, resulting in an overall decrease of 6% in 2012 to AED 6.6 billion in loan balances.

Support Divisions

Information Technology (IT)

Our IT department continues to deliver a competitive advantage to the Bank. The team successfully delivered 45 projects during 2012 covering different lines of businesses including the international expansion of NBAD.

ITD won the award for Best Payment Infrastructure Project for Mid-Tier Banks during the sixth Asian Banker Award 2012 held in Bangkok.

Risk Management (RMD)

As the Bank grows into a diversified international financial services company active in banking, investment, leasing, and wealth management services, we continue to strengthen our risk management framework through an integrated and disciplined approach. Through our risk management framework we manage enterprise-wide risks, with the objective of maximising risk-adjusted returns while remaining within our risk appetite. Our core risk management processes provide for both centralised governance, as well as decentralised management through embedded risk functions in our key lines of business.

Compliance

2012 was themed the Year of Compliance Culture and we had a programme to raise the awareness of compliance across the Group moving to an understanding that 'compliance is everyone's responsibility'. Robust and effective compliance is a core value at NBAD.

In December John Garrett, General Manager & Group Chief Compliance Officer was named the Compliance Officer of the Year 2012 at the ACC Achievements Awards.

Human Resources – Our People (HRG)

People are the most critical asset of any organisation and our HRG is committed to serve the businesses in hiring, developing, retaining and rewarding top talent. The Bank has continued to invest in the learning, education and development of its people and fosters a "Learning Culture" at the Bank. During 2012, employees averaged approximately 8.42 days training and 83% of staff based in the UAE attended a training programme. As of end of 2012, the bank's Emiratisation ratio was 37.4% and the bank employed 5,920 employees across the world.

As of end of 2012, the bank's Emiratisation ratio was 37.4%



Ehab Hassan, Group Chief Human Resources Officer (far left, back), Michael H. Tomalin, the Group Chief Executive of NBAD (middle back) with 19 UAE Nationals to commemorate graduation from NBAD AFAQ Programme


Welcome to Dubai Main



Consolidated Financial Statements

for the Financial Year ended 31 December 2012



Independent Auditors' Report

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of National Bank of Abu Dhabi PJSC ("the Bank") and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at 31 December 2012, the consolidated income statement, the consolidated statement of comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the Group's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2012, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards.

Report on Other Legal and Regulatory Requirements

As required by the UAE Federal Law No. 8 of 1984 (as amended), we further confirm that we have obtained all information and explanations necessary for our audit; the financial statements comply, in all material respects, with the applicable requirements of the UAE Federal Law No. 8 of 1984 (as amended), Union Law No. 10 of 1980 and the Articles of Association of the Bank; that proper financial records have been kept by the Group; and the contents of the Chairman's report which relate to these consolidated financial statements are in agreement with the Group's financial records. We are not aware of any violation of the above mentioned Laws and the Articles of Association having occurred during the year ended 31 December 2012, which may have had a material adverse effect on the business of the Bank or its financial position.

KPMG
Munther Dajani
Registration No. 268

29 January 2013

Consolidated statement of financial position
As at 31 December 2012

	Note	2012 AED'000	2011 AED'000
Assets			
Cash and balances with central banks	7	54,943,221	24,468,641
Investments at fair value through profit or loss	8	3,274,313	1,610,745
Due from banks and financial institutions	9	14,615,968	15,166,763
Reverse repurchase agreements	10	18,509,608	16,425,020
Loans and advances	11	164,599,378	159,522,178
Non-trading investments	12	32,286,857	26,569,340
Derivative financial instruments	39	5,583,080	5,605,647
Other assets	13	4,300,195	4,083,411
Investment Properties	14	140,061	-
Property and equipment	15	2,346,488	2,215,760
Total assets		300,599,169	255,667,505
Liabilities			
Due to banks and financial institutions	16	35,477,275	39,795,601
Repurchase agreements	17	2,017,041	3,513,726
Euro commercial paper	18	2,831,198	-
Customers' deposits	19	190,303,573	151,816,887
Term borrowings	20	19,073,630	15,148,516
Derivative financial instruments	39	6,652,508	4,784,473
Other liabilities	21	7,448,492	6,228,763
		263,803,717	221,287,966
Subordinated notes	22	5,662,361	7,990,054
Total liabilities		269,466,078	229,278,020
Equity			
Share capital	23	3,874,558	2,870,043
Statutory and special reserves	23	4,065,532	3,563,274
Other reserves	23	14,067,140	11,466,410
Government of Abu Dhabi tier 1 capital notes	24	4,000,000	4,000,000
Share option scheme	25	95,312	76,497
Subordinated convertible notes - equity component	22	21,420	27,639
Retained earnings		5,009,129	4,385,622
Total equity		31,133,091	26,389,485
Total liabilities and equity		300,599,169	255,667,505

Nasser Ahmed Khalifa AlSowaidi
Chairman

Michael Tomalin
Group Chief Executive

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated income statement
For the year ended 31 December 2012

	Note	2012 AED'000	2011 AED'000
Interest income	26	7,979,592	7,651,786
Interest expense	27	(2,156,628)	(2,156,538)
Net interest income		5,822,964	5,495,248
Income from Islamic financing contracts	28	316,085	362,811
Depositors' share of profits	29	(42,957)	(55,165)
Net income from Islamic financing contracts		273,128	307,646
Net interest and Islamic financing income		6,096,092	5,802,894
Fee and commission income		1,905,488	1,635,945
Fee and commission expense		(359,092)	(245,126)
Net fee and commission income	30	1,546,396	1,390,819
Net gain on investments	31	537,234	93,540
Net foreign exchange gain	32	403,000	522,231
Other operating income	33	88,063	71,378
		1,028,297	687,149
Operating income		8,670,785	7,880,862
General, administration and other operating expenses	34	(2,870,053)	(2,563,724)
Profit before net impairment charge and taxation		5,800,732	5,317,138
Net impairment charge	35	(1,336,543)	(1,498,555)
Profit before taxation		4,464,189	3,818,583
Overseas income tax expense	36	(131,961)	(111,036)
Net profit for the year		4,332,228	3,707,547
Basic earnings per share (AED)	42	1.06	0.90
Diluted earnings per share (AED)	42	1.04	0.88

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of comprehensive income
For the year ended 31 December 2012

	Note	2012 AED'000	2011 AED'000
Net profit for the year		4,332,228	3,707,547
Other comprehensive income			
Exchange difference on translation of foreign operations		(97,085)	(1,193)
Change in the fair value reserve	23	1,598,331	(484,408)
Directors' remuneration		(5,450)	(5,450)
Buy back of subordinated convertible notes	22	3,999	8,188
Other comprehensive income / (expense) for the year		1,499,795	(482,863)
Total comprehensive income for the year		5,832,023	3,224,684

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of changes in equity
For the year ended 31 December 2012

	Share capital AED'000	Statutory reserve AED'000	Special reserve AED'000	General reserve AED'000	Government of Abu Dhabi Tier 1 capital notes AED'000	Share option scheme AED'000	Fair value reserve AED'000	Foreign currency translation reserve AED'000	Subordinated convertible notes – equity component AED'000	Retained earnings AED'000	Total AED'000
Balance at 1 January 2011	**2,391,703**	**1,195,852**	**2,128,253**	**10,507,798**	**4,000,000**	**52,739**	**(414,606)**	**(3,453)**	**74,925**	**4,180,205**	**24,113,416**
Total comprehensive income for the year	-	-	-	8,188	-	-	(484,408)	(1,193)	-	3,702,097	3,224,684
Buy back of subordinated convertible notes (note 22)	-	-	-	-	-	-	-	-	(14,862)	-	(14,862)
Options granted to staff (note 25)	-	-	-	-	-	23,758	-	-	-	-	23,758
Dividends paid for 2010 (note 23)	-	-	-	-	-	-	-	-	-	(717,511)	(717,511)
Bonus shares issued (note 23)	478,340	-	-	(478,340)	-	-	-	-	-	-	-
Payment on Tier 1 capital notes (note 24)	-	-	-	-	-	-	-	-	-	(240,000)	(240,000)
Transfer to statutory reserve (note 23)	-	239,169	-	-	-	-	-	-	-	(239,169)	-
Transfer to general reserve (note 22, 23)	-	-	-	2,332,424	-	-	-	-	(32,424)	(2,300,000)	-
Balance at 31 December 2011	**2,870,043**	**1,435,021**	**2,128,253**	**12,370,070**	**4,000,000**	**76,497**	**(899,014)**	**(4,646)**	**27,639**	**4,385,622**	**26,389,485**
Total comprehensive income for the year	-	-	-	3,999	-	-	1,598,331	(97,085)	-	4,326,778	5,832,023
Buy back of subordinated convertible notes (note 22)	-	-	-	-	-	-	-	-	(6,219)	-	(6,219)
Options granted to staff (note 25)	-	-	-	-	-	18,815	-	-	-	-	18,815
Dividends paid for 2011 (note 23)	-	-	-	-	-	-	-	-	-	(861,013)	(861,013)
Bonus shares issued (note 23)	1,004,515	-	-	(1,004,515)	-	-	-	-	-	-	-
Payment on Tier 1 capital notes (note 24)	-	-	-	-	-	-	-	-	-	(240,000)	(240,000)
Transfer to statutory reserve (note 23)	-	502,258	-	-	-	-	-	-	-	(502,258)	-
Transfer to general reserve (note22,23)	-	-	-	2,100,000	-	-	-	-	-	(2,100,000)	-
Balance at 31 December 2012	**3,874,558**	**1,937,279**	**2,128,253**	**13,469,554**	**4,000,000**	**95,312**	**699,317**	**(101,731)**	**21,420**	**5,009,129**	**31,133,091**

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of cash flows
For the year ended 31 December 2012

	Note	2012 AED'000	2011 AED'000
Cash flows from operating activities			
Profit before taxation		4,464,189	3,818,583
Adjustments for:			
Depreciation	34	181,316	157,277
Accreted interest		(11,622)	51,022
Profit on buyback of subordinated notes	22	(6,534)	(33,090)
Write-offs and impairment charges	35	2,143,636	1,897,920
Foreign currency translation adjustment		(98,961)	(34,209)
Share option scheme		18,815	23,758
Write back of provisions for loans and advances	35	(579,717)	(268,939)
		6,111,122	5,612,322
Change in investments at fair value through profit or loss		(1,749,988)	(317,919)
Change in due from central banks, banks and financial institutions		(4,281,980)	2,572,179
Change in reverse repurchase agreements		(2,084,588)	(5,526,563)
Change in loans and advances		(6,547,359)	(24,144,997)
Change in other assets		(354,552)	(703,717)
Change in due to banks and financial institutions		(4,318,326)	8,244,255
Change in repurchase agreements		(1,496,684)	970,830
Change in customers' deposits		38,486,686	28,686,298
Change in derivative financial instruments		1,890,602	(486,613)
Change in other liabilities		1,165,262	1,250,091
		26,820,195	16,156,166
Overseas income tax paid, net of recoveries		(99,028)	(101,232)
Net cash from operating activities		26,721,167	16,054,934
Cash flows from investing activities			
Purchase of non-trading investments		(18,761,389)	(11,881,095)
Proceeds from sale / maturity of non-trading investments		14,659,428	6,207,254
Purchase of investment properties		(76,944)	-
Purchase of premises and equipment, net of disposals		(312,043)	(321,858)
Net cash used in investing activities		(4,490,948)	(5,995,699)
Cash flows from financing activities			
Net movement of Euro commercial paper	18	2,831,198	(35,053)
Issue of term borrowings		7,454,119	537,662
Repayment of term borrowings		(3,531,474)	-
Buy back of subordinated notes		(2,839,397)	(591,335)
Issue of subordinated notes		598,154	-
Dividends paid	23	(861,013)	(717,511)
Payment on Tier I capital notes	24	(240,000)	(240,000)
Net cash from / (used in) financing activities		3,411,587	(1,046,237)
Net increase in cash and cash equivalents		25,641,806	9,012,998
Cash and cash equivalents at 1 January		29,989,577	20,976,579
Cash and cash equivalents at 31 December	37	55,631,383	29,989,577

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Notes to the consolidated financial statements

1 Legal status and principal activities

National Bank of Abu Dhabi PJSC (the "Bank") was established in Abu Dhabi in 1968 with limited liability and is registered as a Public Joint Stock Company in accordance with the United Arab Emirates Federal Law No. 8 of 1984 (as amended) relating to Commercial Companies.

Its registered office address is P. O. Box 4, Abu Dhabi, United Arab Emirates. The consolidated financial statements as at and for the year ended 31 December 2012 comprise the Bank and its subsidiaries (together referred to as the "Group"). The Group is primarily engaged in corporate, retail, private and investment banking activities, management services, Islamic banking activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in United Arab Emirates, Bahrain, Egypt, France, Oman, Kuwait, Sudan, Libya, the United Kingdom, Switzerland, Hong Kong, Jordan, Malaysia, China and the United States of America.

The Group's Islamic banking activities are conducted in accordance with Islamic Sharia'a laws issued by the Sharia'a Supervisory Board.

The Bank is listed on the Abu Dhabi Securities Exchange (Ticker: NBAD).

The parent company of the Bank is the Abu Dhabi Investment Council, an entity owned by the Government of the Emirate of Abu Dhabi.

These consolidated financial statements were authorised for issue by the Board of Directors on 29 January 2013.

2 Basis of preparation

(a) Statement of compliance

These consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRSs) and the requirements of applicable laws in the UAE.

(b) Basis of measurement

These consolidated financial statements are prepared under the historical cost basis except for the following:

- derivative financial instruments are measured at fair value;
- investments at fair value through profit or loss are measured at fair value;
- non-trading investments classified as available-for-sale are measured at fair value;
- recognised assets and liabilities designated as hedged items in qualifying hedge relationships are adjusted for changes in fair value attributable to the risk being hedged
- non-financial assets acquired in settlement of loans and advances are measured at the lower of their fair value less costs to sell and the carrying amount of the loan and advances.

(c) Functional and presentation currency

These consolidated financial statements are presented in United Arab Emirates Dirhams ("AED"), which is the Bank's functional currency. Items included in the financial statements of each of the Bank's overseas subsidiaries and branches are measured using the currency of the primary economic environment in which they operate. Except as indicated, information presented in AED has been rounded to the nearest thousand.

(d) Use of estimates and judgements

The preparation of consolidated financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amount recognised in these consolidated financial statements are described in note 5.

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and have been applied consistently by Group entities.

(a) Basis of consolidation

(i) Subsidiaries

Subsidiaries are entities controlled by the Group. Control exists when the Group has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. The financial statements of subsidiaries are included in these consolidated financial statements from the date that control commences until the date that control ceases.

These consolidated financial statements of the Group comprise the Bank and its subsidiaries as listed below:

	Country of incorporation
Abu Dhabi International Bank Inc.	*Curacao, Netherlands Antilles*
Abu Dhabi Financial Services LLC	*Abu Dhabi, United Arab Emirates*
Abu Dhabi National Leasing LLC	*Abu Dhabi, United Arab Emirates*
Abu Dhabi National Properties PrJC	*Abu Dhabi, United Arab Emirates*

NBAD Trust Company (Jersey) Limited
Jersey, Channel Islands

NBAD Private Bank (Suisse) SA
Geneva, Switzerland

Abu Dhabi National Islamic Finance Company
Abu Dhabi, United Arab Emirates

Ample China Holding Limited
Hong Kong, China

Abu Dhabi Brokerage Egypt
Egypt

National Bank of Abu Dhabi Malaysia Berhad
Kuala Lumpur, Malaysia

NBAD Investment Management (DIFC) Limited
Dubai, United Arab Emirates

(ii) Special purpose entities

Special purpose entities (SPEs) are entities that are created to accomplish a narrow and well defined objective. An SPE is consolidated if, based on the evaluation of the substance of its relationship with the Group and SPE's risks and rewards, the Group concludes that it controls the SPE. An assessment of control over the SPE is carried out at the inception and is not reassessed unless there is a change in the structure or terms of the SPE or change market conditions where the Group determines such reassessment necessary based on the facts and circumstances. Information about the Group's special purpose entities is set out in note 44.

(iii) Fund management

The Group manages and administers assets held in trust or in fiduciary capacity on behalf of investors. The financial statements of these funds are not included in these consolidated financial statements except when the Group controls the entity. Information about the Group's fund management and fiduciary activity is set out in note 43.

(iv) Transactions eliminated on consolidation

The carrying amount of the Bank's investment in each subsidiary and the equity of each subsidiary is eliminated on consolidation. All significant intra-group balances, and unrealised income and expenses arising from intra-group transactions are eliminated on consolidation.

(b) Financial assets and liabilities

(i) Recognition

The Group initially recognises loans and advances, customers' deposits, term borrowing and subordinated notes on the date that they are originated. All other financial assets and liabilities are initially recognised on the consolidated statement of financial position when, the Group becomes a party to the contractual provisions of the instrument.

All regular way purchases and sales of financial assets are recognised on the settlement date, i.e. the date the asset is delivered to or received from the counterparty. Regular way purchases or sales of financial assets are those that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

The Group enters into transactions whereby it transfers assets recognised on its consolidated statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such transactions, the transferred assets are not derecognised from the consolidated statement of financial position. Transfers of assets with retention of all or substantially all risks and rewards include repurchase transactions.

The Group also derecognises certain assets when it writes off balances pertaining to the assets deemed to be uncollectible.

(iii) Designation at fair value through profit or loss

The Group has designated financial assets and liabilities at fair value through profit or loss when either:

- the assets or liabilities are managed, evaluated and reported internally on a fair value basis; or
- the designation eliminates or significantly reduces an accounting mismatch which would otherwise arise.

(iv) Held for trading

Trading assets are those assets that the group acquires for the purpose of selling in the near term, or holds as part of a portfolio that is managed together for short-term profit taking. Trading assets are not reclassified subsequent to their initial recognition.

(v) Designation as available-for-sale and held-to-maturity

The Group has non-derivative financial assets designated as available-for-sale when these are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.
Held-to-maturity investments are non-derivative assets with fixed or determinable payments and fixed maturity that the Group has the positive intent and ability to hold to maturity, and which are not designated as at fair value through profit or loss, available-for-sale or those meet the definition of loans and advances.

(vi) Offsetting

Financial assets and liabilities are set off and the net amount presented in the consolidated statement of financial position when, and only when, the Group has a legal right to set off the amounts and intend either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(vii) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

(viii) Fair value measurement

The determination of fair values of financial assets and liabilities is based on quoted market prices or dealer quotations for financial instruments traded in active markets. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. Quoted bid prices are used for financial assets and quoted ask prices are used for financial liabilities.

For financial instruments not traded on an active market, fair value is determined based on recent transactions, brokers' quotes or a widely recognised valuation technique.

Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses and option pricing models. The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs to valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e., the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e., without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets.

(ix) Identification and measurement of impairment

An assessment is made at each reporting date and periodically during the year to determine whether there is any objective evidence that financial assets not carried at fair value through profit or loss, are impaired. Financial assets are impaired when objective evidence indicates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Objective evidence that financial assets are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

The Group considers evidence of impairment at both specific and collective level. All individually significant assets are assessed for specific impairment. All individually significant assets found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together financial assets with similar risk characteristics.

In assessing collective impairment the Group uses statistical modelling of historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical modelling. Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

Impairment losses on financial assets carried at amortised cost are measured as the difference between the carrying amount of the financial asset and the present value of estimated cash flows discounted at the original effective interest rate. Impairment losses are recognised in the consolidated income statement and reflected in an allowance account against such financial assets. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the consolidated income statement.

Impairment losses on available-for-sale investment securities are recognised by transferring the difference between the amortised acquisition cost and current fair value out of other comprehensive income to the consolidated income statement. When a subsequent event causes the amount of impairment loss on available-for-sale debt security to decrease, the impairment loss is reversed through the consolidated income statement. However, any subsequent recovery in the fair value of an impaired available-for-sale equity investment is recognised in the other comprehensive income.

Impairment losses on an unquoted equity instrument that is carried at cost because its fair value cannot be reliably measured, is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

(c) Cash and cash equivalents

For the purpose of consolidated statement of cash flows, cash and cash equivalents comprise cash, balances with central banks and due from banks and financial institutions with original maturities of less than three months, which are subject to insignificant risk of changes in fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the consolidated statement of financial position.

(d) Investments at fair value through profit or loss

These are financial assets classified as held for trading or designated as such upon initial recognition. These are initially recognised and subsequently measured at fair value with transaction costs taken directly to the consolidated income statement. All related realised and unrealised gains or losses are included in net investment income.

(e) Due from banks and financial institutions

These are stated at amortised cost, less any allowance for impairment.

(f) Loans and advances

Loans and advances are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

These are initially measured at fair value (being the transaction price at inception) plus incremental direct transaction costs and subsequently measured at amortised cost using the effective interest method, adjusted for effective fair value hedges, net of interest suspended and provisions for impairment.

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease and a receivable equal to the net investment in the lease is recognised and presented within loans and advances. In determining of whether an arrangement is a lease is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the assets.

(g) Islamic financing and investing contracts

(i) Definitions

Ijara
Ijara consists of Ijara muntahia bitamleek.

Ijara muntahia bitamleek is an agreement whereby the Group (the lessor) conveys to the customer (the lessee), in return for a specific rent, the right to use a specific asset for a specific period of time, against payment of fixed periodical and variable rental. Under this agreement, the Group purchases or constructs the asset and rents it to the customer. The contract specifies the leasing party and the amount and timing of rental payments and responsibilities of both parties during the term of the lease. The customer provides the Group with an undertaking to settle the rental amount as per the agreed schedule.

The Group retains the ownership of the assets throughout the entire lease term. At the end of the lease term, the Group sells the leased asset to the customer at a nominal value based on a sale undertaking by the Group.

Murabaha
An agreement whereby the Group sells to a customer a commodity, which the Group has purchased and acquired, based on promise received from the customer to buy the item purchased according to specific terms and conditions. The selling price comprises the cost of the commodity and an agreed profit margin.

Mudaraba
A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the funds in a project or a particular activity and any generated profits are distributed between the parties according to the profit shares that were pre-agreed upon in the contract. The Mudarib is responsible for all losses caused by his misconduct, negligence or violation of the terms and conditions of the Mudaraba; otherwise, losses are borne by Rab Al Mal.

Wakala
An agreement whereby the Group provides a certain sum of money to an agent (Wakkil) who invests it in Sharia's compliant transactions according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested).

(ii) Revenue recognition

Ijara
Income from Ijara is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Murabaha
Income from Murabaha is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Mudaraba
Income or losses on Mudaraba financing are recognised on an accrual basis if they can be reliably estimated. Otherwise, income is recognised on distribution by the Mudarib, whereas the losses are charged to the consolidated income statement on their declaration by the Mudarib.

Wakala
Estimated income from Wakala is recognised on an accrual basis over the period, adjusted by actual income when received. Losses are accounted for on the date of declaration by the agent.

(h) Non-trading investments

Included in non-trading investments are available-for-sale assets which are initially recognised at fair value plus incremental transaction costs directly attributable to the acquisition.

After initial recognition, these investments are remeasured at fair value. For investments which are not part of an effective hedge relationship, unrealised gains or losses are recognised in other comprehensive income until the investment is derecognised or until the investment is determined to be impaired, at which time the cumulative gain or loss previously recognised in other comprehensive income, is included in the consolidated income statement for the year. For investments which are part of an effective fair value hedge relationship, any unrealised gain or loss arising from a change in fair value is recognised directly in the consolidated income statement to the extent of the changes in fair value being hedged.

For the purpose of recognising foreign exchange gains and losses, an available-for-sale financial asset is treated as if it were carried at amortised cost in the foreign currency. Accordingly, for such a financial asset, exchange differences are recognised in the consolidated income statement.

For unquoted equity investments where fair value cannot be reliably measured, these are carried at cost less provision for impairment in value. Upon de-recognition, the gain or loss on sale is recognised in the consolidated income statement for the year.

Included in non-trading investments are held-to-maturity assets which are non derivative assets with fixed or determinable payments and fixed maturity and that the Group has the positive intent and ability to hold them till maturity. These are carried at amortised cost less impairment.

(i) Reverse repurchase agreements

Assets purchased with a simultaneous commitment to resell at a specified future date (reverse repos) are not recognised. The amount paid to the counterparty under these agreements is shown as reverse repurchase agreements in the consolidated statement of financial position. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repurchase agreement and charged to the consolidated income statement using the effective interest method.

(j) Property and equipment

(i) Recognition and measurement

All items of property and equipment are measured at cost less accumulated depreciation and impairment losses, if any. Capital projects in progress are initially recorded at cost, and upon completion are transferred to the appropriate category of property and equipment and thereafter depreciated.

Cost includes expenditures that are directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Gains and losses on disposal of an item of property and equipment are determined by comparing the proceeds from disposal with the carrying amount of property and equipment and are recognised net within other operating income in the consolidated income statement.

Subsequent expenditures are only capitalised when it is probable that the future economic benefits of such expenditures will flow to the Group. On-going expenses are charged to consolidated income statement as incurred.

(ii) Depreciation

Depreciation is recognised in the consolidated income statement on a straight-line basis over the estimated useful lives of all property and equipment. Freehold land and capital work in progress are not depreciated.

The estimated useful lives of assets for the current and comparative period are as follows:

Buildings	20 to 50 years
Office furniture and equipment	1 to 5 years
Alterations to premises	4 years
Safes	10 to 20 years
Computer systems and equipment	3 to 7 years
Vehicles	3 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Impairment

The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated income statement to the extent that carrying values do not exceed the recoverable amounts.

(k) Investment properties

(i) Recognition and measurement

Investment properties are properties held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment properties

are measured at cost as per Cost model under IAS 40-Investment properties. Cost includes expenditures that are directly attributable to the acquisition of the asset.

When the use of a property changes such that it is reclassified as property and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal.

Any income or expenses on the investment properties are recognised in the consolidated income statement in other operating income or other operating expense respectively.

(ii) Depreciation

Depreciation is recognised in the consolidated income statement on a straight-line basis over the estimated useful lives of all investment properties.

The estimated useful lives of investment properties for the current period are as follows:

Buildings and villas	20 to 50 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Impairment

The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated income statement to the extent that carrying values do not exceed the recoverable amounts.

(l) Collateral pending sale

Non-financial assets acquired in settlement of loans and advances are recorded as assets held for sale and reported in "Other assets". The asset acquired is recorded at the lower of its fair value less costs to sell and the carrying amount of the loan (net of impairment allowance) at the date of exchange. No depreciation is provided in respect of assets held for sale. Any subsequent write-down of the acquired asset to fair value less costs to sell is recorded as an impairment loss and included in the consolidated income statement. Any subsequent increase in the fair value less costs to sell, to the extent this does not exceed the cumulative impairment loss, is recognised in the consolidated income statement. The Group's collateral disposal policy is in line with the respective regulatory requirement of the regions in which the Group operates.

(m) Due to banks and financial institutions, customers' deposits, Euro commercial paper and term borrowings

Due to banks and financial institutions, customer deposits, Euro commercial paper and term borrowings are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest method.

(n) Repurchase agreements

Assets sold with a simultaneous commitment to repurchase at a specified future date (repos) are not derecognised. The liability to the counterparty for amounts received under these agreements is shown as repurchase agreements in the consolidated statement of financial position. The difference between sale and repurchase price is treated as interest expense and accrued over the life of the repurchase agreement and charged to the consolidated income statement using the effective interest method.

(o) Subordinated notes

Subordinated notes include subordinated convertible notes that can be converted into share capital at the option of the holder, where the number of shares issued do not vary with changes in their fair value, are accounted for as compound financial instruments. The equity component of the subordinated convertible notes is calculated as the excess of issue proceeds over the present value of the future interest and principal payments, discounted at the market rate of interest applicable to similar liabilities that do not have a conversion option.

Subsequent to initial recognition, all subordinated notes are measured at their amortised cost using the effective interest method.

(p) Share option scheme

On the grant date fair value of options granted to staff is recognised as staff cost, with a corresponding increase in equity, over the period in which the staff become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the number of share options for which the related service conditions are expected to be met, such that the amount ultimately recognised as an expense is based on the number of share options that do meet the related service and non-market performance conditions at the vesting date.

(q) Interest

Interest income and expense are recognised in the consolidated income statement using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash flows through the expected life of the financial asset or liability to the carrying amount of the financial asset or liability.

The calculation of the effective interest rate includes all fees paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.
Interest income and expense presented in the consolidated income statement include:

- interest on financial assets and liabilities at amortised cost on an effective interest basis.
- interest on available-for-sale investment securities on an effective interest basis.
- interest on held for trading securities and derivative financial instruments on an effective interest basis.

r) Fee and commission

The Group earns fee and commission income from a diverse range of services provided to its customers. The basis of accounting treatment of fees and commission depends on the purposes for which the fees are collected and accordingly the revenue is recognised in consolidated income statement. Fee and commission income is accounted for as follows:

- income earned from the provision of services is recognised as revenue as the services are provided;
- income earned on the execution of a significant act is recognised as revenue when the act is completed;
- income which forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in "Interest income".

Fee and commission expense relates mainly to transaction and service fees which are expensed as the services are received.

(s) Net gain on investments

Net gain on investments comprise realised and unrealised gains and losses on investments at fair value through profit or loss, realised gains and losses on non-trading investments and dividend income. Dividend income is recognised when the right to receive payment is established.

(t) Foreign currency

(i) Foreign currency transactions
Transactions in foreign currencies are translated into the respective functional currencies of the Group entities at spot exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot exchange rates at the reporting date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period. Foreign currency differences arising on retranslation are recognised in consolidated income statement.

(ii) Foreign operations
The activities of subsidiaries and branches based outside the UAE are not deemed an integral part of the head office operations, as they are financially and operationally independent of the head office. The assets and liabilities of the subsidiaries and overseas branches are translated into UAE Dirhams at rates of exchange at the reporting date. Income and expense items are translated at average rates, as appropriate, at the dates of transactions. Exchange differences (including those on transactions which hedge such investments) arising from retranslating the opening net assets, are taken directly to foreign currency translation adjustment account in other comprehensive income.

(u) Overseas income tax expense

Income tax expense is provided for in accordance with fiscal regulations of the respective countries in which the Group operates and is recognised in the consolidated income statement. Income tax expense is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the liability method on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future. Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on laws that have been enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

(v) Zakat

Zakat represents business zakat payable by the Group to comply with the principles of Sharia'a and approved by the Sharia'a Supervisory Board. The Group's appointed Zakat Committee is mandated to recommend zakat distribution.

(w) Derivative financial instruments and hedging

Derivatives are initially recognised, and subsequently measured at fair value with transaction costs taken directly to the consolidated income statement. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative or using valuation techniques, mainly discounted cash flow models.

The method of recognising the resulting fair value gains or losses depends on whether the derivative is held for trading, or is designated as a hedging instrument and, if so, the nature of the risk being hedged. All gains and losses from changes in fair value of derivatives held for trading are recognised in the consolidated income statement. When derivatives are designated as hedges, the Group classifies them as either: (i) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; (ii) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction; (iii) hedge of net investment which are accounted similarly to a cash flow hedge. Hedge accounting is applied to derivatives designated as hedging instruments in a fair value or cash flow, provided the criteria are met.

Embedded derivatives
Derivatives may be embedded in another contractual arrangement (a host contract). The Group accounts for an embedded derivative separately from the host contract when the host contract is not itself carried at fair value through profit or loss, the terms of the embedded derivative would meet the definition of a derivative if they were contained in a separate contract, and the economic characteristic and risks of the embedded derivative are not closely related to the economic characteristics and risk of the host contract. Separated embedded derivatives are accounted for depending on their classification, and are presented separately from host contract in the consolidated statement of financial position.

Hedge accounting
It is the Group's policy to document, at the inception of a hedge, the relationship between hedging instruments and hedged items, as well as risk management objective and strategy. The policy also requires documentation of the assessment, at inception and on an on-going basis, of the effectiveness of the hedge.

The Group makes an assessment, both at the inception of the hedge relationship as well as on an on-going basis, as to whether the hedging instrument(s) is(are) expected to be highly effective in offsetting the changes in the fair value or cash flows of the respective hedged item(s) during the period for which the hedge is designated, and whether the actual results of each hedge are within a range of 80-125 percent. The Group makes an assessment for a cash flow hedge of a forecast transaction, as to whether the forecast transaction is highly probable to occur and presents an exposure to variations in cash flows that could ultimately affect profit or loss.

Fair value hedge
In relation to fair value hedges, any gain or loss from re-measuring the hedging instrument to fair value, as well as related changes in fair value of the item being hedged, are recognised immediately in the consolidated income statement together with the changes in the fair value of the hedged item that are attributable to the hedged risk. Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting. Any adjustment up to that period to the hedged item for which effective interest rate method was used is amortised to the consolidated income statement as a part of the recalculated effective interest rate of the then hedged item over its remaining life.

Cash flow hedge
In relation to effective cash flow hedges, the gain or loss on the hedging instrument is recognised initially in other comprehensive income and transferred to the consolidated income statement in the period in which the hedged transaction impacts the consolidated income statement. Gains or losses, if any, relating to the ineffective portion, are recognised immediately in the consolidated income statement. If the hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in other comprehensive income is transferred to the consolidated income statement.

Net investments hedges
When a derivative instrument or a non-derivative financial liability is designated as the hedging instrument in a hedge of a net investment in a foreign operation, the effective portion of the changes in the fair value of the hedging instrument is recognised in other comprehensive income in the translation reserve. Any ineffective portion of the changes in the fair value of the derivative is recognised immediately in the consolidated income statement. The amount recognised under other comprehensive income is reclassified to income statement on disposal of the foreign operation.

Other derivatives
All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting or are not designated as such are recognised immediately in the consolidated income statement as a component of net gain on investments or net foreign exchange gain.

(x) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Where the effect of time value of money is material, provisions are determined by discounting the expected future cash flows, at a pre-tax rate, that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(y) Staff terminal benefits

UAE operations: UAE nationals employed by the Group are registered in the scheme managed by Abu Dhabi Retirement Pensions & Benefits Fund in accordance with Law number (2) of 2000. Staff terminal benefits for expatriate employees are accounted for on the basis of their accumulated services at the reporting date and in accordance with the Group's internal regulations, which comply with the UAE federal labour law.

Foreign operations: the Group provides for staff terminal benefits for its employees based overseas in accordance with the applicable regulations in those jurisdictions.

(z) Directors' remuneration

In accordance with the Ministry of Economy and Commerce interpretation of Article 119 of Federal Law No. 8 of 1984 (as amended), Directors' remuneration has been treated as an component of other comprehensive income.

(aa) Fiduciary activities

Assets held in trust or in a fiduciary capacity are not treated as assets of the Group and, accordingly, are not included in these consolidated financial statements.

(ab) Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Certain financial guarantee contracts in the nature of credit default guarantees are not held for proprietary trading purposes and are treated as insurance contracts and accounted under IFRS 4.

For other financial guarantee contracts, these are initially recognised at their fair value (which is the premium received on issuance). The received premium is amortised over the life of the financial guarantee. The guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment (when a payment under the guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

(ac) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise subordinated convertible notes and share options granted to staff.

(ad) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Chief Executive, being the chief operating decision maker, to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the Group Chief Executive include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

(ae) Lease payments

Payments made under operating leases are recognised in the consolidated income statement on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

(af) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2012, and have not been applied in preparing these consolidated financial statements:

IFRS-7 *(Amendments to IFRS 7) - Disclosures - Offsetting financial assets and financial liabilities:* amendment introduces disclosure requirement for financial assets and liabilities that are offset in statement of financial position or are subject to master netting arrangement or similar arrangements. Effective 1 January 2013;

IAS - 32 *(Amendments to IAS32 Offsetting financial assets and financial liabilities):* clarifies the offsetting criteria by explaining when an entity has a legal and enforceable right to set off and when gross settlement is equivalent to net settlement Effective on or after 1 January 2014;

IFRS-10 *Consolidated Financial Statements:* Replaces the part of IAS 27 Consolidated and separate financial statements and SIC 12 Consolidation - Special purpose entities. IFRS 10 establishes principles for the presentation and preparation of consolidated financial statements when an entity controls one or more other entities. Effective 1 January 2013;

IFRS-11 *Joint Arrangements:* Standard on Joint Arrangements provides for a more realistic reflection

of joint arrangements by focusing on the rights and obligations of the arrangement, rather than its legal form (as is currently the case). The standard addresses inconsistencies in the reporting of joint arrangements by requiring a single method to account for interests in jointly controlled entities Effective 1 January 2013

IFRS -12 *Disclosure of Interests in Other Entities:* Standard on disclosure requirements for all forms of interests in other entities, including subsidiaries, joint arrangements, associates and unconsolidated structured entities Effective 1 January 2013

IFRS -13 *Fair Value Measurement:* Seeks to increase consistency and comparability in fair value measurements and related disclosures across IFRSs Effective 1 January 2013;

IFRS -9 *Financial Instruments:* In November 2009 the IASB's issued IFRS 9 as a comprehensive project to replace IAS 39, deals with classification and measurement of financial assets. The requirements of this standard represent a significant change from the existing requirements in IAS 39 in respect of financial assets. The standard contains two primary measurement categories for financial assets: amortised cost and fair value. The standard eliminates the existing IAS 39 categories of held to maturity, available-for-sale and loans and receivable.

Gains and losses on remeasurement of financial assets measured at fair value will be recognized in profit or loss, except that for an investment in an equity instrument which is not held-for-trading, IFRS 9 (2010) added guidance to IFRS 9 (2009) on the classification and measurement of financial liabilities, and this guidance is consistent with the guidance in IAS 39 with few exceptions.

IFRS 9 (2010) also added the requirements of IAS 39 for derecognition of financial assets and liabilities to IFRS 9 without change.

The IASB has deferred the mandatory effective date of the existing chapters of IFRS 9 Financial Instruments (2009) and IFRS 9 (2010) to annual periods beginning on or after January 1, 2015. The early adoption of either standard continues to be permitted. Given the nature of the Groups operations, this standard is expected to have a pervasive impact on the Group's consolidated financial statement.

4 Financial risk management

(a) Introduction and overview

The Group has exposure to the following risks from financial instruments:

- credit risk
- liquidity risk
- market risk
- operational risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

Risk management framework

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and six management committees (Group Assets and Liabilities Committee ("ALCO"), Group Credit Committee, Investment Committee Bank Equity, Reputation Risk Committee, Business Continuity Management Committee and Operational Risk Management Committee("ORMC")).

(b) Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and financial institutions, reverse repurchase agreements and non-trading debt investments, derivative financial instruments and certain other assets.

For risk management purposes, credit risk arising on trading investments is managed independently, and reported as a component of market risk exposure.

Management of credit risk

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each exposure in the Sovereign, Banks and Corporate asset classes is assigned a rating. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Watch-list and Grades 9 -11 are non – performing each with a rating description.

In addition, the Group manages the credit exposure by obtaining collateral where appropriate and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk. Credit risk in respect of derivative financial instruments is limited to those with positive fair values.

Credit risk arising from other financial instruments are managed by assigning limits, diversification of investment activities, limiting concentration of exposure to industry sectors, geographical locations and counterparties.

Impairment:

The Group measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

	Due from Banks and financial institutions		Loans and advances		Non-trading investments	
	2012 AED'000	2011 AED'000	2012 AED'000	2011 AED'000	2012 AED'000	2011 AED'000
Individually impaired						
Substandard	-	-	2,734,930	2,292,175	-	-
Doubtful	718	979	1,860,988	1,823,454	20,055	20,055
Loss	-	-	1,891,896	1,225,818	-	-
Gross amount	718	979	6,487,814	5,341,447	20,055	20,055
Interest suspended	-	-	(707,053)	(502,139)	-	-
Specific allowance for impairment	(718)	(979)	(3,089,649)	(2,480,109)	(16,712)	(16,712)
Carrying amount	-	-	2,691,112	2,359,199	3,343	3,343
Past due but not impaired						
Past due comprises:						
Less than 30 days	-	-	413,555	430,912	-	-
31 – 60 days	-	-	85,501	74,894	-	-
61 – 90 days	-	-	133,548	77,998	-	-
More than 90 days	-	-	1,968,538	1,774,272	-	-
Carrying amount	-	-	2,601,142	2,358,076	-	-
Neither past due nor Impaired	14,615,968	15,166,763	161,735,198	157,125,500	32,283,514	26,565,997
Collective allowance for impairment	-	-	(2,428,074)	(2,320,597)	-	-
Carrying amount	14,615,968	15,166,763	164,599,378	159,522,178	32,286,857	26,569,340

Non trading investment includes investment in equity instruments amounting to AED 121 million *(2011: AED 97 million)* which does not carry credit risk.

The category of neither past due nor impaired includes renegotiated loans amounting to AED 2,405,817 thousand *(2011: AED 3,108,468 thousand)*.

Impaired loans and advances and non-trading investments
Impaired loans and advances and non-trading investments are financial assets for which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan agreements. The Group financial assets that are neither past due nor impaired fall within the grade 1 – 7 in accordance with the Group's internal credit risk grading system.

Past due but not impaired
Past due but not impaired are accounts where either contractual principal or interest are past due and when the accounts show some potential weakness in the borrower's financial position and creditworthiness, and requires more than normal attention. Such potential weakness is specifically monitored to ensure that the quality of the asset does not deteriorate in the near future affecting negatively the Group's credit position. On this class of asset the Group believes that specific impairment is not appropriate at the current condition, but interest is suspended in certain cases.

Loans with renegotiated terms
Loans with renegotiated terms are loans that have been restructured due to either deterioration in the borrower's financial position and where the Group has made concessions that it would not otherwise consider or the loans are performing but the terms have been amended. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish satisfactory track record of performance under the restructuring agreement. The Bank determines the twelve-month period to commence from either the date of signing of the agreement for restructuring or the date on which the revised terms were first adhered to by the borrower, whichever comes earlier. In the last twelve months, the Group has renegotiated the following exposures:

	2012 AED'000	2011 AED'000
Renegotiated loans	2,478,270	3,159,123

Movement of renegotiated loans during the year

	2012 AED'000	2011 AED'000
Balance at the beginning of the year	3,159,123	2,734,460
Upgraded to neither past due nor impaired during the year	(1,748,416)	(1,620,838
Downgraded to individually impaired or past due but not impaired during the year	(679,896)	(508,191)
Additions during the year	1,747,459	2,553,692
Balance at the end of the year	2,478,270	3,159,123

Allowances for impairment
The Group establishes an allowance for impairment losses on assets carried at amortised cost that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss allowance for losses that have been incurred but not identified, established for groups of homogeneous assets with similar risk characteristics that are indicative of the debtor's ability to pay amounts due according to the contractual terms on the basis of a credit risk evaluation or grading process that considers asset type, industry, geographical location, collateral type, past due status and other relevant factors. Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group.

Individually assessed loans are required to be classified as impaired as soon as there is objective evidence that an impairment loss has been incurred. Objective evidence of impairment includes observable data such as when contractual payment of principal or interest is overdue or there is known difficulties in the cash flows of counterparties, credit rating downgrades or original terms of the contractual repayment are unable to be met.

Write-off policy
The Group writes off a loan or investment balance (and any related allowances for impairment losses) when the Risk Management Committee determines that the loans or investments are uncollectible. This is determined after all possible efforts of collecting the amounts have been exhausted.

Collateral
The Group holds collateral against loans and advances and reverse repurchase agreement in the form of mortgage interests over property, other securities, cash deposits and guarantees. The Group accepts sovereign guarantees and guarantees from well reputed local or international banks, well established local or multinational large corporate and high net-worth private individuals. Collateral generally is not held against due from banks and financial institutions, and no such collateral was held at 31 December 2012 or 2011.

An estimate of the collateral coverage against non performing loans and advances (including Islamic financing) is shown below:

	2012 AED'000	2011 AED'000
Collateral value cover		
0 – 50%	4,611,357	2,961,173
50 – 100%	1,103,605	1,358,079
Above 100%	772,852	1,022,195
Total Gross non performing Loans	6,487,814	5,341,447

During the year 2012 and 2011, the Group repossessed a negligible amount of collateral that was held as security against loans and advances.

Concentrations of risk

The Group monitors concentrations of credit risk by industry sector, counterparty and geographic location. An analysis of concentrations of credit risk at the reporting date is shown below:

	Loans and advances		Others	
	2012 AED'000	2011 AED'000	2012 AED'000	2011 AED'000
Concentration by industry sector:				
Agriculture	88,740	50,082	-	-
Energy	25,225,352	30,557,399	5,132,425	3,105,361
Manufacturing	8,951,376	9,152,371	6,046	-
Construction	3,714,174	5,237,302	1,404	1,201
Real estate	28,501,344	27,228,389	790,982	824,632
Trading	3,503,000	4,018,428	306	59,457
Transport	6,553,757	6,215,941	466,003	153,727
Banks	20,177,846	16,052,536	26,949,819	21,456,968
Other financial institutions	8,133,530	7,338,342	9,435,418	11,571,008
Services	17,936,238	14,356,321	871,943	628,408
Government	21,153,974	17,293,055	10,432,450	6,810,035
Personal loans for consumption	14,757,422	13,464,521	-	-
Personal loans others	12,046,362	13,379,553	-	11,020
Others	81,039	480,783	694	-
	170,824,154	164,825,023	54,087,490	44,621,817
Less: allowance for impairment	(5,517,723)	(4,800,706)	(16,712)	(16,712)
Less: interest suspended	(707,053)	(502,139)	-	-
Carrying amount	164,599,378	159,522,178	54,070,778	44,605,105

Others comprises of investments at fair value through profit or loss, reverse repurchase agreements and non trading investments.

	Investments at fair value through profit or loss		Non-trading investments	
	2012 AED'000	2011 AED'000	2012 AED'000	2011 AED'000
Concentration by counter party:				
Government	221,633	248,497	10,210,817	6,561,538
Supranational	-	-	-	9,586
Public sector	674,651	298,074	7,664,196	5,214,065
Banks and financial institutions	2,219,403	978,054	13,723,730	13,884,779
Corporate sector	158,626	86,120	704,826	916,084
	3,274,313	1,610,745	32,303,569	26,586,052
Less: Allowance for impairment	-	-	(16,712)	(16,712)
Total carrying amount	3,274,313	1,610,745	32,286,857	26,569,340

The concentration by counter party for loans and advances is disclosed in note 11.

Concentration by location:

	Due from banks and financial institutions AED'000	Loans and advances AED'000	Reverse repurchase agreements AED'000	Non-trading investments AED'000
As at 31 Dec 2012				
UAE	6,636,847	110,633,189	206,959	15,695,915
Europe	5,319,751	28,521,478	9,122,547	7,048,966
Arab countries	1,754,317	13,304,404	8,956,064	7,788,895
Americas	540,121	3,898,383	224,038	1,096,298
Asia	359,253	8,213,888	-	317,013
Others	5,679	28,036	-	339,770
	14,615,968	**164,599,378**	**18,509,608**	**32,286,857**
As at 31 Dec 2011				
UAE	5,201,923	116,431,965	2,187,054	12,113,857
Europe	3,853,883	19,974,368	8,574,123	7,185,706
Arab countries	3,557,193	13,260,380	5,480,193	5,377,449
Americas	2,190,238	2,264,205	183,650	731,943
Asia	352,876	7,241,746	-	-
Others	10,650	349,514	-	1,160,385
	15,166,763	**159,522,178**	**16,425,020**	**26,569,340**

Concentration by location for loans and advances, due from banks and financial institutions is measured based on the residential status of the borrower. Concentration by location for non-trading investments and reverse repurchase agreements is measured based on the location of the issuer of the security.

Classification of trading securities and investment securities as per their external ratings:

	Non-trading investments		Investments at fair value through profit or loss	
	2012 AED'000	2011 AED'000	2012 AED'000	2011 AED'000
AAA	4,021,602	198,413	-	-
AA to A	20,216,902	21,046,024	2,030,206	877,368
BBB to B	5,168,011	2,824,272	425,042	92,506
Lower than B	-	29,397	-	-
Unrated	2,880,342	2,471,234	819,065	640,871
	32,286,857	26,569,340	3,274,313	1,610,745

Unrated investments primarily consist of investments in Government related entities and investments in equities and funds. Investments at fair value through profit or loss are neither past due nor impaired.

Settlement risk

The Group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counter party to honour its obligations to deliver cash, securities or other assets as contractually agreed. Any delay in settlement is rare and monitored.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive market value of instruments that are favourable to the Group. The positive market value is also referred to as the "replacement cost" since it is an estimate of what it would cost to replace transactions at prevailing market rates if a counterparty defaults. The majority of the Group's derivative contracts are entered into with other banks and financial institutions.

(c) Liquidity risk

Liquidity or funding risk is the risk that the Group will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk can be caused by market disruptions or credit downgrades which may cause certain sources of funding to dry up immediately.

Management of liquidity risk
The Group's approach to managing liquidity risk is to ensure that, management has diversified funding sources and closely monitors liquidity to ensure adequate funding. The Group maintains a portfolio of short-term liquid assets, largely made up of short-term liquid trading investments, reverse repurchase agreements and inter-bank placements. All liquidity policies and procedures are subject to review and approval by ALCO.

The key measure used by the Group for measuring liquidity risk is the ratio of net assets, i.e., total assets by maturity against total liabilities by maturity.

Exposure to liquidity risk
Details of the Group's assets and liabilities is summarised in the table below by the maturity profile of the Group's assets and liabilities based on the contractual repayment arrangements and does not take account of the effective maturities as indicated by the Group's deposit retention history. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the reporting date to the contractual maturity date. The maturity profile is monitored by management to ensure adequate liquidity is maintained.

The maturity profile of the assets and liabilities at 31 December 2012 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	54,943,221	49,900,318	5,026,118	238	-	16,547	-
Investments at fair value through profit or loss	3,274,313	6,611	983,891	548,440	525,502	1,209,869	-
Due from banks and financial institutions	14,615,968	9,770,840	4,845,128	-	-	-	-
Reverse repurchase agreements	18,509,608	11,673,739	5,285,511	1,550,358	-	-	-
Loans and advances	164,599,378	30,948,613	29,832,358	31,055,494	17,879,307	54,883,606	-
Non-trading investments	32,286,857	1,361,781	3,743,716	3,995,095	3,757,355	19,428,910	-
Derivative financial instruments	5,583,080	4,960,488	62,584	143,427	120,441	296,140	-
Other assets	4,300,195	3,225,146	1,075,049	-	-	-	-
Investment properties	140,061	-	-	-	-	-	140,061
Property and equipment	2,346,488	-	-	-	-	-	2,346,488
	300,599,169	111,847,536	50,854,355	37,293,052	22,282,605	75,835,072	2,486,549
Liabilities and equity							
Due to banks and financial institutions	35,477,275	34,686,371	790,904	-	-	-	
Repurchase agreements	2,017,041	2,017,041	-	-	-	-	-
Euro commercial paper	2,831,198	1,603,366	1,227,832	-	-	-	-
Customers' deposits	190,303,573	170,076,965	16,067,704	3,438,175	551,977	168,752	-
Term borrowings	19,073,630	367,301	2,476,569	8,131,202	3,258,217	4,840,341	-
Derivative financial instruments	6,652,508	5,183,380	143,290	366,909	277,243	681,686	-
Other liabilities	7,448,492	5,586,369	1,862,123	-	-	-	-
Subordinated notes	5,662,361	-	-	-	4,306,445	1,355,916	-
Equity	31,133,091	-	-	-	-	-	31,133,091
	300,599,169	219,520,793	22,568,422	11,936,286	8,393,882	7,046,695	31,133,091
Undrawn commitments to extend credit	25,805,030	1,556,430	1,646,946	5,867,311	2,492,106	14,242,237	-
Financial guarantees	10,902,938	3,261,170	1,473,615	1,315,339	4,852,814	-	-

The maturity profile of the assets and liabilities at 31 December 2011 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	**24,468,641**	20,424,736	4,026,367	-	-	17,538	-
Investments at fair value through profit or loss	**1,610,745**	-	160,530	291,064	213,481	945,670	-
Due from banks and financial institutions	**15,166,763**	12,024,938	3,050,000	91,825	-	-	-
Reverse repurchase agreements	**16,425,020**	13,956,944	1,123,183	1,344,893	-	-	-
Loans and advances	**159,522,178**	29,337,267	22,762,261	34,344,119	16,953,842	56,124,689	-
Non-trading investments	**26,569,340**	2,773,635	2,247,170	5,413,694	2,737,498	13,397,343	-
Derivative financial instruments	**5,605,647**	4,962,428	89,801	172,308	224,054	157,056	-
Other assets	**4,083,411**	3,062,557	1,020,854	-	-	-	-
Investment properties	**-**	-	-	-	-	-	-
Property and equipment	**2,215,760**	-	-	-	-	-	2,215,760
	255,667,505	**86,542,505**	**34,480,166**	**41,657,903**	**20,128,875**	**70,642,296**	**2,215,760**
Liabilities and equity							
Due to banks and financial institutions	**39,795,601**	37,025,180	2,678,596	91,825	-	-	-
Repurchase agreements	**3,513,726**	3,513,726	-	-	-	-	-
Euro commercial paper	**-**	-	-	-	-	-	-
Customers' deposits	**151,816,887**	133,965,879	13,032,057	4,609,798	52,414	156,739	-
Term borrowings	**15,148,516**	2,010,311	1,535,793	6,432,823	3,466,416	1,703,173	-
Derivative financial instruments	**4,784,473**	4,127,185	126,593	165,233	214,855	150,607	-
Other liabilities	**6,228,763**	4,671,569	1,557,194	-	-	-	-
Subordinated notes	**7,990,054**	-	-	-	1,040,631	6,949,423	-
Equity	**26,389,485**	-	-	-	-	-	26,389,485
	255,667,505	**185,313,850**	**18,930,233**	**11,299,679**	**4,774,316**	**8,959,942**	**26,389,485**
Undrawn commitments to extend credit	**20,873,395**	1,930,648	1,947,945	2,830,702	1,533,254	12,630,846	-
Financial guarantees	**11,564,783**	2,036,563	820,569	2,752,441	5,950,260	4,950	-

The table below summarizes the maturity profile of the Group's financial liabilities at 31 December 2012 based on contractual undiscounted repayment obligations.

	Total AED'000	Gross nominal cash flow AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000
Liabilities							
As at 31 December 2012							
Due to banks and financial institutions	**35,477,275**	35,517,958	34,709,532	808,426	-	-	-
Repurchase agreements	**2,017,041**	2,022,714	2,022,714	-	-	-	-
Euro commercial paper	**2,831,198**	2,835,077	1,603,950	1,231,127	-	-	-
Customers' deposits	**190,303,573**	191,166,544	170,658,655	15,931,235	3,776,453	580,286	219,915
Term borrowings	**19,073,630**	21,711,720	606,537	2,851,374	8,832,628	3,660,162	5,761,019
Subordinated notes	**5,662,361**	6,752,862	6,198	177,834	473,823	4,388,884	1,706,123
	255,365,078	**260,006,875**	**209,607,586**	**20,999,996**	**13,082,904**	**8,629,332**	**7,687,057**
Undrawn commitments to extend credit	**25,805,030**	25,805,030	23,351,434	1,353,628	863,328	-	**236,640**
Financial guarantees	**10,902,938**	10,902,938	10,902,938	-	-	-	-
As at 31 December 2011							
Due to banks and financial institutions	**39,795,601**	39,852,447	37,193,408	2,659,039	-	-	-
Repurchase agreements	**3,513,726**	3,516,953	3,516,953	-	-	-	-
Euro commercial paper	-	-	-	-	-	-	-
Customers' deposits	**151,816,887**	152,688,176	134,590,953	12,856,052	4,804,196	262,070	174,905
Term borrowings	**15,148,516**	16,740,435	2,271,566	1,797,711	7,052,611	3,542,165	2,076,382
Subordinated notes	**7,990,054**	9,583,595	8,002	222,665	725,455	1,813,857	6,813,616
	218,264,784	**222,381,606**	**177,580,882**	**17,535,467**	**12,582,262**	**5,618,092**	**9,064,903**
Undrawn commitments to extend credit	**20,873,395**	20,873,395	13,378,405	5,400,469	1,838,851	-	255,670
Financial guarantees	**11,564,783**	11,564,783	11,564,783	-	-	-	-

(d) Market risk

Market risk is the risk that the Group's income and / or value of a financial instrument will fluctuate because of changes in market prices such as interest rates, foreign exchange rates and market prices of equity and commodity price.

Management of market risk

The Risk Management Committee has set risk limits based on sensitivity analysis and notional limits which are closely monitored by the Risk Management Division and reported regularly to Senior Management and discussed monthly by the Assets and Liabilities Committee.

The Group separates its exposure to market risk between trading and non-trading portfolios. Trading portfolios include positions arising from market making and proprietary position taking, together with financial assets and liabilities that are managed on a fair value basis.

Interest rate risk

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities.

Overall interest rate risk positions are managed by using derivative instruments to manage overall position arising from the Group's interest bearing financial instruments. The use of derivatives to manage interest rate risk is described in note 39.

The substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk.

The effective interest rate of a monetary financial instrument is the rate that, when used in a present value calculation, results in the carrying amount of the instrument. The rate is an original effective interest rate for a fixed rate instrument carried at amortised cost and a current market rate for a floating instrument or an instrument carried at fair value.

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2012 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Non interest bearing AED'000
Assets							
Cash and balances with central banks	**54,943,221**	3,218,960	5,026,118	238	-	-	46,697,905
Investments at fair value through profit or loss	**3,274,313**	1,022,404	106,806	528,388	419,923	509,486	687,306
Due from banks and financial institutions	**14,615,968**	12,973,804	1,536,303	-	-	-	105,861
Reverse repurchase agreements	**18,509,608**	11,673,738	5,285,512	1,550,358	-	-	-
Loans and advances	**164,599,378**	144,322,711	16,924,490	877,170	1,450,541	960,628	63,838
Non-trading investments	**32,286,857**	4,845,013	3,196,622	3,865,920	2,724,550	17,528,362	126,390
Derivative financial instruments	**5,583,080**	-	-	-	-	-	5,583,080
Other assets	**4,300,195**	-	-	-	-	-	4,300,195
Investment properties	**140,061**	-	-	-	-	-	140,061
Property and equipment	**2,346,488**	-	-	-	-	-	2,346,488
	300,599,169	**178,056,630**	**32,075,851**	**6,822,074**	**4,595,014**	**18,998,476**	**60,051,124**
Liabilities and equity							
Due to banks and financial institutions	**35,477,275**	31,027,105	790,903	-	-	-	3,659,267
Repurchase agreements	**2,017,041**	2,017,041	-	-	-	-	-
Euro commercial paper	**2,831,198**	1,603,366	1,227,832	-	-	-	-
Customers' deposits	**190,303,573**	139,396,190	15,025,329	3,385,135	551,978	168,752	31,776,189
Term borrowings	**19,073,630**	3,856,651	89,119	7,029,302	3,258,217	4,840,341	-
Derivative financial instruments	**6,652,508**	-	-	-	-	-	6,652,508
Other liabilities	**7,448,492**	-	-	-	-	-	7,448,492
Subordinated notes	**5,662,361**	1,840,641	-	-	-	3,821,720	-
Equity	**31,133,091**	-	-	-	-	-	31,133,091
	300,599,169	**179,740,994**	**17,133,183**	**10,414,437**	**3,810,195**	**8,830,813**	**80,669,547**
On statement of financial position gap		(1,684,364)	14,942,668	(3,592,363)	784,819	10,167,663	(20,618,423)
Off statement of financial position gap		(16,493,724)	9,334,235	8,192,422	3,903,596	(4,936,529)	-
Total interest rate sensitivity gap		**(18,178,088)**	**24,276,903**	**4,600,059**	**4,688,415**	**5,231,134**	**(20,618,423)**
Cumulative interest rate sensitivity		**(18,178,088)**	**6,098,815**	**10,698,874**	**15,387,289**	**20,618,423**	**-**

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2011 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Non interest bearing AED'000
Assets							
Cash and balances with central banks	**24,468,641**	18,928,096	4,026,367	-	-	4,770	1,509,408
Investments at fair value through profit or loss	**1,610,745**	39,276	250,296	290,552	115,779	316,056	598,786
Due from banks and financial institutions	**15,166,763**	14,371,954	150,000	91,825	-	-	552,984
Reverse repurchase agreements	**16,425,020**	13,956,943	1,123,184	1,344,893	-	-	-
Loans and advances	**159,522,178**	134,372,583	21,817,149	1,981,243	183,904	755,428	411,871
Non-trading investments	**26,569,340**	8,164,665	2,925,075	3,946,774	2,097,248	9,328,190	107,388
Derivative financial instruments	**5,605,647**	-	-	-	-	-	5,605,647
Other assets	**4,083,411**	-	-	-	-	-	4,083,411
Investment properties	**-**	-	-	-	-	-	-
Property and equipment	**2,215,760**	-	-	-	-	-	2,215,760
	255,667,505	**189,833,517**	**30,292,071**	**7,655,287**	**2,396,931**	**10,404,444**	**15,085,255**
Liabilities and equity							
Due to banks and financial institutions	**39,795,601**	34,075,491	2,678,596	-	-	-	3,041,514
Repurchase agreements	**3,513,726**	3,513,726	-	-	-	-	-
Euro commercial paper	-	-	-	-	-	-	-
Customers' deposits	**151,816,887**	92,076,934	11,089,841	3,457,066	52,414	153,838	44,986,794
Term borrowings	**15,148,516**	6,300,854	-	3,678,073	3,466,416	1,703,173	-
Derivative financial instruments	**4,784,473**	-	-	-	-	-	4,784,473
Other liabilities	**6,228,763**	-	-	-	-	-	6,228,763
Subordinated notes	**7,990,054**	2,077,407	-	-	-	5,912,647	-
Equity	**26,389,485**	-	-	-	-	-	26,389,485
	255,667,505	**138,044,412**	**13,768,437**	**7,135,139**	**3,518,830**	**7,769,658**	**85,431,029**
On statement of financial position gap		51,789,105	16,523,634	520,148	(1,121,899)	2,634,786	(70,345,774)
Off statement of financial position gap		(7,535,883)	2,783,095	(687,595)	7,993,211	(2,552,828)	-
Total interest rate sensitivity gap		**44,253,222**	**19,306,729**	**(167,447)**	**6,871,312**	**81,958**	**(70,345,774)**
Cumulative interest rate sensitivity		**44,253,222**	**63,559,951**	**63,392,504**	**70,263,816**	**70,345,774**	**-**

Interest rate risk is also assessed by measuring the impact of reasonable possible change in interest rate movements. The Group assumes a fluctuation in interest rates of 50 basis points *(2011: 50 basis points)* and estimates the following impact on the net profit for the year and equity at that date:

	Net profit for the year AED'000 2012	Equity AED'000 2012	Net profit for the year AED'000 2011	Equity AED'000 2011
Fluctuation in yield	34,010	150,340	229,808	398,733

The interest rate sensitivities set out above are illustrative only and employ simplified scenarios. They are based on AED 210,132 million *(2011: AED 220,126 million)* interest bearing assets and AED 196,874 million *(2011: AED 151,813 million)* interest bearing liabilities. The sensitivity does not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. At 31 December, the Group had the following significant net exposures denominated in foreign currencies:

	Net spot position (short)/long AED'000	Forward position (short)/long AED'000	Total 2012 (short)/long AED'000	Total 2011 (short)/long AED'000
Currency				
US Dollar	(27,704,360)	25,937,421	(1,766,939)	1,744,244
UK Sterling Pound	6,291,085	(6,290,372)	713	37,546
Euro	34,271,757	(34,366,521)	(94,764)	(44,156)
Kuwaiti Dinar	228,919	(216,261)	12,658	39,562
Omani Riyal	460,452	(513,510)	(53,058)	(267,789)
Saudi Riyal	(2,133,116)	2,592,425	459,309	(508,255)
Japanese Yen	387,294	(377,476)	9,818	6,311
Swiss Franc	334,271	(386,629)	(52,358)	(60,534)

The exchange rate of AED against US Dollar is pegged and the Group's exposure to currency risk is limited to that extent. Exposure to other foreign currencies is insignificant.

Equity price risk

Equity price risk arises from the change in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

(e) Operational risks

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the Group's operations.

The Board has oversight responsibilities for operational risk management in the Group. These responsibilities are exercised through ORMC with an established framework of policies and procedures to identify, assess, monitor, control, manage and report risks. The ORMC employs clear internal policies and procedures to reduce the likelihood of any operational losses. Where appropriate, risk is mitigated by way of insurance. The framework also provides the interrelation with other risk categories.

Compliance with policies and procedures is supported by periodic reviews undertaken by the Compliance Division. The results of these reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Group.

(f) Capital management

The Group's lead regulator, the Central Bank of the UAE, sets and monitors regulatory capital requirements. The overseas branches and subsidiaries are directly supervised by their local regulators.

The Group's objectives when managing capital are:

- safeguard the Group's ability to continue as a going concern and increase the returns for the shareholders; and
- comply with regulatory capital requirements set by the Central Bank of the UAE and the respective regulators where the overseas units operate.

During 2012, the Group's strategy, which was unchanged from 2011, was to:

- maintain a cap for payment of cash dividend ratio of 40% to increase capital through retention;
- maintain capital adequacy ratios above the minimum specified by the Central Bank of the UAE and Basel accord guidelines;
- maintain the highest credit rating in the Middle East; and
- efficiently allocate capital to various businesses.

The Group has set up a committee, namely, the Bank Equity Committee, to manage the investment of capital funds in sovereign bonds and short term money market placements with either the Central Bank of the UAE or above investment grade financial institutions.

In implementing current capital requirements, the Group calculates its capital ratios in accordance with Basel I and Basel II guidelines established by the Central Bank of the UAE.

The Group's regulatory risk assets ratio, set by the Central Bank of the UAE at a minimum level of 12% *(2011: 12%)*, of which Tier I is to be 8% *(2011: 8%)* is analysed into two tiers as follows:

	2012 AED'000	2011 AED'000
Tier 1 capital		
Issued ordinary share capital	3,874,558	2,870,043
Retained earnings	5,009,129	4,385,622
Statutory and special reserve	4,065,532	3,563,274
General reserve and share option scheme	13,564,866	12,446,567
Foreign currency translation reserve	(101,731)	(4,646)
Subordinated convertible notes - equity component	21,420	27,639
Government of Abu Dhabi tier 1 capital notes	4,000,000	4,000,000
Total	30,433,774	27,288,499
Tier 2 capital		
Fair value reserve	314,693	(899,014)
Qualifying subordinated liabilities	4,594,507	7,781,927
Total	4,909,200	6,882,913
Deductions from Tier 1 and Tier 2	(44,764)	(30,962)
Total	(44,764)	(30,962)
Total regulatory capital base	35,298,210	34,140,450
Risk weighted assets:		
On statement of financial position	140,748,498	123,866,344
Off statement of financial position	36,682,119	32,516,110
Risk weighted assets	177,430,617	156,382,454
Total regulatory capital as a percentage of total risk weighted assets	19.89%	21.83%
Total Tier 1 capital as a percentage of total risk weighted assets	17.15%	17.45%

The Group's regulatory capital adequacy ratio, set by the Central Bank of the UAE at a minimum level of 12% *(2011: 12%)*, of which Tier I is to be 8% *(2011: 8%)* is analysed into two tiers as follows:

	Basel II 2012 AED'000	Basel II 2011 AED'000
Tier 1 capital		
Ordinary share capital	3,874,558	2,870,043
Retained earnings	5,009,129	4,385,622
Statutory and special reserve	4,065,532	3,563,274
General reserve and share option scheme	13,564,866	12,446,567
Foreign currency translation reserve	(101,731)	(4,646)
Subordinated convertible notes - equity component	21,420	27,639
Government of Abu Dhabi tier 1 capital notes	4,000,000	4,000,000
Total	30,433,774	27,288,499
Tier 2 capital		
Fair value reserve	314,693	(899,014)
Qualifying subordinated liabilities	4,594,507	7,781,927
Allowance for collective impairment	1,967,931	1,947,580
Total	6,877,131	8,830,493
Deductions from capital	(44,764)	(30,962)
Total regulatory capital base	37,266,141	36,088,030
Risk weighted assets:		
Credit risk	159,616,341	155,787,562
Market risk	7,563,514	5,582,395
Operational risk	9,887,826	13,411,531
Risk weighted assets	177,067,681	174,781,488
Capital adequacy ratio	21.05%	20.65%

The Bank and its overseas branches and subsidiaries have complied with all externally imposed capital requirements for all periods presented.

5 Use of estimates and judgements

In the process of applying the Group's accounting policies, management has made the following estimates and judgements, which have the most significant effect on the amounts recognised in the consolidated financial statements.

Key sources of estimation uncertainty

(i) Impairment charge on loans and advances and investments

Impairment losses are evaluated as described in accounting policy 3(b) (ix).

The Group evaluates impairment on loans and advances and investments on an ongoing basis and a comprehensive review on a quarterly basis to assess whether an impairment charge should be recognised in the consolidated income statement. In particular, considerable judgement by management is required in the estimation of the amount and timing of future cash flows when determining the level of impairment charge required. In estimating these cash flows, management makes judgements about counterparty's financial situation and other means of settlement and the net realisable value of any underlying collateral. Such estimates are based on assumptions about several factors involving varying degrees of judgement and uncertainty, and actual results may differ resulting in future changes to such impairment charges.

(ii) Collective impairment charge

In addition to specific impairment charge against individually impaired assets, the Group also maintains a collective impairment allowance against portfolios of loans and advances with similar economic characteristics which have not been specifically identified as impaired. In assessing the need for collective impairment charge, management considers concentrations, credit quality, portfolio size and economic factors. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical and current economic conditions.

(iii) Impairment charge on property and equipment and investment properties

Impairment losses are evaluated as described in accounting policy 3(j) (iii) and 3(k)(iii).

In determining the net realisable value, the Group uses the selling prices determined by external independent valuer's companies, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued. The selling prices are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction.

(iv) Contingent liability arising from litigations

Due to the nature of its operations, the Group may be involved in litigations arising in the ordinary course of business. Provision for contingent liabilities arising from litigations is based on the probability of outflow of economic resources and reliability of estimating such outflow. Such matters are subject to many uncertainties and the outcome of individual matters is not predictable with assurance.

(v) Share option scheme

The fair value of the share option scheme is determined using the Black-Scholes model. The model inputs comprise share price, exercise price, share price volatility, contractual life of the option, dividend yield and risk-free interest rate.

Critical accounting judgements in applying the Group's accounting policies include:

(a) Financial asset and liability classification

The Group's accounting policies provide scope for financial assets and liabilities to be designated on inception into different accounting categories in certain circumstances:

In classifying financial assets as "fair value through profit or loss", "held-to-maturity" or "available-for-sale", the Group has determined it meets the description as set out in accounting policy 3(b) (iii, iv and v) respectively.

(b) Qualifying hedge relationships

In designating financial instruments as qualifying hedge relationships, the Group has determined that it expects the hedge to be highly effective over the life of the hedging relationship.

(c) Valuation of financial instruments

The Group's accounting policy on fair value measurements is discussed in accounting policy 3(b) (viii) and note 6.

6 Financial assets and liabilities

Fair value of financial instruments

All financial assets and liabilities are measured at amortised cost except for derivatives, investment at fair value through profit or loss, available-for-sale investments and non-trading investments which are measured at fair value by reference to published price quotations in an active market or from prices quoted by counterparties or through use of valuation techniques such as discounted cash flow method.

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable willing parties in an arm's length transaction. Consequently, differences can arise between book values and the fair value estimates. Underlying the definition of fair value is the presumption that the Group is a going concern without any intention or requirement to materially curtail the scale of its operation or to undertake a transaction on adverse terms.

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

- Level 1: Quoted market price (unadjusted) in active market for an identical instrument.
- Level 2: Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.
- Level 3: Valuation techniques using unobservable inputs. This category includes all instruments where the valuation technique includes input not based on observable data and the unobservable input have a significant impact on the instrument's valuation.

Valuation techniques include net present value and discounted cash flow models, comparison to similar instruments for which market observable prices exist, Black-Scholes and other valuation models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other inputs used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices and correlations. The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instrument at the reporting date that would have been determined by market participants acting at arm's length.

The fair values of due from banks and financial institutions, reverse repurchase agreement , due to banks and financial institutions, repurchase agreements and customers' deposits which are predominantly short term in tenure and issued at market rates, are considered to reasonably approximate their book value.

The Group estimates that the fair value of its loans and advances portfolio is not materially different from its book value since majority of loans and advances carry floating market rates of interest and are frequently re-priced. For loans considered impaired, expected cash flows, including anticipated realisation of collateral, were discounted using an appropriate rate and considering the time of collection, the net result of which is not materially different from the carrying value.

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2012:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and advances AED'000	Other amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	-	54,943,221	**54,943,221**
Investments at fair value through profit or loss	20,051	3,254,262	-	-	-	-	**3,274,313**
Due from banks and financial institutions	-	-	-	-	-	14,615,968	**14,615,968**
Reverse repurchase agreements	-	-	-	-	-	18,509,608	**18,509,608**
Loans and advances	-	-	-	-	164,599,378	-	**164,599,378**
Non-trading investments	-	-	28,159,555	4,127,302	-	-	**32,286,857**
Derivative financial instruments	730,511	4,852,569	-	-	-	-	**5,583,080**
Other assets	-	-	-	-	-	4,156,287	**4,156,287**
	750,562	**8,106,831**	**28,159,555**	**4,127,302**	**164,599,378**	**92,225,084**	**297,968,712**
Due to banks and financial institutions	-	-	-	-	-	35,477,275	**35,477,275**
Repurchase agreements	-	-	-	-	-	2,017,041	**2,017,041**
Euro commercial paper	-	-	-	-	-	2,831,198	**2,831,198**
Customers' deposits	-	-	-	-	-	190,303,573	**190,303,573**
Term borrowings	-	-	-	-	-	19,073,630	**19,073,630**
Derivative financial instruments	1,716,728	4,935,780	-	-	-	-	**6,652,508**
Other liabilities	-	-	-	-	-	6,640,834	**6,640,834**
Subordinated notes	-	-	-	-	-	5,662,361	**5,662,361**
	1,716,728	**4,935,780**	**-**	**-**	**-**	**262,005,912**	**268,658,420**

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2011:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and advances AED'000	Other amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	-	24,468,641	**24,468,641**
Investments at fair value through profit or loss	-	1,610,745	-	-	-	-	**1,610,745**
Due from banks and financial institutions	-	-	-	-	-	15,166,763	**15,166,763**
Reverse repurchase agreements	-	-	-	-	-	16,425,020	**16,425,020**
Loans and advances	-	-	-	-	159,522,178	-	**159,522,178**
Non-trading investments	-	-	21,357,205	5,212,135	-	-	**26,569,340**
Derivative financial instruments	797,258	4,808,389	-	-	-	-	**5,605,647**
Other assets	-	-	-	-	-	3,938,409	**3,938,409**
	797,258	**6,419,134**	**21,357,205**	**5,212,135**	**159,522,178**	**59,998,833**	**253,306,743**
Due to banks and financial institutions	-	-	-	-	-	39,795,601	**39,795,601**
Repurchase agreements	-	-	-	-	-	3,513,726	**3,513,726**
Euro commercial paper	-	-	-	-	-	-	**-**
Customers' deposits	-	-	-	-	-	151,816,887	**151,816,887**
Term borrowings	-	-	-	-	-	15,148,516	**15,148,516**
Derivative financial instruments	825,668	3,958,805	-	-	-	-	**4,784,473**
Other liabilities	-	-	-	-	-	5,545,544	**5,545,544**
Subordinated notes	-	-	-	-	-	7,990,054	**7,990,054**
	825,668	**3,958,805**	**-**	**-**	**-**	**223,810,328**	**228,594,801**

Fair value hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 December 2012				
Financial assets held for trading	3,121,220	133,042	-	**3,254,262**
Designated at fair value through profit and loss	-	20,051	-	**20,051**
Available-for-sale financial assets	24,806,638	3,332,890	20,027	**28,159,555**
Derivative financial instruments (Assets)	1,540	5,581,540	-	**5,583,080**
Derivative financial instruments (Liabilities)	812	6,651,696	-	**6,652,508**
	27,930,210	**15,719,219**	**20,027**	**43,669,456**
As at 31 December 2011				
Financial assets held for trading	1,610,745	-	-	**1,610,745**
Designated at fair value through profit and loss	-	-	-	-
Available-for-sale financial assets	16,856,573	4,476,246	24,386	**21,357,205**
Derivative financial instruments (Assets)	501	5,605,146	-	**5,605,647**
Derivative financial instruments (Liabilities)	271	4,784,202	-	**4,784,473**
	18,468,090	**14,865,594**	**24,386**	**33,358,070**

Certain available-for-sale investment securities have been disclosed under Level 3 of the fair value hierarchy as management has recorded these at cost in the absence of observable market data. Management has deemed cost to be a close approximation of their fair value.

The following table shows a reconciliation from the beginning balances to the ending balances for fair value measurements in Level 3:

	2012 AED'000	2011 AED'000
Available-for-sale financial assets		
Balance as at 1 January	**24,386**	419,238
Purchases	**943**	-
Settlements and other adjustments	**(5,302)**	(394,852)
Balance as at 31 December	**20,027**	24,386

7 Cash and balances with central banks

	2012 AED'000	2011 AED'000
Cash on hand	**1,238,260**	1,132,344
Balances with the Central Bank of the UAE		
cash reserve deposits	**7,816,271**	6,524,220
certificates of deposits	**7,000,000**	6,000,000
other deposits and balances	**-**	914,352
Balances with other central banks		
cash reserve deposits	**943,678**	1,388,580
other deposits and balances	**37,945,012**	8,509,145
	54,943,221	24,468,641

Cash reserve deposits are not available for the day to day operations of the Group.

Notes to the consolidated financial statements

8 Investments at fair value through profit or loss

	2012 AED'000	2011 AED'000
Managed portfolios	611,413	570,474
Debt and equity instruments	2,662,900	1,040,271
	3,274,313	1,610,745

Debt and equity instruments include investments designated at fair value through profit or loss amounting to AED 20,051 thousand (2011: AED Nil).

9 Due from banks and financial institutions

	2012 AED'000	2011 AED'000
Current, call and notice deposits	1,663,975	3,121,542
Margin deposits	2,582,780	284,228
Fixed deposits	8,971,357	10,370,993
Wakala placements	1,397,856	1,390,000
	14,615,968	15,166,763

10 Reverse repurchase agreements

The Group enters into reverse repurchase agreements in the normal course of business in which the third party transfers financial assets to the Group for short term financing.

The carrying amount of financial assets at the reporting date amounted to AED 18,510 million (2011: AED 16,425 million).

No allowances for impairment have been recognised against reverse repurchase agreements during the year (2011: nil).

11 Loans and advances

	2012 AED'000	2011 AED'000
Gross loans and advances	170,824,154	164,825,023
Less: allowance for impairment	(5,517,723)	(4,800,706)
Less: interest suspended	(707,053)	(502,139)
Net loans and advances	164,599,378	159,522,178

An analysis of gross loans and advances by counterparty at the reporting date is shown below:

	2012 AED'000	2011 AED'000
Government sector	21,153,974	17,293,055
Public sector	40,649,950	45,346,578
Banking sector	20,177,846	16,052,536
Corporate / private sector	62,038,598	59,288,780
Personal / retail sector	26,803,786	26,844,074
Gross loans and advances	170,824,154	164,825,023

The movement in the allowance for impairment during the year is shown below:

	2012 AED'000	2011 AED'000
At 1 January	4,800,706	3,664,081
Charge for the year		
Collective provision	291,874	428,376
Specific provision	1,709,070	1,291,038
Recoveries	(218,723)	(128,195)
Write-backs during the year	(579,717)	(268,939)
Amounts written off	(485,487)	(185,655)
At 31 December	5,517,723	4,800,706

Islamic financing

Included in the above loans and advances are the following Islamic financing contracts:

	2012 AED'000	2011 AED'000
Ijara	6,207,987	6,804,114
Murabaha	583,102	611,588
Mudaraba	3,805	2,940
Others	3,576	2,533
Total Islamic financing contracts	6,798,470	7,421,175
Less: allowance for impairment	(35,542)	(63,648)
Less: suspended profit	(819)	(2,263)
	6,762,109	7,355,264

The movement in the allowance for impairment during the year is shown below:

	2012 AED'000	2011 AED'000
Balance as at 1 January	63,648	62,928
Charge for the year		
Collective provision	-	833
Specific provision	10,322	-
Write-backs during the year	(4,790)	(113)
Amounts written off and other adjustments	(33,638)	-
Balance as at 31 December	35,542	63,648

The gross Ijara and the related present value of minimum Ijara payments are as follows:

	2012 AED'000	2011 AED'000
Gross Ijara		
Less than one year	2,048,093	1,493,258
Between one and five years	3,965,907	3,796,320
More than five years	2,615,230	2,968,025
	8,629,230	8,257,603
Less: deferred income	(2,421,243)	(1,453,489)
Net Ijara	6,207,987	6,804,114

	2012 AED'000	2011 AED'000
Net present value of minimum lease payments		
Less than one year	821,454	1,165,508
Between one and five years	3,168,119	3,020,008
More than five years	2,218,414	2,618,598
	6,207,987	6,804,114

Investment in Finance Leases

Included in the above loans and advances are the following investment in finance leases:

	2012 AED'000	2011 AED'000
Gross investment in finance leases	5,068,713	3,069,692
Unearned finance income	(617,734)	(478,951)
Net investment in finance leases	4,450,979	2,590,741

	2012 AED'000	2011 AED'000
Net investment in finance leases	4,450,979	2,590,741
Less: allowance for impairment	(75,737)	(37,443)
Less: interest suspended	(9,132)	(3,902)
Investment in finance leases	4,366,110	2,549,396

	2012 Gross Investment in lease AED'000	2011 Gross Investment in lease AED'000	2012 Present value of minimum lease payment AED'000	2011 Present value of minumum lease payment AED'000
Within one year	19,862	18,061	17,331	10,129
One to five years	1,007,885	255,291	930,182	240,353
More than five years	4,040,966	2,796,340	3,503,466	2,340,259
	5,068,713	3,069,692	4,450,979	2,590,741
Unearned finance income	(617,734)	(478,951)	-	-
Net investment in finance leases	4,450,979	2,590,741	4,450,979	2,590,741

The movement in allowance for impairment against finance lease receivables during the year is shown below:

	2012 AED'000	2011 AED'000
At 1 January	37,443	17,612
Charge for the year		
Specific provision	39,180	10,827
Collective provision	(886)	9,004
At 31 December	75,737	37,443

12 Non-trading investments

Available-for-sale investments

	2012 AED'000	2011 AED'000
Unquoted investments	32,368	41,098
Less: allowance for impairment	(16,712)	(16,712)
	15,656	24,386
Quoted investments	28,143,899	21,332,819
Total available-for-sale investments	28,159,555	21,357,205

Unquoted investments include unquoted equity securities amounting to AED 14,908 thousand (2011: AED 24,095 thousand) which are carried at cost as their fair value cannot be reliably estimated. The Group does not intend to dispose of these investments in near term.

Debt instruments under repurchase agreements included in quoted available-for-sale investments at 31 December 2012 amounted to AED 1,245 million (2011 : AED 2,067 million).

Held-to-maturity investments

	2012 AED'000	2011 AED'000
Debt securities	4,127,302	5,212,135
Total non-trading investments	32,286,857	26,569,340

During the year, the Group reclassified debt securities amounting to AED nil (2011: AED 266,692 thousand) from available-for-sale investments to held to maturity as a result of such reclassification there is no impact in the consolidated income statement or fair value reserve.

Notes to the consolidated financial statements

13 Other assets

	2012 AED'000	2011 AED'000
Interest receivable	1,946,603	1,846,396
Acceptances	1,463,434	1,369,955
Sundry debtors and other receivables	868,983	837,823
Deferred tax asset	21,175	29,237
	4,300,195	4,083,411

The Group does not perceive any significant credit risk on interest receivable and acceptances.

14 Investment properties

	Land and building AED'000
Cost	
At 1 January 2011	-
At 31 December 2011	**-**
Acquisitions and transfers	143,987
At 31 December 2012	**143,987**
Accumulated depreciation	
At 1 January 2011	-
At 31 December 2011	**-**
Charge for the year	3,926
At 31 December 2012	**3,926**
Carrying amounts	
At 31 December 2011	-
At 31 December 2012	**140,061**

The Group estimates that the carrying value of the investment properties is not significantly different from its fair value as at the reporting date.

15 Property and equipment

	Land, building and alterations AED'000	Computer systems and equipment AED'000	Furniture, equipment, safes and vehicles AED'000	Capital work - in progress AED'000	Total AED'000
Cost					
At 1 January 2011	2,170,169	352,559	255,686	239,213	3,017,627
Acquisitions	49,032	39,117	33,318	204,184	325,651
Transfer	49,110	101,374	4,929	(155,413)	-
Disposals / write off	(7,220)	(3,966)	(11,961)	-	(23,147)
At 31 December 2011	**2,261,091**	**489,084**	**281,972**	**287,984**	**3,320,131**
Acquisitions	50,052	46,593	40,553	182,153	319,351
Transfer	14,232	98,774	2,099	(115,105)	-
Disposals / write off	(19,324)	(16,462)	(19,507)	-	(55,293)
At 31 December 2012	**2,306,051**	**617,989**	**305,117**	**355,032**	**3,584,189**
Accumulated depreciation and impairment losses					
At 1 January 2011	445,220	206,644	155,211	-	807,075
Charge for the year	48,847	70,067	38,363	-	157,277
Disposals	(6,181)	(2,198)	(10,975)	-	(19,354)
Impairment loss	159,373	-	-	-	159,373
At 31 December 2011	**647,259**	**274,513**	**182,599**	**-**	**1,104,371**
Charge for the year	50,538	87,763	39,089	-	177,390
Disposals	(9,795)	(15,204)	(19,061)	-	(44,060)
At 31 December 2012	**688,002**	**347,072**	**202,627**	**-**	**1,237,701**
Carrying amounts					
At 31 December 2011	1,613,832	214,571	99,373	287,984	2,215,760
At 31 December 2012	**1,618,049**	**270,917**	**102,490**	**355,032**	**2,346,488**

Capital work in progress mainly comprises of properties under construction.

Notes to the consolidated financial statements

16 Due to banks and financial institutions

	2012 AED'000	2011 AED'000
Banks and financial institutions		
Current, call and notice deposits	1,888,783	1,705,058
Margin	121,821	155,754
Fixed deposits	20,196,240	25,053,561
Wakala deposit	4,650,000	5,808,400
	26,856,844	32,722,773
Central banks		
Current and call deposits	2,324,938	1,351,001
Fixed and certificate of deposits	6,295,493	5,721,827
	8,620,431	7,072,828
	35,477,275	39,795,601

Due to banks and financial institutions are denominated in various currencies and carry a rate of interest in the range of 0% to 3.75% (2011: 0% to 4.50%).

17 Repurchase agreements

The Group enters into repurchase agreements in the normal course of business by which it transfers recognised financial assets directly to third parties.

The carrying amount of financial assets collateralised at the reporting date amounted to AED 1,245 million (2011: AED 2,067 million) and their associated financial liabilities amounted to AED 2,017 million (2011: AED 3,514 million).

18 Euro commercial paper

The Bank established a USD 2,000,000 thousand Euro commercial Paper Programme (the "ECP Programme") for the issuance of Euro commercial paper under an agreement dated 13 September 2006 with Citibank, N.A.

The notes outstanding as at the reporting date amounted to AED 2,831,198 thousand (2011: AED nil). They are denominated in various currencies, bear interest in the range between 0.005% to 1.87% and have maturity periods of less than 12 months.

The Group has not had any defaults of principal, interests, or other breaches with respect to its Euro commercial Paper during 2012.

19 Customers' deposits

	2012 AED'000	2011 AED'000
By account:		
Current accounts	37,798,161	32,150,382
Savings accounts	8,818,334	6,814,788
Notice and time deposits	132,933,772	105,288,051
Certificates of deposit	10,753,306	7,563,666
	190,303,573	151,816,887

	2012 AED'000	2011 AED'000
By counterparty:		
Government sector	77,558,577	46,594,553
Public sector	21,544,696	26,077,291
Corporate / private sector	50,916,022	45,909,760
Retail sector	40,284,278	33,235,283
	190,303,573	151,816,887

	2012 AED'000	2011 AED'000
By location:		
UAE	134,760,589	101,848,077
Europe	19,978,034	19,803,853
Arab countries	23,591,133	20,074,335
Americas	5,025,976	4,651,812
Asia	6,621,787	4,724,381
Others	326,054	714,429
	190,303,573	151,816,887

Islamic customers' deposits

Included in the above customers' deposits are the following Islamic customer deposits:

	2012 AED'000	2011 AED'000
Wakala deposits	3,020,855	2,769,106
Mudaraba deposit	180,655	146,285
	3,201,510	2,915,391

20 Term borrowings

	2012 AED'000	2011 AED'000
Club loan and other facilities	3,856,650	3,489,350
Other term notes	15,216,980	11,659,166
	19,073,630	15,148,516

The following term notes are outstanding at 31 December:

Currency	Interest	Year of maturity	2012 AED'000	2011 AED'000
GBP	5.88 per cent (fixed)	Feb 2012	-	2,010,313
EUR	3M EURIBOR + step-up spread	Jun 2012	-	166,569
EUR	3M EURIBOR + step-up spread	Jul 2012	-	556,815
USD	3M USD LIBOR + 120bps	Oct 2012	-	77,808
HKD	1.65 per cent (fixed)	Oct 2013	89,119	89,088
USD	4.50 per cent (fixed)	Sep 2014	3,238,546	3,270,204
HKD	3.80 per cent (fixed)	Sep 2014	195,697	197,718
HKD	3.90 per cent (fixed)	Oct 2014	119,967	121,063
USD	4.25 per cent (fixed)	Mar 2015	2,879,242	2,892,966
MYR	4.75 per cent (fixed)	Jun 2015	595,851	573,449
USD	3.25 per cent (fixed)	Mar 2017	2,828,117	-
HKD	3.40 per cent (fixed)	Sep 2017	156,286	152,752
USD	3.71 per cent (fixed)	Sep 2017	116,365	113,829
HKD	4.32 per cent (fixed)	Sep 2017	157,450	155,508
USD	3.00 per cent (fixed)	Aug 2019	2,750,561	-
HKD	4.45 per cent (fixed)	Sep 2019	169,434	165,833
MYR	4.90 per cent (fixed)	Dec 2020	569,676	549,922
HKD	3.95 per cent (fixed)	Apr 2022	163,381	-
JPY	2.60 per cent (fixed)	Jul 2026	431,052	491,869
HKD	3.94 per cent (fixed)	Jul 2027	194,400	-
USD	4.37 per cent (fixed)	Aug 2032	281,668	-
USD	4.10 per cent (fixed)	Sep 2032	109,598	-
USD	4.80 per cent (fixed)	Sep 2036	77,456	73,460
USD	5.01 per cent (fixed)	May 2042	93,114	-
			15,216,980	11,659,166

The Group has not had any defaults of principal, interests, or other breaches with respect to its term borrowings during 2012 and 2011.

21 Other liabilities

	2012 AED'000	2011 AED'000
Interest payable	1,513,640	1,368,526
Acceptances	1,382,739	1,331,543
Provision for staff terminal benefits	445,738	421,146
Accounts payable, sundry creditors and other liabilities	4,009,821	3,043,928
Overseas income tax	96,554	63,620
	7,448,492	6,228,763

The movement in the provision for staff terminal benefits was as follows:

	2012 AED'000	2011 AED'000
Balance at 1 January	421,146	388,320
Provided during the year	77,401	77,659
Paid during the year	(52,809)	(44,833)
Balance at 31 December	445,738	421,146

The Group has provided for overseas income tax in accordance with management's estimate of the total amount payable based on tax rates enacted or substantially enacted as at the reporting date. Where appropriate the Group has made payments of tax on account in respect of these estimated liabilities.

The overseas income tax charge for the year is calculated based upon the adjusted net profit for the year. The movement in the provision was as follows:

	2012 AED'000	2011 AED'000
At 1 January	63,620	53,817
Charge for the year	123,023	111,624
Overseas income tax paid, net of recoveries	(90,089)	(101,821)
At 31 December	**96,554**	**63,620**

22 Subordinated notes

	2012 AED'000	2011 AED'000
Subordinated note – Ministry of Finance Tier 2 notes	3,273,621	5,912,647
Other subordinated notes	2,388,740	2,077,407
	5,662,361	7,990,054

Ministry of Finance Tier 2 notes

The notes maturing in December 2016 carry a fixed step up coupon and are paid quarterly in arrears. The Bank has hedged the interest rate exposure on these notes.

	2012 AED'000	2011 AED'000
Liability component		
15 March 2006 issue	1,032,824	1,040,632
28 February 2008 issue	807,817	1,036,775
10 December 2012 issue	548,099	-
	2,388,740	2,077,407
Equity component		
15 March 2006 issue	72,926	72,926
28 February 2008 issue	52,984	52,984
Less: conversion of 15 March 2006 issue	(40,502)	(40,502)
Less: buy back of 28 February 2008 issue	(31,564)	(25,345)
Transfer to general reserve	(32,424)	(32,424)
	21,420	27,639

15 March 2006 issue:

The Bank issued AED 2.5 billion subordinated convertible notes due on 15 March 2016 in accordance with the approval of the Extraordinary General Meeting held on 22 November 2005. The notes bear an interest rate equal to 3 month EBOR plus 0.25% paid quarterly.

During the previous year, the conversion option for 15 March 2006 issue expired, accordingly, the equity component of AED 32,424 thousand related to this issue was transferred to general reserve.

Further during the year, the Bank purchased back AED 10,000 thousand (2011: AED 62,000 thousand) of this issue from the market for AED 9,000 thousand (2011: AED 54,405 thousand). As a result, the total outstanding liability components were decreased by AED 9,708 thousand (2011: AED 60,191 thousand). Further, a gain on the extinguishment in the amount of AED 933 thousand (2011: AED 7,022 thousand) was recognised in the consolidated income statement.

The above mentioned notes are presented in the consolidated statement of financial position as follows:

	2012 AED'000	2011 AED'000
Proceeds from issue of convertible notes	2,500,000	2,500,000
Less: amount classified as equity	(72,926)	(72,926)
Carrying amount of liability component on initial recognition	2,427,074	2,427,074
Add: cumulative accreted interest	23,623	21,722
Less: converted liability component	(1,347,973)	(1,347,973)
Carrying amount of liability bought back	(69,900)	(60,191)
Carrying amount of liability component	1,032,824	1,040,632

The effective interest rate as at 31 December 2012 was 3 month EBOR plus 0.301% (2011: 3 month EBOR plus 0.301%).

28 February 2008 issue:

Further, on 28 February 2008, the Bank issued AED 2 billion subordinated convertible notes due on 28 February 2018 in accordance with the approval of the Extraordinary General Meeting held on 5 September 2007. The notes bear an interest rate equal to 3 month EBOR less 0.25% paid quarterly.

These convertible notes are presented in the consolidated statement of financial position as follows:

	2012 AED'000	2011 AED'000
Proceeds from issue of convertible notes	2,000,000	2,000,000
Less: amount classified as equity	(52,984)	(52,984)
Carrying amount of liability component on initial recognition	1,947,016	1,947,016
Add: cumulative accreted interest	20,697	21,124
Carrying amount of liability bought back	(1,159,896)	(931,365)
Carrying amount of liability component	807,817	1,036,775

Interest on these notes is calculated on an effective yield basis by applying the effective interest rate for equivalent non-convertible notes to the liability component of the convertible notes. The effective interest rate as at 31 December 2012 was 3 month EBOR plus 0.116% (2011: 3 month EBOR plus 0.116%)

At the option of the holder, the notes may be converted into ordinary shares of the Bank at any time during the period beginning from 28 May 2008 and ending on the date falling 10 trading days prior to the first call date being 28 February 2013 at the conversion price of AED 12.81 per ordinary share (subsequent to the issue of bonus shares). The Bank has the option to redeem these notes on the first call date being 28 February 2013.

The subordinated convertible notes form part of Tier II capital of the Bank.

During the year, the Bank purchased back AED 234,750 thousand (2011: AED 561,000 thousand) of this issue from the market for AED 230,397 thousand (2011: AED 536,930 thousand). As a result, the total outstanding liability and equity components were decreased by AED 228,531 thousand (2011: AED 546,139 thousand) and AED 6,219 thousand, (2011: AED 14,862 thousand) respectively. Further, a gain on the extinguishment in the amount of AED 5,601 thousand (2011: AED 26,068 thousand) was recognised in the consolidated income statement.

10 December 2012 issue:

Further, on 10 December 2012, the Bank issued MYR 500 million subordinated notes due on 9 December 2027. The notes bear an interest rate equal to 4.75% and will be paid on a semi-annual basis. The bank has hedged the interest rate exposure on these notes. The effective interest rate as at 31 December 2012 was 4.79%.

Fair value

The carrying amount of the liability component of the subordinated notes reflects its current fair value based on discounted cash flows.

The Group has not had any defaults of principal, interests, or other breaches with respect to its subordinated notes during 2012 and 2011.

23 Capital and reserves

Share capital
The authorised share capital of the Bank comprise 3,875 million ordinary shares of AED 1 each (2011: 2,870 million shares of AED 1 each). The issued and fully paid share capital at 31 December 2012 is comprised of 3,875 million of AED 1 each (2011: 2,870 million ordinary shares of AED 1 each).

Statutory reserve
The UAE Commercial Companies Law No. (8) of 1984 (as amended) and Article 56 of the Bank's Articles of Association require that a minimum of 10% of the annual net profit to be transferred to a statutory reserve until it equals 50% of the paid-up share capital. The statutory reserve is not available for distribution to the shareholders.

Special reserve
Transfers to the special reserve are made in accordance with Union Law No. (10) of 1980 and Article 56 of the Bank's Articles of Association under which not less than 10% of the annual net profit is to be transferred to this reserve until it equals 50% of the paid-up share capital. The special reserve is not available for distribution to the shareholders.

Dividends
The following cash dividend was paid by the Group during the year ended 31 December:

	2012 AED'000	2011 AED'000
Cash dividend AED 0.3 per ordinary share (2011: 0.3)	861,013	717,511
35% bonus shares (2011: 20% bonus shares) issued	1,004,515	478,340

Proposed dividends:
On 29 January 2013, a cash dividend of AED 0.35 per ordinary share and bonus shares of 10% (2011: proposed cash dividend of AED 0.3 per ordinary share and 30% bonus shares) was proposed by the Board of Directors in respect of 2012 which is subject to the approval of the shareholders at the Annual General Meeting.

Other reserves
Other reserves include the following:

(i) **General reserve**
The general reserve is available for distribution to the shareholders at the recommendation of the Board of Directors to the shareholders. On 13 March 2012 the shareholders approved the transfer of AED 2.1 billion (2011: AED 2.3 billion) to general reserve.

(ii) **Fair value reserve**
The fair value reserve includes the cumulative net change in the fair value of non-trading investments, until the investment is derecognised or impaired, and cash flow hedge reserve

	2012 AED'000	2011 AED'000
Revaluation reserve – available for sale investments		
At 1 January	(916,238)	(414,606)
Net unrealised gains / (losses) during the year	1,878,134	(327,315)
Net realised gains recognised in the consolidated income statement during the year	(262,579)	(174,317)
At 31 December	699,317	(916,238)
Hedging reserve – cash flow hedge		
At 1 January	17,224	-
Changes in fair value	(17,224)	17,224
At 31 December	-	17,224
Total at 31 December	699,317	(899,014)

The hedging reserve comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments related to hedged transactions.

(iii) Foreign currency translation reserve

Foreign currency translation reserve represents the exchange differences arising from translation of the net investment in foreign operations.

24 Government of Abu Dhabi Tier 1 capital notes

Under the Government of Abu Dhabi 2009 Bank capitalisation programme, the Bank issued regulatory Tier 1 capital notes (the "Notes") in the amount of AED 4 billion. The Notes are perpetual, subordinated, unsecured and carry a fixed coupon during the initial period and are paid semi annually in arrears. After the initial period, the Notes attract a coupon rate of 6 month EBOR plus a fixed margin. The Bank may elect not to pay a coupon at its own discretion. The note holder does not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default.

The issuance was approved in the shareholders Extraordinary General Meeting held on 11 March 2009. During the year, a coupon payment election was made by the Bank in the amount of AED 240 million (2011: AED 240 million).

25 Share option scheme

The Bank introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the three years after the vesting period.

During the year, the Bank has not granted any new options (2011: 17,050 thousand options) to eligible employees.

Each option is generally subject to a 3 year vesting period and 3 year exercise period. The key vesting condition is that the option holder is in continued employment with the Group on the date of vesting. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The numbers of share options are as follows:

	2012 Number of options in thousands	2011 Number of options in thousands
Outstanding at 1 January	39,524	23,730
Forfeited during the year	(641)	(1,256)
Exercised during the year	-	-
Granted during the year	-	17,050
Outstanding at 31 December	38,883	39,524

As a result of the issue of bonus shares, the exercise price per share was revised from AED 12.95 to AED 9.60 (2011: AED 15.55 to AED 12.95). All the options outstanding as at 31 December 2012 have an exercise price per share of AED 9.60 (2011: AED 12.95).

26 Interest income

	2012 AED'000	2011 AED'000
Interest from		
Central banks	93,612	71,574
Banks and financial institutions	454,356	607,188
Reverse repurchase agreements	128,004	94,341
Investments at fair value through profit or loss	34,714	8,326
Non-trading investments	1,171,509	972,069
Loans and advances	6,097,397	5,898,288
	7,979,592	7,651,786

27 Interest expense

	2012 AED'000	2011 AED'000
Interest to		
Banks and financial institutions	169,268	271,272
Repurchase agreements	15,263	19,628
Euro commercial paper	11,118	138
Customers' deposits	893,809	912,743
Certificates of deposit	211,090	115,935
Term borrowings	571,941	511,339
Subordinated notes	284,139	325,483
	2,156,628	2,156,538

Notes to the consolidated financial statements

28 Income from Islamic financing contracts

	2012 AED'000	2011 AED'000
Ijara	284,258	300,418
Murabaha	31,827	61,905
Mudaraba	-	488
	316,085	362,811

29 Depositors' share of profits

	2012 AED'000	2011 AED'000
Wakala Deposit	41,486	52,164
Mudaraba Deposit	1,471	3,001
	42,957	55,165

30 Net fee and commission income

	2012 AED'000	2011 AED'000
Fee and commission income		
Letters of credit	201,478	174,261
Letters of guarantee	236,838	237,240
Brokerage income, net	23,512	16,170
Initial Public Offerings (IPO)	45	2,436
Asset management and investment services	127,470	111,337
Risk participation fees	101,496	105,988
Retail and corporate lending fees	966,836	752,721
Low credit balance fees	27,503	19,908
Commission on transfers	33,633	32,456
Others	186,677	183,428
Total fee and commission income	1,905,488	1,635,945
Fee and commission expense		
Brokerage commission	16,109	15,314
Handling charges	4,665	4,508
Credit card charges	293,456	174,099
Other commission	44,862	51,205
Total fee and commission expense	359,092	245,126
Net fee and commission income	1,546,396	1,390,819

Asset management and investment service fees include fees earned by the Group on trust and fiduciary activities where the Group holds or invests assets on behalf of its customers.

31 Net gain on investments

	2012 AED'000	2011 AED'000
Net realised and unrealised gains / (loss) on investments at fair value through profit or loss and derivatives	271,412	(83,066)
Net gain from sale of non-trading investments	262,579	174,317
Dividend income	3,243	2,289
	537,234	93,540

Interest income on debt instruments classified as investments at fair value through profit or loss as well as debt instruments classified as non-trading investments is presented within interest income.

32 Net foreign exchange gain

	2012 AED'000	2011 AED'000
Trading and retranslation gain on foreign exchange and related derivatives	142,876	98,698
Dealings with customers	260,124	423,533
	403,000	522,231

33 Other operating income

	2012 AED'000	2011 AED'000
Gain on buy back of issued subordinated notes	6,534	33,090
Others	81,529	38,288
	88,063	71,378

34 General, administration and other operating expenses

	2012 AED'000	2011 AED'000
Staff costs	1,927,242	1,716,380
Other general and administration expenses	724,618	639,799
Depreciation	181,316	157,277
Donations and charity	36,877	50,268
	2,870,053	2,563,724

Notes to the consolidated financial statements

35 Net impairment charge

	2012 AED'000	2011 AED'000
Collective provision for loans and advances	291,874	428,376
Specific provision for loans and advances	1,709,070	1,291,038
Write back of provisions for loans and advances	(579,717)	(268,939)
Recovery of loan loss provisions	(218,723)	(128,195)
Write-off of impaired financial assets	142,692	19,133
Recovery of loans previously written off	(8,392)	(2,231)
Other recoveries	(261)	-
Impairment of non financial assets	-	159,373
	1,336,543	1,498,555

36 Overseas income tax expense

In addition to adjustments relating to deferred taxation, the charge for the year is calculated based upon the adjusted net profit for the year at rates of tax applicable in respective overseas locations.

The charge to the consolidated income statement for the year was as follows:

	2012 AED'000	2011 AED'000
Charge for the year	123,023	111,624
Adjustments relating to deferred taxation	8,938	(588)
	131,961	111,036

37 Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following amounts maturing within three months of the date of the acquisition / placement:

	2012 AED'000	2011 AED'000
Cash and balances with central banks	48,282,689	20,332,004
Due from banks and financial institutions	7,348,694	9,657,573
Cash and cash equivalents	55,631,383	29,989,577

38 Commitments and contingencies

	2012 AED'000	2011 AED'000
Letters of credit	35,048,515	31,475,502
Letters of guarantee	46,772,002	45,930,175
Undrawn commitments to extend credit	25,805,030	20,873,395
Financial guarantees	10,902,938	11,564,783
	118,528,485	109,843,855

Credit risk characteristics of these unfunded facilities closely resemble the funded facilities as described in note 4.

Capital and operating lease commitments at the reporting date is shown below:

	2012 AED'000	2011 AED'000
Commitments for future capital expenditure	179,639	89,573
Commitments for future operating lease payments for premises	134,255	164,785
	313,894	254,358
Total commitments and contingencies	118,842,379	110,098,213

Letters of credit and guarantee commit the Group to make payments on behalf of customers contingent upon the production of documents or the failure of the customer to perform under the terms of the contract.

Commitments to extend credit represent contractual commitments to extend loans and revolving credits. Commitments generally have fixed expiration dates or other termination clauses and may require a payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash requirements.

Commitments for operating lease payments are payable as follows:

	2012 AED'000	2011 AED'000
Less than one year	44,389	51,246
Between one and five years	87,415	90,811
More than five years	2,451	22,728
Total commitments	134,255	110,384,087

Financial guarantee contracts includes credit default agreements entered with banks and financial institutions amounting to AED 8,650 million (2011: AED 8,845 million) which are primarily denominated in US Dollars.

	2012 AED'000	2011 AED'000
Concentration by location:		
UAE	550,950	367,300
Europe	2,148,705	2,093,610
Arab countries	-	139,574
Americas	73,460	293,840
Asia	4,407,600	4,536,155
Others	1,469,200	1,414,105
	8,649,915	8,844,584

39 Derivative financial instruments

In the ordinary course of business the Group enters into various types of transactions that involve derivative financial instruments. Derivative financial instruments include forwards, futures, swaps and options. These transactions are primarily entered with Banks and financial institutions.

Forwards and futures contracts are commitments to either purchase or sell foreign currencies, commodities or financial instruments at a specified future date for a specified price.

Swaps are the agreements between the Group and other parties to exchange future cash flows based upon agreed notional amounts. Swaps most commonly used by the Group are interest rate swaps and cross currency swaps.

Options are contractual agreements that convey the right, but not the obligation, to either buy or sell a specific amount of a commodity or financial instrument at a fixed price either at fixed future date or at any time within a specified period.

Derivatives are measured at fair value by reference to published price quotations in an active market or counterparty prices or valuation techniques such as discounted cash flows.

The table below shows the positive and negative fair values of derivative financial instruments, which are equivalent to their fair values, together with the notional amounts analysed by the term to maturity. The notional amount is the amount of a derivative's underlying, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

31 December 2012

	Positive market value AED'000	Negative market value AED'000	Notional amount AED'000	Notional amounts by term to maturity: Less than three months AED'000	From three months to one year AED'000	From one year to three years AED'000	From three years to five years AED'000	Over five years AED'000
Held for trading:								
Interest rate derivatives								
Swaps	4,121,031	3,600,687	256,205,751	29,668,315	62,342,809	63,533,798	60,304,214	40,356,615
Forwards & Futures	6,048	4,788	75,261,193	36,730	41,747,594	33,476,869	-	-
Options & Swaptions	167,202	163,716	15,165,430	1,292,896	7,025,118	700,792	3,881,970	2,264,654
Foreign exchange derivatives								
Forwards	430,460	1,039,955	139,468,852	101,716,820	36,101,795	1,631,872	18,365	-
Options	128,406	125,811	9,844,360	1,650,741	7,891,760	301,859	-	-
Other derivatives contracts	114	822	3,272,135	1,749,377	1,357,473	18,365	146,920	-
	4,853,261	4,935,779	499,217,721	136,114,879	156,466,549	99,663,555	64,351,469	42,621,269
Held as fair value hedges:								
Interest rate derivatives								
Swaps	729,819	1,716,729	41,501,373	6,080,997	3,519,164	8,350,212	6,809,008	16,741,992
	729,819	1,716,729	41,501,373	6,080,997	3,519,164	8,350,212	6,809,008	16,741,992
Held as cash flow hedges	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
Total	5,583,080	6,652,508	540,719,094	142,195,876	159,985,713	108,013,767	71,160,477	59,363,261

31 December 2011

	Positive market value AED'000	Negative market value AED'000	Notional amount AED'000	Notional amounts by term to maturity: Less than three months AED'000	From three months to one year AED'000	From one year to three years AED'000	From three years to five years AED'000	Over five years AED'000
Held for trading:								
Interest rate derivatives								
Swaps	3,132,107	2,811,138	207,263,109	21,677,485	39,295,128	60,322,527	47,472,586	38,495,383
Forwards & Futures	-	3,856	3,988,970	126,719	3,862,251	-	-	-
Options & Swaptions	324,261	324,261	3,647,765	-	145,756	695,572	291,825	2,514,612
Foreign exchange derivatives								
Swaps	828,985	323,576	149,933,619	101,180,092	44,591,113	4,162,414	-	-
Forwards	494,977	471,944	6,677,304	3,871,052	1,844,931	961,321	-	-
Options	27,558	23,757	9,199,092	148,692	2,098,058	4,171,848	505,383	2,275,111
Other derivatives contracts	501	271	1,358,833	116,418	1,000,313	242,102	-	-
	4,808,389	3,958,803	382,068,692	127,120,458	92,837,550	70,555,784	48,269,794	43,285,106
Held as fair value hedges:								
Interest rate derivatives								
Swaps	774,333	815,370	30,814,467	5,145,113	3,659,939	6,713,904	9,207,801	6,087,710
Forwards	-	4,599	367,300	-	-	367,300	-	-
Other derivatives contracts	-	-	15,256	15,256	-	-	-	-
	774,333	819,969	31,197,023	5,160,369	3,659,939	7,081,204	9,207,801	6,087,710
Held as cash flow hedges:								
Interest rate derivatives								
Swaps	20,698	-	366,693	-	-	-	-	366,693
Foreign exchange derivatives								
Forwards	2,227	5,701	5,538,492	2,636,087	2,902,405	-	-	-
	22,925	5,701	5,905,185	2,636,087	2,902,405	-	-	366,693
Total	5,605,647	4,784,473	419,170,900	134,916,914	99,399,894	77,636,988	57,477,595	49,739,509

The positive / negative fair value in respect of derivatives represents the gain / loss respectively, arising on fair valuation of the trading and hedging instrument. These amounts are not indicative of any current or future losses, as a similar positive / negative amount has been adjusted to the carrying value of the hedged loans and advances, non-trading investments, term borrowings and subordinated notes.

Derivative related credit risk:

This is limited to the positive fair value of instruments that are favourable to the Group.

Derivatives held for trading

The Group uses derivatives, not designated in a qualifying hedge relationship, to manage its exposure to foreign currency, interest rate and credit risks. The instruments used mainly include interest rate and currency swaps and forward contracts. The fair values of those derivatives are shown in the table above.

Derivatives held as fair value hedge

The Group uses interest rate swaps, to hedge against the changes in fair value arising from specifically identified interest bearing assets such as loans and advances, non-trading investments, term borrowings and subordinate notes. The Group uses forward foreign exchange contracts and currency swaps to hedge against specifically identified currency risks.

Derivatives held as cash flow hedge

The Group uses cross currency interest rate swaps and non deliverable forward contracts to hedge the foreign currency and interest rate risk arising from its financial instruments and for highly probable forecasted transactions. The Group has substantially matched the critical terms of the cross-currency swaps to have an effective hedge relationship.

40 Related parties

Identity of related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions. Related parties comprise major shareholders, directors and key management personnel of the Group. The terms of these transactions are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

Parent and ultimate controlling party

Pursuant to the provisions of Law No. 16 of 2006, Abu Dhabi Investment Council (the "Council") was established which holds 70.48% (2011: 70.48%) of the issued share capital of the Bank.

Compensation of directors and key management personnel

	2012 AED'000	2011 AED'000
Key management compensation		
Short term employment benefits	74,366	61,435
Post employment benefits	1,731	1,358
Termination benefits	2,043	1,512

	2012 AED'000	2011 AED'000
Directors' remuneration	5,450	5,450

During the year, a coupon payment election was made by the Bank in relation to Government of Abu Dhabi Tier 1 capital notes in the amount of AED 240 million (2011: AED 240 million).

Terms and conditions

Loans and deposits are granted and accepted in various currency denominations and for various time periods. Interest rates earned on such loans and advances extended to related parties during the year have ranged from 0.05% to 8.25% per annum (2011: 0.05% to 7% per annum) and interest rates incurred on customers' deposits placed by related parties during the year have ranged from nil to 4.5% per annum (2011: nil to 4.5% per annum).

Fees and commissions earned on transactions with related parties during the year have ranged from 0.20% to 1.00% (2011: 0.50% to 1.00%).

Collaterals against lending to related parties range from being nil to fully secured.

Balances

Balances with related parties at the reporting date are shown below:

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2012 Total AED'000	2011 Total AED'000
Financial assets	1,158,356	734,810	56,501,517	58,394,683	50,307,720
Financial liabilities	866,377	1,343,137	80,370,657	82,580,171	47,986,923
Contingent liabilities	578,226	193,203	39,008,674	39,780,103	27,504,245

Others comprise Government of Abu Dhabi entities.

Transactions

Transactions carried out during the year with related parties are shown below:

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2012 Total AED'000	2011 Total AED'000
Fee and commission income	6,263	1,512	49,444	57,219	23,787
Interest income	31,595	20,061	1,396,981	1,448,637	1,056,887
Interest expense	1,176	22,331	306,044	329,551	208,890

No allowances for impairment have been recognised against loans and advances extended to related parties or contingent liabilities issued in favour of related parties during the year (2011: AED nil).

41 Segmental information

The Group is structured into the following seven major business segments, which form the basis on which the primary segment information is reported:

- *Domestic Banking*
  The Domestic Banking Division (''DBD'') is responsible for three major customer segments together with the associated operations and administration. The DBD is structured on the basis of the Issuer's customer segments and the differing needs of the Issuer's broad customer base. The DBD comprises of three segments: Consumer Banking, Business Banking group and Elite Banking.

- *International Banking*
  The International Banking Division (''IBD'') manages the overseas banking network and credit derivative book. It primarily comprises of both Arab world banking (which includes the Issuer's networks in Bahrain, Egypt, Oman, Kuwait, Jordan, Sudan and Libya) and international banking (which includes the Issuer's operations in France, Malaysia, Hong Kong, China, the United Kingdom and the United States of America);

- *Global Financial Markets*
  The Global Financial Markets Division (''GFMD'') is the Group's key access point to the markets globally, it also ensures the liquidity for the entire Group. GFMD currently operates through Liquidity management and Interest rate group, Trading and investment group and Institutional Coverage and primary market, Corporate coverage and E-commerce group.

- *Corporate and Investment Banking*
  Corporate and Investment Banking Division (''CIBD'') provides corporate and investment clients with strategic advice and bespoke innovative solutions. The CIBD comprises six business units: Corporate Banking Group, Investment Banking Group, Wholesale Banking Group, Abu Dhabi National Leasing LLC, Abu Dhabi National Properties and Special asset advisory.

- *Global Wealth*
  Global Wealth comprises Private Banking, Asset Management Group (which includes local and global funds as well as discretionary portfolio management), Custody and Business development and the Bank's wholly-owned stockbroker Abu Dhabi Financial Services and Abu Dhabi Brokerage Company Egypt.

- *Islamic Business*
  Islamic Banking comprises Abu Dhabi National Islamic Finance and the Issuer's Islamic Division.

- *Head Office*
  The Group provides centralised human resources, information technology, finance, investor relations, risk management, corporate communications, property, legal, internal audit, compliance, collective provisions, operations and administrative support to all of its businesses units. The Head Office, which is run like a business, manages the Groups' free capital (Group treasury).

  The accounting policies of the reportable segments are the same as described in notes 2 and 3. Transactions between segments, and between branches within a segment, are conducted at estimated market rates or rates agreed by management. Interest is charged or credited to branches and business segments either at contracted or pool rates, both of which approximate the replacement cost of funds.

  Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before taxation, as included in the internal management reports that are reviewed by the Group's Chief Executive. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

	Domestic Banking AED'000	Int'l Banking AED'000	Financial Markets AED'000	Corporate & Investment Banking AED'000	Global Wealth AED'000	Islamic Business AED'000	Head office AED'000	Total AED'000
As at and for the year ended 31 December 2012:								
Operating income	1,957,915	1,357,275	1,047,857	2,797,679	341,876	269,753	898,430	**8,670,785**
Net impairment charge	272,389	221,186	(261)	520,441	4,042	5,525	313,221	**1,336,543**
Profit / (loss) before taxation	793,131	714,042	910,058	2,027,914	133,965	156,534	(271,455)	**4,464,189**
Overseas taxation	-	122,475	-	-	10,086	-	(600)	**131,961**
Net profit / (loss) for the year	793,131	591,567	910,058	2,027,914	123,878	156,534	(270,854)	**4,332,228**
Segment total assets	41,884,846	93,119,495	114,288,050	99,660,417	8,441,653	9,154,649	52,172,713	**418,721,823**
Inter segment balances								**(118,122,654)**
Total assets								**300,599,169**
Segment total liabilities	41,046,212	89,896,231	113,009,996	97,251,025	7,916,264	8,388,279	30,080,725	**387,588,732**
Inter segment balances								**(118,122,654)**
Total liabilities								**269,466,078**

Note: Except for subsidiaries the collective provisions of the Group's United Arab Emirates operations are recognised centrally in the Head office accounts and are not allocated to the business units.

	Domestic Banking AED'000	Int'l Banking AED'000	Financial Markets AED'000	Corporate & Investment Banking AED'000	Global Wealth AED'000	Islamic Business AED'000	Head office AED'000	Total AED'000
As at and for the year ended 31 December 2011:								
Operating income	1,855,907	1,139,436	985,611	2,746,823	242,760	240,335	669,990	**7,880,862**
Net impairment charge	208,757	115,219	-	589,906	5,509	362	578,802	**1,498,555**
Profit / (loss) before taxation	862,046	626,150	845,133	1,933,174	59,900	158,955	(666,775)	**3,818,583**
Overseas taxation	-	108,065	-	-	2,971	-	-	**111,036**
Net profit / (loss) for the year	862,046	518,085	845,133	1,933,174	56,929	158,955	(666,775)	**3,707,547**
Segment total assets	38,161,060	53,882,988	81,032,958	101,818,967	7,721,189	9,933,120	51,334,172	**343,884,454**
Inter segment balances								**(88,216,949)**
Total assets								**255,667,505**
Segment total liability	37,278,142	51,140,937	81,000,396	99,637,619	7,258,254	9,355,964	31,823,657	**317,494,969**
Inter segment balances								**(88,216,949)**
Total liability								**229,278,020**

Note: Except for subsidiaries the collective provisions of the Group's United Arab Emirates operations are recognised centrally in the Head office accounts and are not allocated to the business units.

42 Earnings per share

Earnings per share is calculated by dividing the net profit for the year after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the year as set out below:

	2012	2011
Basic earnings per share:		
Net profit for the year (AED'000)	4,332,228	3,707,547
Less: Payment on Tier 1 capital notes (AED'000)	(240,000)	(240,000)
Net profit after payment of Tier 1 capital notes (AED'000)	4,092,228	3,467,547
Weighted average number of ordinary shares:		
Ordinary shares as at 1 January of the year ('000s)	2,870,043	2,391,703
Effect of bonus shares issued during 2012 ('000s)	1,004,515	1,004,515
Effect of bonus shares issued during 2011 ('000s)	-	478,340
Weighted average number of ordinary shares ('000s)	3,874,558	3,874,558
Basic earnings per share (AED)	1.06	0.90
Diluted earnings per share:		
Net profit after payment of Tier 1 capital notes (AED'000)	4,092,228	3,467,547
Add: Interest on subordinated convertible notes (AED'000)	15,860	31,485
Net profit for the year for calculating diluted earnings per share (AED'000)	4,108,088	3,499,032
Weighted average number of ordinary shares ('000s)	3,874,558	3,874,558
Effect of dilutive potential ordinary shares issued ('000s)	70,114	90,949
Weighted average number of ordinary shares in issue for diluted earnings per share ('000s)	3,944,672	3,965,507
Diluted earnings per share (AED)	1.04	0.88

43 Fiduciary activities

The Group held assets under management in trust or in a fiduciary capacity for its customers at 31 December 2012 amounting to AED 5,427 million (2011: AED 2,553 million). Furthermore, the Group provides custodian services for some of its customers.

The underlying assets held in a custodial or fiduciary capacity are excluded from these consolidated financial statements of the Group.

44 Special Purpose Entities

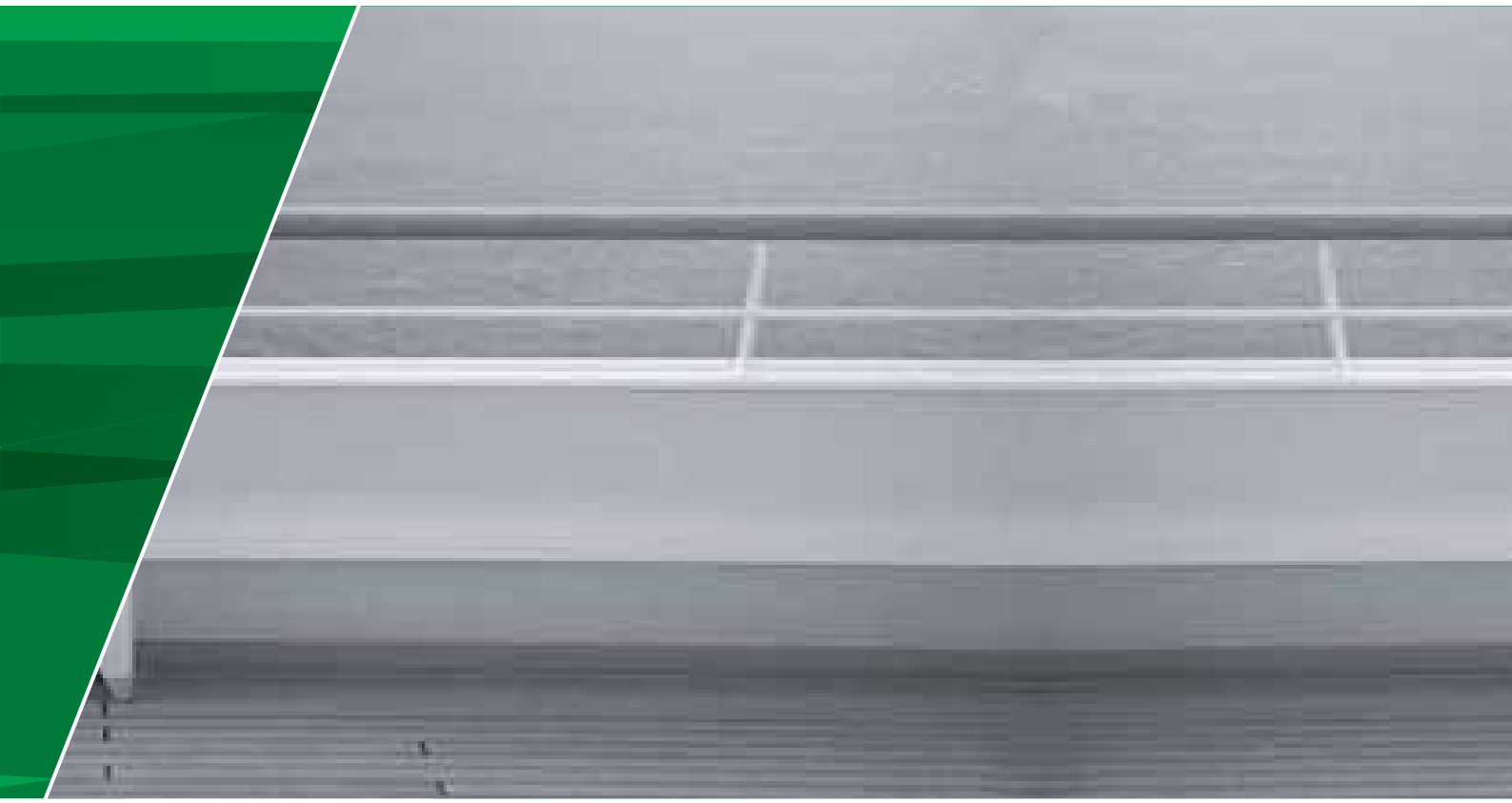
The Group has created Special Purpose Entities (SPEs) with defined objectives to carry on fund management and investment activities on behalf of customers. The equity and investments managed by the SPEs are not controlled by the Group and the Group does not obtain benefits from the SPEs' operations, apart from commissions and fee income. In addition, the Group does not provide any guarantees or assume any liabilities of these entities. Consequently, the SPEs' assets, liabilities and results of operations are not included in these consolidated financial statements of the Group. The SPEs are as follows:

Legal name	Activities	Country of incorporation	Holding 2012
NBAD Nominees Limited	Shares registration	England	100%
NBAD Fund Managers (Guernsey) Limited	Equity/Asset Management	Bailiwick of Guernsey	100%
NBAD Global Growth Fund PCC Limited	Equity/Asset Management	Bailiwick of Guernsey	100%
One share PLC	Investment Company	Republic of Ireland	100%
NBAD Private Equity 1	Fund Management	Cayman Island	57.14%
NBAD Deucalion Investment Manager Limited	Fund Management	Cayman Island	50%
NBAD (Cayman) Limited1	Fund Management	Cayman Island	100%
NBAD Global Multi-Strategy Fund[1]	Fund Management	Cayman Island	100%

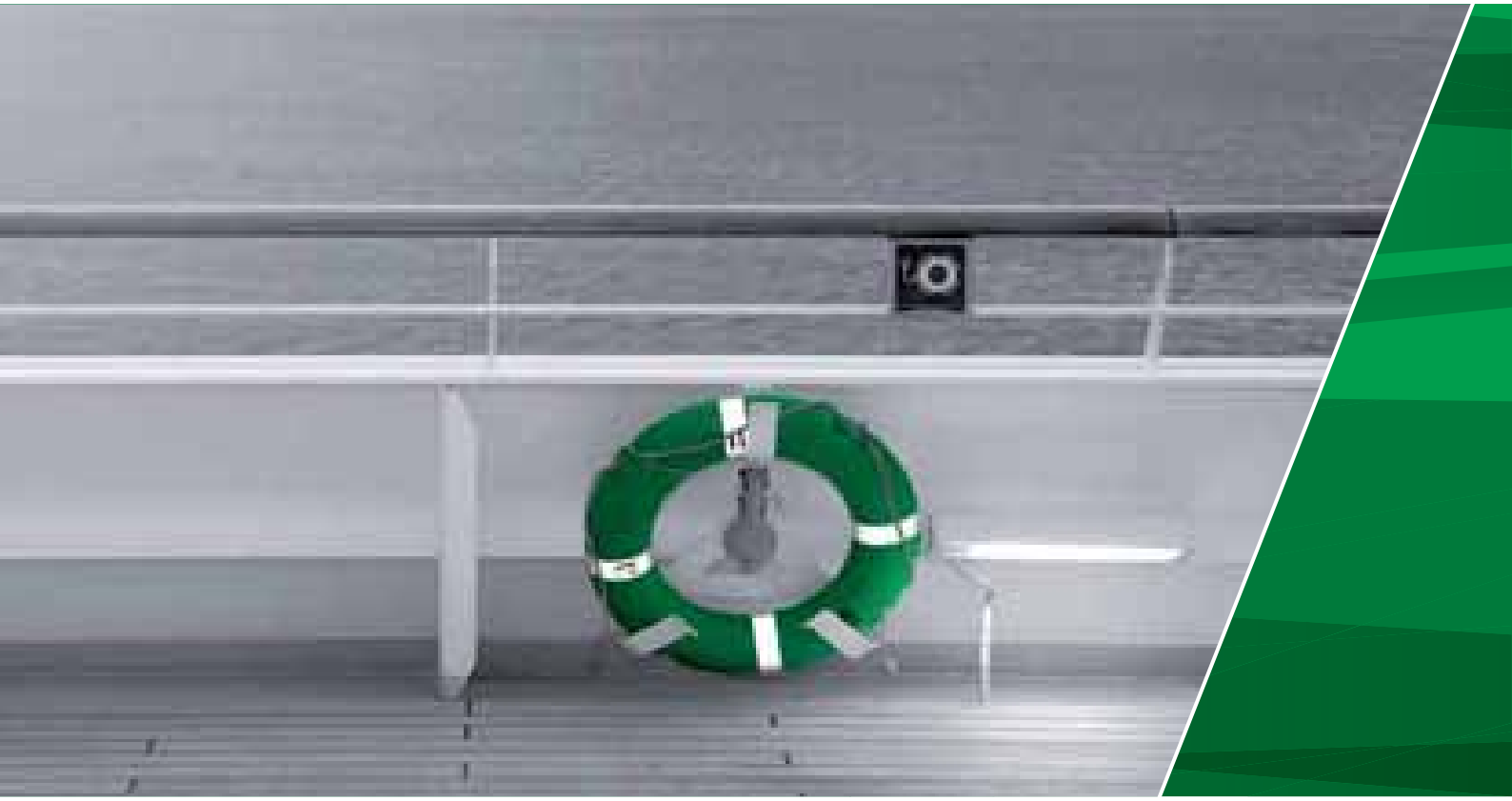
[1] New SPEs added during the year

45 Comparative figures

Certain comparative figures have been reclassified where appropriate to conform to the presentation and accounting policies adopted in these consolidated financial statements.



Risk Management & Basel II-Pillar III Disclosures



Risk Management & Basel II Pillar III Disclosures

National Bank of Abu Dhabi (NBAD) and its subsidiaries, collectively known as the "Group", assesses its capital adequacy based on the Capital Adequacy Standards of the Central Bank of UAE (CBUAE) published in November 2009 for Standardized Approach. The document is adopted from BIS Revised Framework – 'International Convergence of Capital Measurement and Capital Standards'. The framework is structured around three Pillars: Pillar I - Minimum Capital Requirements; Pillar II – the Supervisory Review Process and the Internal Capital Adequacy Assessment Process (ICAAP); and Pillar III - Market Discipline.

Pillar I deals with the computation of Regulatory Capital ratio. It involves criteria based assessment of risk for various asset classes and calculation of Risk Weighted Assets (RWAs) for credit, market and operational risk to derive the required regulatory capital. All UAE banks are subject to a minimum capital adequacy ratio of 12%, which is significantly higher than the global required minimum of 8%. Capital adequacy for the Group as at 31st December 2012 was 21.05% - substantially higher than the regulatory minimum.

The Group calculates RWA as per CBUAE guidelines for credit, market and operational risks as presented below:

Credit risk

The Group uses the Standardised approach to calculate RWA for credit risk. It uses risk weights to convert exposures into RWA as per CBUAE guidelines for Basel II which can range between 0% for certain sovereign exposures to 150% for high risk exposures. The risk assessment is driven by ratings published by External Credit Assessment Institutions approved by CBUAE.

Market risk

The Group uses the Standardised Approach of measurement as per CBUAE guidelines to calculate RWA for specific risk. In calculating RWA for market risk, the Group distinguishes between general and specific risk and between holdings in the trading book and holdings outside the trading book.

Operational risk

The Group uses the Basic Indicator Approach as per CBUAE guidelines for Basel 2 to calculate RWA for operational risk. The calculation is based on a single indicator: income. RWA are calculated as 15% percentage of the average income in the past three years.

Future steps: The Group plans to migrate to the advanced approaches of Basel II accord and is working internally on strengthening its policies, processes and tools. The Group has voluntarily applied to CBUAE with a request to initiate the accreditation process which would allow the Group to progress towards the Foundation – Internal Rating Based (F-IRB) approach; this would allow the Group to use its internal credit risk rating models to calculate and report credit risk regulatory capital.

Pillar II deals with (a) Supervisory Review of Bank's risk management framework and taking a view on whether additional capital needs to be held for risks not covered under Pillar I and (b) Internal Capital Adequacy Assessment Process (ICAAP), which is the Bank's own framework to assess its solvency (Capital and Liquidity) requirements over the next business cycle.

The Group will be submitting its ICAAP document for 2012 to CBUAE in March 2013. The ICAAP document:

- Defines risk appetite of the bank in terms of KPIs (financial and operational)
- Introspects into business strategies under various adverse scenarios (e.g. Severe Recession, Liquidity Crisis, etc.) to estimate additional solvency requirements (Stress Test) to operate within the Group's risk appetite.
- Quantifies additional capital requirements for quantifiable (e.g. Concentration risk, Interest Rate Risk in the Banking Book) and qualitative risks (e.g. Reputational Risk) over and above the Pillar I requirements.

As per current internal estimates, the Group's current level of capital adequacy is deemed more than sufficient to deal with all these additional risks and under appropriate stressed scenarios.

Pillar III relates to market discipline and requires the Bank to disclose detailed qualitative and quantitative information of its risk management and capital adequacy policies and processes.

Pillar III Qualitative & Quantitative Disclosures

Disclosures under Pillar III follow the guidelines and formats of the Capital Adequacy Standards (Standardized Approach) of CBUAE. All subsidiaries are consolidated and significant investments are deducted as per the Basel II guidelines (also consistent with IFRS guidelines).

Table 1: Subsidiaries and Significant Investments

As at December 2012	Country of Incorporation	% Ownership	Description	Accounting Treatment
Subsidiaries:				
Abu Dhabi International Bank Inc.	Curacao, Netherlands Antilles	100%	Banking	Fully Consolidated
Abu Dhabi Financial Services LLC	Abu Dhabi, UAE	100%	Shares & Securites	Fully Consolidated
Abu Dhabi National Leasing LLC	Abu Dhabi, UAE	100%	Leasing	Fully Consolidated
Abu Dhabi National Properties PrJC	Abu Dhabi, UAE	100%	Property Management	Fully Consolidated
NBAD Trust Company (Jersey) Limited	Jersey, Channel Islands	100%	Fund Management	Fully Consolidated
NBAD Private Bank (Suisse) SA	Geneva, Switzerland	100%	Private Banking	Fully Consolidated
Abu Dhabi National Islamic Finance Company	Abu Dhabi, UAE	100%	Islamic Finance	Fully Consolidated
Ample China Holding Limited	Hong Kong, China	100%	Leasing	Fully Consolidated
Abu Dhabi Brokerage Egypt	Egypt	100%	Brokerage	Fully Consolidated
National Bank of Abu Dhabi Malaysia Berhad	Kuala Lumpur, Malaysia	100%	Banking	Fully Consolidated
NBAD Investment Management (DIFC) Limited	Dubai, UAE	100%	Fund Management	Fully Consolidated
Significant Investments:				
Special Purpose Entities				
NBAD Nominees Limited	England	100%	Shares Registration	Not Included
NBAD Fund Managers (Guernsey) Limited	Bailiwick of Guernsey	100%	Equity/Asset Management	NotIncluded
NBAD Global Growth Fund PCC Limited	Bailiwick of Guernsey	100%	Equity/Asset Management	Not Included
One Share PLC	Republic of Ireland	100%	Investment Company	Not Included
NBAD Private Equity	Cayman Island	57%	Fund Management	Not Included
NBAD Deucalion Investment Manager Limited	Cayman Island	50%	Fund Management	Not Included
NBAD (Cayman) Limited	Cayman Island	100%	Fund Management	Not Included
NBAD Global Multi-Strategy Fund	Cayman Island	100%	Fund Management	Not Included
Others:				
National Takaful PJSC	Abu Dhabi, UAE	16%	Insurance	Deducted from Capital
Misr Iran Office & Touristic Buildings Co	Egypt	20%	Leasing	Deducted from Capital

The consolidated eligible capital for capital adequacy computation as at December 2012 as per the said guidelines is presented below:

Table 2: Consolidated Capital Structure as at 31st December 2012

As at 31st December 2012	Amount (AED 000)
Tier 1 Capital	
1. Paid up share capital/common stock	3,874,558
2. Reserves	
a. Statutory reserve	1,937,279
b. Special reserve	2,128,253
c. General reserve	13,463,135
d. Retained Earnings	5,009,129
e. Others	21,420
3. Minority interests in the equity of subsidiaries	
4. Innovative capital instruments	4,000,000
5. Other capital instruments	
6. Surplus capital from insurance companies	
Sub-total	30,433,774
Less: Deductions for regulatory calculation	
Less: Deductions from Tier 1 capital	
i. Tier 1 Capital - Subtotal	30,433,774
ii. Tier 2 capital	6,877,131
iii. Other deductions from capitals	44,764
iv. Total eligible capital after deductions	37,266,141

As at 31st December 2012, the capital adequacy ratio of the NBAD Group is:

Table 3: Capital Adequacy as at 31st December 2012

(AED 000)

Quantitative Disclosures	Capital Charge	Capital Ratio (%)
Capital Requirements		
1. Credit Risk		
a. Standardized Approach	19,153,961	
b. Foundation IRB		
c. Advanced IRB		
2. Market Risk		
a. Standardized Approach	907,622	
b. Models Approach		
3. Operational Risk		
a. Basic Indicator Approach	1,186,539	
b. Standardized Approach		
c. Advanced Measurement Approach		
Total Capital requirements	21,248,122	
Capital Ratio		
a. Total for Top consolidated Group		21.05%
b. Tier 1 ratio only for top consolidated Group		17.19%
c. Total for each significant bank subsidiary		

New Regulations

During 2011, Basel Committee on Banking Supervision (BCBS) officially announced the final set of regulatory capital rules, dubbed as Basel III, as per which three important ratios will be phased in by 2015 while keeping the Capital Adequacy Ratio (CAR) intact at current level. Complying with the new rules will increase capital and liquidity requirements. The final detailed guidelines from CBUAE concerning the same are still awaited; however the Group is generally in a strong position to comply with the expected Basel III rules (including phasing-in period).

First, banks will be required to increase the minimum Common Equity Ratio from existing 2% to 4.5% and in addition, they will also be required to hold a capital conservation buffer of 2.5% leading to new regulatory minimum at 7%. Second, the banks are progressively required to increase the minimum Tier I Capital to 6% by the end of 2018. Third, BCBS has suggested a minimum Leverage Ratio of 3% which may be changed before the full implementation. In this context, the respective ratios for the Group as at 31st December 2012 are as below.

Table 4: Basel III Ratio as at 31st December 2012

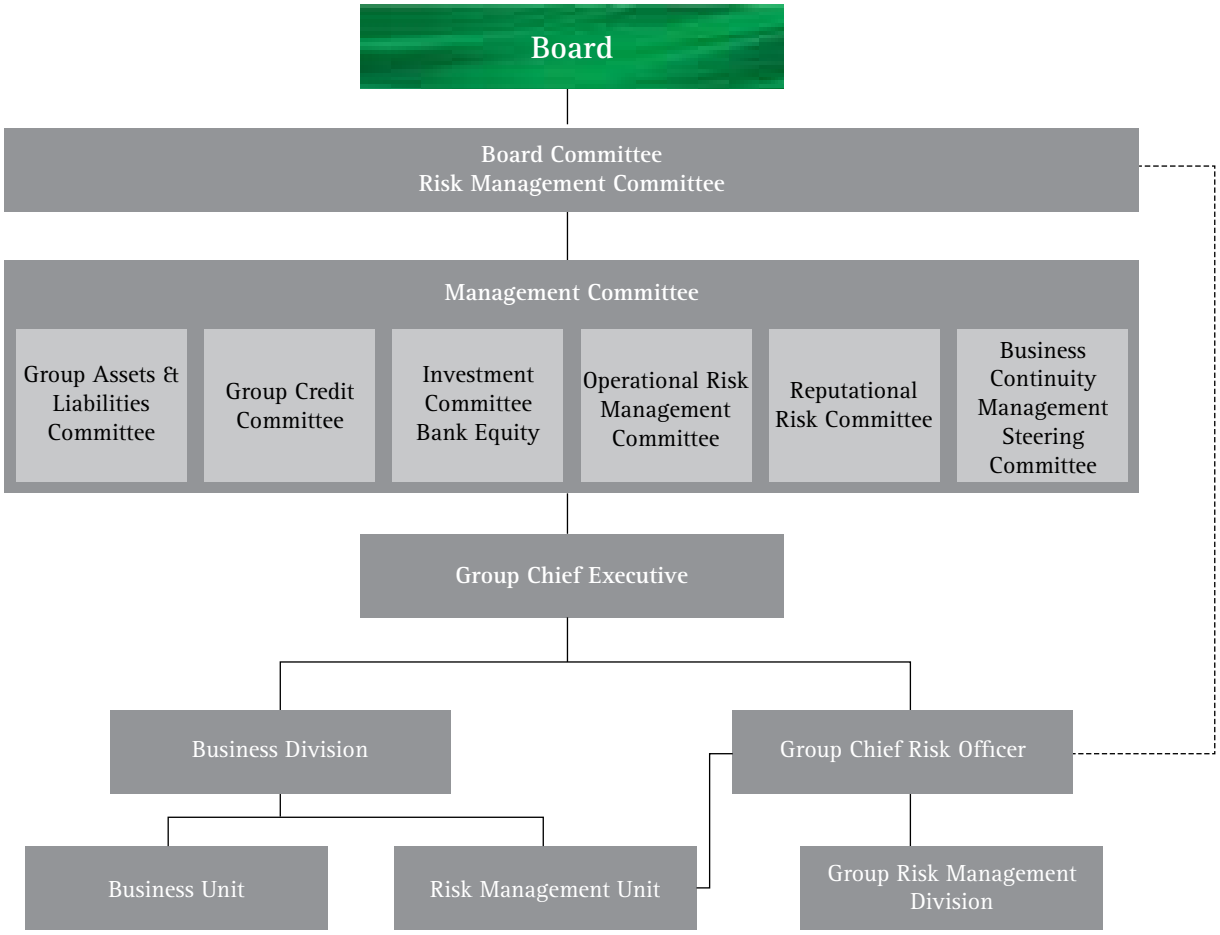
As at 31st December 2012	Ratio
Common Equity ratio	14.92%
Tier I ratio	17.19%
Leverage ratio	7.12%

GROUP RISK GOVERNANCE STRUCTURE

Structure and Organization of the Risk Management Function vis-à-vis Group

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is assisted by a Board level risk committee – Risk Management Committee as well as six management risk committees shown below.

NBAD Group Risk Governance Structure



Board Committee

Risk Management Committee (RMC), comprises of members from the Board, and is responsible for recommending and setting the Group's risk strategy and policy guidelines, and subsequently monitoring adherence. RMC takes credit decisions above management's discretionary powers, defines market risk limits under which the Group's management operates and also monitors the overall credit, operational and market risks for the Group.

Management Committees

The management committees are responsible for implementing the risk management framework. The major functions of the six management committees are given below:

- **Group Assets and Liabilities Committee (G-ALCO)**
  The principal aim of G-ALCO is to achieve sustainable and stable profits within a framework of acceptable financial risks, which includes market risk for proprietary trading and investment portfolio, liquidity risk, interest rate risk, and foreign exchange risk for Treasury and Banking Book and capital management.

- **Group Credit Committee (GCC)**
  GCC is responsible for approving credit proposals under authority delegated by the Board. Credit proposals exceeding the authority of the GCC are referred to the RMC. The GCC in turn delegates authority to divisional credit committees. The committee also implements credit risk strategy and policy in line with the risk appetite approved by the Board, through the RMC. The committee also periodically monitors the Group's credit portfolio, reviews classification of Non-Performing Loans and assesses provision adequacy.

- **Operation Risk Management Committee (ORMC)**
  ORMC ensures appropriate involvement and coordination of business management in the ORM activities at Senior Management levels and also acts as the key sponsor for ORM Unit activities.

- **Investment Committee Bank Equity**
  The key responsibilities of the committee are to assess the capital required for the Group's growth and expansion plans, maintain capital adequacy for the Group operations and regulatory requirement, to manage Group's capital within authorized limits and, to formulate investment strategies for Group's free capital.

- **Reputational Risk Committee**
  The committee is responsible for reviewing and making final determination on all reputational risk issues where escalation of such issue is made by senior management or required under group policies and procedures. The committee also ensures that reputation risk is embedded into a comprehensive risk management program.

- **Business Continuity Management Committee**
  The committee is responsible for providing oversight and strategy for Business Continuity Management and Disaster Recovery Management at the Group. The committee gathers inputs from the business and the support functions from within the Group to aid in decision making and priority setting to ensure the success of business continuity in the Group.

A separate Group Risk Management Division (GRMD), reporting to the RMC and Group Chief Executive (G-CE), assists in carrying out the oversight responsibility of the Board. There are four main independent functions of the GRMD, which are:

- **Group Credit Underwriting**
  It covers all aspects of credit approval from end to end, definition of credit appetite and strategies at the business segment level, purview of overall portfolio quality, approval of individual transactions and sanction issuance.

- **Group Independent Risk Management (GIRM)**
  Responsible for overall management of portfolio credit risk, market risk, liquidity risk, operational risk, and business continuity management as well as overall risk architecture of the Group

- **Group Risk Quality Assurance (RQA)**
  Supports the GCRO in enhancing overall quality of the risk function including risk decisions, processes, portfolio quality, service standards, risk human resources / culture and skills enhancement.

- **Satellite Risk Units**
  Each business division / international unit has an embedded risk management function, headed by a Risk Officer (RO). The embedded ROs and their teams are responsible for assisting business heads in the identification and management of their business risk profiles and for implementing appropriate controls. These teams also assist GIRM in the formulation of Group policies and their implementation across the businesses. The embedded ROs report jointly (two solid lines) to their respective business heads and to the GCRO

The Group has established risk management functions within business units over the last two years in order for GRMD to assist the Group to build a strong scalable risk based infrastructure and support future growth. This involves creating 'satellite risk units' responsible for risk management within each business unit, both for domestic and overseas operation. ROs assigned within business unit have two solid reporting lines – one to the business head and the other to the GCRO. The key objectives for the satellite risk units are to ensure efficient coordination between business units and GRMD on all credit

and risk initiatives, ensure full utilization of risk architecture (models, systems, process et cetera) within the business units and improved risk governance by embedding and enhancing risk culture at business unit level.
Risk Quality Assurance (RQA) Department has been newly established within GRMD to perform three major functions viz. Risk Quality Assessment, Risk Governance and Performance Management, Risk Development and Communication. The primary focus of this department is to carry out the following functions:

- Identify gaps & early warning signals by undertaking Credit & Investment adjudication reviews of Group portfolio as well as assessment of the Independent Risk Management functions.
- Implement the Group Risk Strategy through a robust Risk Governance framework and adequate Performance Management.
- Deploy a strong risk culture through risk skills enhancement programs across the Group, implementation of Risk Based remuneration practices and proper job evaluation for risk professionals.

Additionally, RQA ensures alignment of GRMD to meet ISO 9001 standards in terms of standardizing processes, maintaining service standards and identifying on going improvement objectives.

Risk Appetite

The Group has established a risk appetite framework, which defines the amount and the type of risk acceptable to the Bank while pursuing its strategic/business objectives. The Bank's current risk appetite framework primarily reflects the top-down view of its capacity to take risk, defined in terms of Risk Appetite Parameters (RAPs) which are circumscribed by self-imposed constraints and tolerance levels around them. These constraints are limits and triggers to avoid adverse outcomes which would be out of line with internal and external expectations, and may lead to unexpected losses of a scale that would be detrimental to the stability of the relevant business units or of the Group as a whole.

The Group's risk appetite statement is governed by seven broad metrics:

- Credit rating
- Capital adequacy
- Earnings volatility
- Asset quality & provision coverage
- Liquidity risk
- Market risk
- Operational risk

These metrics are converted to measurable risk assessment parameters and tolerance levels at Group level as well as business unit level. The Group level statement outlines the key risk parameters, their current level and medium term targets. At business unit level, along with risk parameters, the risk appetite provides specific guidance in terms of 'what is encouraged' and 'what is discouraged' as well as overarching key risk messages.

CREDIT RISK

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and causes the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks including reverse repo, off balance sheet contingent liabilities and non-trading investments.

a) Management of Credit Risk

The Group's Credit Risk Management framework includes policies & procedures to monitor and manage these risks. The Group Risk Management function ensures centralized oversight for credit risk management including:

- Establishment of authorization structure and limits for the approval and renewal of credit facilities;
- Reviewing and assessing credit exposures in accordance with authorization structure and limits, prior to facilities being committed to customers. Review and renewal of facilities are subject to the same process;
- Diversification of lending and investment activities;
- Limiting concentrations of exposure to industry sectors, geographic locations and counterparties; and
- Reviewing compliance, on an ongoing basis, with agreed exposure limits relating to counterparties, industries and countries and reviewing limits in accordance with risk management strategy and market trends.

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each Corporate and Public Sector Enterprise (PSE) exposure is assigned a rating. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Watch-list and Grades 9-11 are non–performing each with a rating description. These grades are mapped to the external credit ratings (Standard and Poor, Moody's and Fitch).

- For Corporate, SMEs, and High Net-Worth Individuals these are mapped to an Internal Rating Based (IRB) expert system, validated for GCC conditions.
- Each grade in the rating system is linked to a statistical Probability of Default (PD).

The internal risk rating system plays a significant role in efficient use of credit risk measurement and management including:

- Risk based pricing and determination of Risk adjusted return on capital

- Risk based monitoring (Frequency and intensity of monitoring)
- Determining risk based delegation of powers at various sanction authority levels
- Estimation of collective provisioning
- Estimation of regulatory capital as per Basel II F-IRB

The rating system is subjected to an annual validation process. During 2011, the rating models were validated by an external third party and a roadmap created for building new models for specific portfolio segments and to perform validation and enhancement, as required, of existing models. New models for specific portfolios of the Group were introduced in 2012 and select existing model enhanced; these new models and previously existing models would be validated in 2013 based on information collected in 2012 and enhancements made as required.

The Group currently uses rating models based on statistical analysis but supplements them with expert judgment. As data availability (both qualitative and quantitative) improves, the rating system would tend more towards statistical models, but would retain expert judgment to ensure that models are suitable for banks portfolio and in line with the banks policies and culture.

Retail lending business is governed by product programs vetted by the Risk Management Division and employs credit scoring technique to process small scale, large volume credit decisions. The scores are combined with management judgment to ensure effective ongoing process of approval, review and enhancement. Majority of the retail credit origination process has been automated which significantly reduces operational risk arising out of the credit approval and monitoring process.

Sovereign and bank exposures are governed by the ratings from external credit rating agencies.

The Group has implemented Global Limits & Collateral Management System (GLCMS), as a limit and exposure aggregator over all transaction systems in U.A.E. Using GLCMS, counterparty and group exposure can be aggregated and reported across portfolios in U.A.E. The information is made available through an application interface as well as through periodically scheduled reports. The system enables various Credit Administration Units to monitor security document compliance and follow up on collateral valuations. GLCMS calculates net exposures for the counterparty adjusting for eligible credit mitigants. The system is integrated with the credit approval system and internal rating platform on a real time basis. The Group is working to next enhance GLCMS with the capability to monitor limit utilization in real time which would identify exceptions before transaction authorization.

The Group is in final stages of completing Enterprise Data Warehouse project with Business Intelligence layer on top. The project enables data historization for risk and also enhances reporting capabilities manifold.

b) Credit risk is monitoring is performed at various levels

- Monitoring of risk quality (Obligor level): The Group has a process of periodic review of credit based on the internal rating grades. More frequent reviews are made for the weaker credits and less frequent reviews for the superior credits. The Group has a process of defining and reporting all the potential problem accounts. Consumer banking portfolio is monitored based on delinquency buckets, which are calculated based on the number of installments due from the customer.

- Monitoring of risk quality (Portfolio Level): The Group monitors the existing portfolio based on the economic sectors, industry, geography, ratings and business lines. These portfolio reports are generated periodically and the senior management is informed on the same.

- Monitoring of past dues on principal and interest: All the past dues on principal and interest on loans and advances portfolio of the Group are reported periodically to the senior management. Measures to realize such past dues are initiated with stringent follow up thereafter.

- Monitoring of excess over limits: Group has a policy for monitoring of all excesses over limits. The monitoring reports are submitted to the senior management and processes are initiated to realize and regularize such excesses.

- Monitoring of potential loss accounts (Watch-list): This category comprises of accounts where principal or interest are past due and which show some potential weakness in the borrower's financial position and credit worthiness, which requires greater follow-up and monitoring.

- Rating migration: The Group reviews transition matrix for all the internally rated customers on a quarterly basis which provides insights regarding the credit quality migration as well as model performance.

- Traded credit risk: The Group has internally designed and implemented the methodology to estimate the potential future exposure (PFE) associated with FX, interest rate and commodity OTC derivatives. The PFEs are used by the Group to set the risk limit as well as to monitor counterparty exposure on daily basis.

- Collateral management: The Group has adopted a rigorous system of controls, reviews and approvals to ensure effective collateral management. This includes minimum loan to value (LTV) requirement for each facility, specific collateral requirement for lending against shares and real estate portfolio, margin calls for treasury products and ensuring legal enforceability of contracts including perfection of security interests.

RQA will further strengthen the post facto review of credit and investment underwriting process and supplement Group Audit and Group Compliance Divisions. The Loan Review Mechanism (LRM) ensures that credit and investment underwriting operates within a sound, well defined framework with appropriate use of expert judgment. The review also covers the risk rating framework, methodology and process for managing credit and investment transactions as well as monitoring of early warning triggers, remedial action and loss estimation.

c) Concentration Risk

Credit concentration risk refers to the level of exposure to any individual or related group of customers, specific industry or sector, country or geographical locations. The first level of protection against concentration risk is through country and industry thresholds limits set by the Risk Management Committee and Group Credit Committee. Credit exposures to individual customers or customer groups is controlled through a risk based delegation of powers (DoP) matrix with borrower's Risk Rating and collateral forming the inputs to the DoP matrix.

Single Name Concentration:
Single name concentration is monitored on an individual basis with the top 10 corporate exposures for overseas countries and top 20 corporate exposures for UAE being reported to the GCC on a quarterly basis. The Group abides by single obligor limits set by CBUAE requiring the banks to seek CBUAE approval for any planned exposure to a single counterparty or groups of connected counterparties exceeding the limit applicable to that counterparty.

Sector Concentration:
The Group has consciously adopted measures to diversify the exposures to various sectors. Real Estate exposure remains within the limits prescribed by CBUAE, with sufficient collateral coverage. The Group has established industry limits to ensure portfolio diversification and employs stringent lending guidelines in conjunction with close portfolio monitoring for vulnerable portfolios to systematic downturns.

Geographic Concentration:
The Group's operations are mainly concentrated within UAE. The Group as part of its business expansion strategy has consciously diversified its business across geographies to reduce the dependence on local markets. Diversifications across geographies expose the Group to legal, transfer and sovereign risk. Exposures against these limits are monitored periodically to ensure compliance.

d) Credit Risk Policy

Credit risk policies are an integral part of the Group's risk management framework. Policies govern all activities related to credit appraisal and underwriting appraisal of credit and extension of credit such as product risk review and approval, stress testing, risk limits, risk approval authorities, and model risk management. Business segments specific policies and procedures are established to manage the risks that are unique to their operations.

During 2012, the Bank completed the revamp of its Group credit policy manual, which was independently validated by Ernst & Young, which is meant to govern the credit risk activities of the Bank. The revamp was in the making for the last two years, and is designed to embed the nature of the Group's existing business, its future road map, international best practices, and lessons from the recent financial crisis. The key highlights are as below:

- Part A: Group level credit policies are the high-level or overarching policies for all the entities within the Group, domestic as well as international. These policies cover the general credit policies and requirements such as risk appetite and credit portfolio planning, risk budgeting, credit risk governance, fundamental credit principles and credit criteria, credit risk rating and pricing, credit risk mitigation and remedial management.

- Part B: Business segment credit policies articulate the policies specific to individual business segments within the Bank that originate or take on credit exposures. These policies govern the stages of credit approval life cycle, viz. origination, assessment and measurement, pricing, approval, commitment, high-level principles of credit administration and credit operations, monitoring, reporting and remedial management.

- Part C: This part covers two sections viz. policies governing (a) credit products and (b) specialized lending categories. Product policies detail the product specific policies for all permissible generic credit products that may be offered by one or more business segments as well as traded credit products. Programmed lending in consumer banking which are covered by individual products programmes serve as an extension of these policies. Specialized lending categories cover areas such as syndicated credit, project financing, contractor financing, real estate financing, share financing and asset backed lending. This part also covers the process and authority for introduction and approval of new credit products.

- Part D: This includes portfolio management policies which articulate the policies on credit risk adjudication review, credit risk quality assurance and portfolio management including credit risk limits and stress testing.

To facilitate Bank-wide usage, the credit policies are being rolled out on a web-based platform with advanced search functionalities to enhance ease of use.

Geographic, Sectoral, Tenor classification of Gross Credit Exposures

The geographic distribution of Gross Credit Exposures (funded and non-funded) as at 31st December 2012 is as follows:

Table 5: Gross Credit Exposures by Geography as at 31st December 2012

(AED 000)

Geographic Distribution	Loans	Securities	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
United Arab Emirates	110,633,189	15,695,915	126,329,104	20,353,276	62,730,529	44,089,186	127,172,991	253,502,095
GCC excluding UAE	7,930,756	5,194,706	13,125,462	1,053,514	12,463,294	3,904,449	17,421,257	30,546,719
Arab League (excluding GCC)	5,373,648	2,594,189	7,967,837	173,291	176,181	1,901,633	2,251,105	10,218,942
Asia	8,213,888	317,013	8,530,901	725,056	2,419,828	9,717,140	12,862,024	21,392,925
Africa	5,903	-	5,903	-	-	401,500	401,500	407,403
North America	2,222,462	854,900	3,077,362	2,395,496	112,083,881	6,670,645	121,150,022	124,227,384
South America	1,343,644	241,398	1,585,042	-	-	389,072	389,072	1,974,114
Caribbean	332,277	-	332,277	-	-	-	-	332,277
Europe	28,521,478	7,048,966	35,570,444	1,104,397	339,586,776	25,466,318	366,157,491	401,727,935
Australia	-	339,770	339,770	-	1,569,138	1,629,299	3,198,437	3,538,207
Others	22,133	-	22,133	-	-	10,412	10,412	32,545
Total	164,599,378	32,286,857	196,886,235	25,805,030	531,029,627	94,179,654	651,014,311	847,900,546

Classification of Gross Credit Exposures (funded and non-funded) by Industry Segments as at 31st December 2012 is as follows:

Table 6: Gross Credit Exposure by Industry Segment as at 31st December 2012

(AED 000)

Industry Segment	Loans	Securities	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Agriculture, Fishing & related activities	86,235	-	86,235	248,575	-	147,663	396,238	482,473
Crude Oil, Gas, Mining & Quarrying	16,290,780	3,407,715	19,698,495	1,735,782	457,654	1,005,289	3,198,725	22,897,220
Manufacturing	8,676,273	-	8,676,273	1,064,619	1,467,499	15,728,486	18,260,604	26,936,877
Electricity & Water	8,826,224	1,297,945	10,124,169	3,490,730	4,734,551	1,226,496	9,451,777	19,575,946
Construction	3,517,593	-	3,517,593	1,451,019	1,752,072	6,196,657	9,399,748	12,917,341
Real Estate	26,530,613	661,069	27,191,682	5,257,578	6,167,588	248,873	11,674,039	38,865,721
Trade	3,328,986	-	3,328,986	1,322,760	5,538,229	3,767,159	10,628,148	13,957,134
Transport, Storage & Communication	6,438,355	416,736	6,855,091	1,202,441	2,199,025	1,646,903	5,048,369	11,903,460
Financial Institutions	27,849,048	15,773,147	43,622,195	463,439	496,851,919	27,636,859	524,952,217	568,574,412
Services	17,430,400	519,428	17,949,828	1,305,147	5,889,975	1,539,304	8,734,426	26,684,254
Government	21,141,361	10,210,817	31,352,178	5,797,271	3,269,899	29,832,693	38,899,863	70,252,041
Loans to Individuals for Business & Consumption Purpose	24,413,807	-	24,413,807	937,013	1,170,799	118,328	2,226,140	26,639,947
All Others	69,703	-	69,703	1,528,656	1,530,417	5,084,944	8,144,017	8,213,720
Total	**164,599,378**	**32,286,857**	**196,886,235**	**25,805,030**	**531,029,627**	**94,179,654**	**651,014,311**	**847,900,546**

Gross Credit Exposure (funded and non-funded) breakup by currency as at 31st December 2012 is as follows:

Table 7: Gross Credit Exposures by Type as at 31st December 2012

(AED 000)

Currency	Loans	Securities	Total Funded	Commitments	OTC Derivatives*	Other Off-Balance Sheet	Total Non-Funded	Total
Foreign Currency	86,432,066	30,799,066	117,231,132	8,891,976	531,021,617	83,026,458	622,940,051	740,171,183
AED	78,167,312	1,487,791	79,655,103	16,913,054	8,010	11,153,196	28,074,260	107,729,363
Total	**164,599,378**	**32,286,857**	**196,886,235**	**25,805,030**	**531,029,627**	**94,179,654**	**651,014,311**	**847,900,546**

Tenor classification by Contractual Maturity of the Gross Credit Gross Credit Exposures (funded and non-funded) as at 31st December 2012 is as follows:

Table 8: Gross Credit Exposures by Residual Contractual Maturity as at 31st December 2012

(AED 000)

Residual Contractual Maturity	Loans	Securities	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Less than 3 months	30,948,613	1,361,781	32,310,394	1,556,430	142,526,182	34,644,183	178,726,795	211,037,189
3 months to one year	29,832,358	3,743,716	33,576,074	1,646,946	159,637,898	13,536,714	174,821,558	208,397,632
One to five years	48,934,801	7,752,450	56,687,251	8,359,417	163,704,084	27,181,853	199,245,354	255,932,605
Over five years	54,883,606	19,428,910	74,312,516	14,242,237	65,161,463	18,816,904	98,220,604	172,533,120
Total	**164,599,378**	**32,286,857**	**196,886,235**	**25,805,030**	**531,029,627**	**94,179,654**	**651,014,311**	**847,900,546**

e) Classification and Provisioning Policy

Past Due but not Impaired Accounts

The Group classifies accounts where principal or interest is past due for more than 30 days and which show some potential weakness in the borrower's financial position and creditworthiness as 'past due but not impaired'. Such potential weakness may also be due to inadequate loan agreements, the condition and/or control over collateral, failure to obtain proper information, documentation, etc.

These accounts are monitored on a monthly basis. In cases where there is a possibility of adverse developments, exit strategy or workout plans are formulated to proactively manage the account before possible adverse situation can materialize. At this stage no special action relating to provisioning and income recognition for the particular account is taken.

Restructured Accounts

The Group considers an account to be restructured if there is any change in the facility structure which results in a loss to the group. Restructuring is affected through material revision or alteration of the terms and conditions of the borrower's existing credit facilities on non-commercial terms which may include reduced or deferred repayments, extended terms, reduced interest rates or interest roll-up or forgiveness, relaxation of covenants or terms and conditions, or relaxed collateral or security requirements.

Restructuring of existing credit facilities is only considered to avoid an impending default, address an existing payment default or rehabilitate delinquent debt as restructuring is considered a better alternative than acceleration towards legal redress. Such accounts are monitored regularly post restructuring to ensure proactive management in case of any recurrence in the borrower's financial position and creditworthiness.

The Group provides for the difference of the carrying amount of the asset and the present value of estimated future cash flows discounted at the facility's original effective interest rate (i.e. the effective interest rate computed at initial recognition).

Individually Impaired accounts

The classification policy currently implemented by the Group classifies delinquent borrowers as Substandard, Doubtful or Loss in line with the guidelines laid down in CBUAE circular 28/2010. To ensure strict compliance, the Group had implemented an automated solution that classifies delinquent accounts with exposure below a set threshold. The classification into Substandard, Doubtful or Loss is carried out daily for these accounts based on delinquency ('days past due'). For accounts with exposure greater than the threshold value, classification as Substandard, Doubtful or Loss is based on a thorough assessment of the account by means of a detailed credit risk assessment.

Accounts, automatically classified by the system are provided for on a monthly basis as above. For accounts with exposure greater than the threshold amount, provisioning policy is applied manually and centrally monitored to ensure strict compliance to CBUAE regulations. In case of international units, the Group assesses both home and host regulations and applies the stricter one.

Write-off Policy

The Group currently has a policy to write-off historical accounts based on the time elapsed since the account was fully provided for as per the provisioning and classification policy of the Group taking into account the possibility of recovery through legal measures. Exposures are written off using one or more of the criteria defined in the Group Credit Policy Manual. However, write-off may be deferred in specific cases based on the discretion of the Head of Remedial Advances. Write-off of interest and/or principal requires approval from authorities, as defined in the credit policy of the Group, depending on the amount including any exposure previously provided for.

Collective Provisioning

The Group maintains collective provisions in line with CBUAE guidelines which mandate all Banks to achieve a minimum collective provision level of 1.5% of net Credit Risk Weighted Assets (CRWA) by 2014. Net CRWA is defined as the CRWA for all performing credits (including past due but not impaired) as calculated using the Basel II Standardized approach. The Group holds collective provisions of AED 2.428 billion as at 31st December 2012, which is 1.54% of net CRWA.

Subsequently, the Group provides for the classified accounts based on CBUAE guidelines, as below:

Classification	Criteria		Provisions
	Corporate loans	Retail loans	
Normal	normal banking risk for repayment as agreed		Collective provisioning
Watch-list	some weakness in financial condition		Collective provisioning
Sub -standard loans	Some loss due to adverse factors to hinder repayment or weakness of security	arrears greater than 90 days	Specific provision - 25% of the exposure amount net of discounted value of collateral held
Doubtful loans	full recovery doubtful, financial position not sound	arrears greater than 120 days	Specific provision - 50% of the exposure amount net of discounted value of collateral held
Loss loans	exhausted all courses of action, may recover nothing	arrears greater than 180 days	Specific provision - 100% of the exposure amount net of discounted value of collateral held

Geographic and sectoral distribution of overdue loans and Provisions thereon as at 31st December 2012 is in tables below:

Table 9: Geographic Distribution of Overdue Loans and Provisions as at 31st December 2012

AED 000

Geographic Distribution	Overdue			Provisions		
	Past Due but not impaired	Induvidually impaired	Total	Int. in Suspense	Specific	General
United Arab Emirates	2,374,676	5,613,246	7,987,922	618,965	2,746,449	1,768,960
GCC excluding UAE	12,738	545,298	558,036	70,571	201,679	173,727
Arab League (excluding GCC)	186,625	278,137	464,762	16,185	123,153	192,961
Asia	-	-	0	-	-	50,135
Africa	-	-	0	-	-	-
North America	-	540	540	19	-	59,465
South America	-	-	0	-	-	-
Caribbean	-	-	0	-	-	-
Europe	-	50,594	50,594	1,313	18,368	173,590
Australia	27,103	-	27,103	-	-	9,236
Others	-	-	0	-	-	-
Total	2,601,142	6,487,815	9,088,957	707,053	3,089,649	2,428,074

Table 10: Sectoral Distribution of Overdue Loans and Provisions as at 31st December 2012

(AED 000)

Industry Segment	Overdue			Provisions		
	Past Due but not impaired	Individually impaired	Total	Int. in Suspense	Specific	General
Agriculture, Fishing & related activities	2	3,037	3,039	130	1,530	845
Crude Oil, Gas, Mining & Quarrying	31,806	11,019	42,825	244	11,264	34,172
Manufacturing	411,716	285,667	697,383	12,454	106,414	156,235
Electricity & Water	50,240	7	50,247	1	-	62,667
Construction	15,789	214,065	229,854	9,883	64,607	122,091
Real Estate	936,265	2,172,088	3,108,353	227,253	1,058,788	684,689
Trade	53,718	109,490	163,208	7,376	72,095	94,542
Transport, Storage & Communication	10,881	76,133	87,014	13,817	62,336	39,249
Financial Institutions	257,695	236,546	494,241	3,462	100,957	357,909
Services	353,563	406,898	760,461	28,750	190,898	286,189
Government	-	18,207	18,207	42	9,080	3,491
Loans to Individuals for Business & Consumption Purpose	479,396	2,936,388	3,415,784	401,227	1,409,450	579,300
All Others	71	18,270	18,341	2,414	2,230	6,695
Total	**2,601,142**	**6,487,815**	**9,088,957**	**707,053**	**3,089,649**	**2,428,074**

Movement in the provision for impaired loans for the period January - December 2012 is shown below:

Table 11: Reconciliation of Changes in Provision for Impaired Loans for the Period Jan-Dec 2012

(AED 000)

	Description	Amount
	Opening Balance of Provisions for Impaired Loans	**4,800,705**
Add:	Charge for the year	
	• Specific provisions	1,709,070
	• General provisions	291,874
Add:	Write off of impaired loans to income statement	-
Less:	Recovery of loan loss provisions	(218,723)
Less:	Write back of provisions for loans	(579,717)
Less:	Amount written off	(485,486)
	Closing Balance of Provisions for Impaired Loans	**5,517,723**

Adoption of F-IRB Approach

The Group has voluntarily decided to prepare for migration to the F-IRB approach for credit risk. As part of the preparations, the Group has completed independent third party validation of its rating systems and presented the results to CBUAE. The rating models used by the Group for its corporate portfolio (including commercial PSE borrowers) have been validated and their performance has been found satisfactory. Additionally, the usage of rating models by the Group in the credit approval process and subsequent monitoring and reporting has been validated against "Use Test" regulatory requirements and found compliant.

As part of the preparations for migration to F-IRB, the Group has established a roadmap (for the next five years) to achieve best-in-class practices by improving its rating models and associated systems. Key steps in the roadmap are:

- Improvement in rating models: In addition to the existing models, portfolio segments were identified for which specific models have been built. Further, validation exercises would be conducted for rating models on an annual basis and incremental changes would be performed to optimize model performance whenever necessary.

- Increase in IRB coverage: The fraction of the portfolio covered by IRB models is being increased (which is already in excess of the minimum required by CBUAE) by ensuring all borrowers covered by existing models are rated and models developed for specific uncovered portfolio segments. The Group has rolled out new rating models for specific portfolio segments in 2012 and additional models are in development for deployment in 2013.

- Capital computation: The capital calculation process will be automated in addition to other initiatives to streamline the data integrity, storage, controls and reporting capabilities of the Group's IT infrastructure.

The Group continues to make parallel Basel-II submissions to CBUAE under the F-IRB framework on quarterly basis based on the internal ratings. The distribution of performing loans and advances as at December 2012 is as below.

Table 12: Rating Distribution of Performing Loan Portfolio as at 31st December 2012

Rating grade	% of total performing loans and advances
1 – 4	52.9%
5 – 6	24.9%
7	13.6%
8	1.1%
Retail programme lending	7.4%

The Group has linked the monitoring frequency to its risk rating. Obligors with lower risk profile are monitored at lower frequency unless otherwise required. More frequent reviews for lower rated borrowers ensure focused monitoring and early identification of potential impairments. The monitoring frequency is as below:

Risk Rating	Frequency
Risk Rating between 1+ to 4	12 months or lower
Risk Rating between 4- to 6	6 months or lower
Risk Rating between 6- to 8	3 months or lower
Classified Accounts	To be monitored by Remedial Advances

Use of ratings by External Credit Assessment Institutions (ECAIs):

For banks and sovereign exposures, the risk ratings given by leading External Credit Assessment Institutions – Moody's, Standard and Poor's and Fitch are considered. For PSEs and corporate exposures, issuer ratings are used, if available. Wherever multiple ratings are available, mapping provided in the guidelines by the supervisor is used for arriving at the required risk weighting under Standardized Approach.

Basel II Reporting of Credit Risk Exposures

Credit risk exposures reported under Basel II differ in a number of respects from those reported in the consolidated financial statements.

- As per CBUAE Basel II framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into direct credit exposure equivalents.
- Under the Basel II capital adequacy framework, eligible collateral is applied to reduce exposure.

Credit Risk Mitigation (CRM) & Collateral Valuation

While extending credit facilities, the Group primarily relies on the borrower's ability to pay. Security is the means by which, in the last resort, the Group should be able to obtain the repayment of outstanding amount owing to it by a customer. It may take many forms, but any item of security should possess the following attributes:

- It should be of a determinable value;
- It should have a stable value;
- It should be of a value in excess of the amount it is intended to be securing so as to provide a margin of safety;
- It should be readily realizable, i.e. an asset such as a property, should be capable of being readily sold; and
- It should be enforceable, preferably without needing recourse to the Courts or the involvement of other legal processes.

Security with such attributes could be described as being of good quality. Acceptable forms of collateral are defined within the Group risk framework and conservative valuation parameters applied and frequently reviewed to reflect any changes in market conditions. Security structures and legal covenants are also subject to regular review.

Broad types of collateral taken by the bank are cash, land and buildings (real estate), mortgage debentures, stocks and shares, merchandise, goods et cetera.

Gross Credit Risk Exposures subject to Credit Risk Mitigation (CRM)

Under the Standardised Approach of Basel II, banks may choose between two options when calculating credit risk mitigation capital relief. These are the Simple Approach which substitutes the risk weight of the collateral from that of the exposure and the Comprehensive Approach where the exposure is adjusted by the actual value ascribed to the collateral, the latter being more robust as a methodology.

The Group uses the comprehensive method, where eligible collateral is in form of financial securities (e.g. cash, high quality debt securities, equities in main index). In addition, on-balance sheet netting, guarantees by specific protection providers and credit derivatives are also allowed as Credit Risk Mitigants (CRM). The Group follows the Basel II guidelines specifying minimum operating and documentation criteria that need to be satisfied for eligibility as Basel II collateral.

Following table below provides on and off-Balance Sheet exposures for the Group along with the effect of Credit Risk Mitigation in each Basel II asset class.

Table 13: Loan Portfolio as per Standardized Approach as at 31st December 2012

(AED 000)

Asset class	On balance sheet	Off balance sheet	Credit risk mitigation (CRM)			Risk weighted assets
	Gross outstanding	Net exposure after credit conversion factors (CCF)	Exposure before CRM	CRM	After CRM	
Claims on sovereigns	85,275,944	10,695,802	95,971,747	-	95,971,747	3,453,972
Claims on non-central government public sector entities (PSEs)	50,148,834	5,046,829	55,195,663	2,184,749	53,010,914	20,156,786
Claims on multi-lateral development banks	555	-	555	-	555	-
Claims on banks	60,400,941	22,739,451	83,140,392	13,134,134	70,006,258	31,434,555
Claims on securities firms	5,150,774	667,408	5,818,182	3,366,075	2,452,107	1,714,349
Claims on corporates	56,267,989	27,248,167	83,444,262	11,139,098	72,305,164	70,074,421
Claims included in the regulatory retail portfolio	12,414,905	-	12,400,973	325,599	12,075,374	9,401,400
Claims secured by residential property	2,373,796	-	2,373,796	67,619	2,306,177	2,087,895
Claims secured by commercial real estate	13,004,532	-	13,004,532	286,909	12,717,623	12,717,623
Past due loans	6,487,815	-	2,691,114	772,773	1,918,341	2,242,350
Higher-risk categories	-	-	-	-	-	-
Other assets	10,043,151	-	10,042,966	-	10,042,966	5,505,336
Claims on securitized assets	4,157,980	-	4,157,981	-	4,157,981	827,654
Credit Derivatives (Banks selling protection)	-	-	-	-	-	-
Total Claims	**305,727,216**	**66,397,657**	**368,242,163**	**31,276,956**	**336,965,207**	**159,616,341**

The following table shows the rated and unrated exposures in each Basel II asset class for the NBAD group:

Table 14: Loan Portfolio as per Standardised Approach as at 31st December 2012

(AED 000)

Asset Class	Rated	Unrated	Total
Claims on Sovereigns	95,622,395	349,352	95,971,747
Claims on Public Sector Entities	16,880,522	38,315,141	55,195,663
Claims on Multilateral development banks	555	-	555
Claims on Banks	79,224,652	3,915,740	83,140,392
Claims on securities firms	5,702,088	116,094	5,818,182
Claims on Corporate	13,320,972	70,123,289	83,444,261
Regulatory & other retail exposure	-	12,400,973	12,400,973
Residential retail exposure	-	2,373,796	2,373,796
Commercial Real Estate	-	13,004,532	13,004,532
Non-Performing Loans	-	2,691,114	2,691,114
Other assets	-	10,042,968	10,042,968
Claims on Securitized Assets	4,138,275	19,706	4,157,980
Total	214,889,459	153,352,704	368,242,163

The following table shows the effect by Basel II CRM type on Exposures:

Table 15: Credit Risk Mitigation: Disclosures for Standardized Approach as at 31st December 2012

(AED 000)

	Description	Exposures	Risk Weighted Assets
	Gross Exposure prior to Credit Risk Mitigation	368,242,163	181,502,551
Less:	Exposure covered by on-balance sheet netting	2,055,438	1,980,242
Less:	Exposures covered by Eligible Financial Collateral	23,964,011	14,802,922
Less:	Exposures covered by Guarantees	5,257,507	5,103,046
Less:	Exposures covered by Credit Derivatives	-	-
	Net Exposures after Credit Risk Mitigation	336,965,207	159,616,341

MARKET RISK

Market risk for the Group is the risk that the Group's income and/or value of its financial instruments will fluctuate adversely because of changes in market factors such as interest rates, foreign exchange rates, and equity, commodity and option prices.

a) Management of Market Risk

Market Risk at the Group is overseen as per the "Group Market Risk Policy Framework" approved by the Group ALCO (G-ALCO) as per the defined risk appetite. The framework provides specific guidelines on roles and responsibilities of Market Risk, its Governance Structure, Market Risk appetite statement and the limit structure. It specifies the way market risk is identified, measured, monitored, controlled and reported. The limits are segregated between the trading book and non-trading book positions.

As a policy the Group takes exposure to only those financial instruments/products for which the Group has appetite and which are approved by G-ALCO. For any new product, sanction has to be obtained via the New Product Approval process which ensures necessary infrastructure is there to support the business.

Independent Oversight of Market Risk

Market Risk is managed on a Group wide basis by the Group Market Risk (GMR) department. Group Market Risk is independent of risk taking units and reports to the GCRO, through Group Independent Risk Management. GMR oversees aggregated Market Risks from Group Treasury, Financial Markets Division, and overseas units.

The Market Risk appetite of the Group is defined in terms of the following limits:

- Interest Rate Risk is controlled by VaR, Sensitivity and Stop Loss limits. The Interest Rate Risk on the Banking Book is additionally defined in terms of the Net Interest Income.
- Foreign Exchange risk on the trading book is controlled by VaR and Position limits, defined separately for the fixed and floating currencies.
- Equity and options price risks are controlled by Stop Loss and Sensitivity limits defined around the Trading positions.
- Commodity risk is limited to exchange traded products and is managed via limits on term, option sensitivities, gross and net open positions.

The above risk limits are approved by the RMC and are closely monitored by Group Market Risk. The risk positions against the limits and all limit breaches are regularly reported to Senior Management and the G-ALCO.

Proprietary Investments Risk

GRMD has a dedicated Proprietary Investment Risk (PIR) oversight team, within the Group Independent Risk Management. PIR assesses Market and Credit risk of the Investment and Trading portfolio and also provides technical risk oversight of the bank's securities holdings, alternative investments, structured products and OTC derivatives portfolios.

One of the primary functions of PIR is to support Financial Control Department in performing regular validations / verifications of valuation of assets / securities held by the Group. The unit has an evaluation group with the capability to perform verification / valuation of complex OTC derivatives and Structured Notes.

Market Risk Reporting

The Middle Office (MO) function of the Group has two functions:

- Product control function is responsible for the book keeping of trades in the Financial Market Division (FMD) and Group Treasury (GT) portfolios. The specific functions of the product control function include daily valuations, performance attribution (P&L and fees), IFRS calculations and adjustments, reconciliation between trading system and general ledger, hedging strategies and effectiveness. These activities are performed at the end of the day basis.
- Risk control function is responsible for trade/position monitoring, risk limit monitoring, escalation of limit breaches, risk reporting, collateral valuation, margin call validation and market data maintenance & validation.

Middle Office / Risk Control supports the Market Risk function by monitoring market data, trades, limits and escalating breaches. Middle Office utilizes Comprehensive Trading and Market Risk (CTMR) to generate Market Risk reports on the Financial Markets Division and Group Treasury portfolios on a daily basis. The following are measured against limits daily and reported to senior management of both business and risk:

- Value at Risk (VaR)
- Net Present Value Basis Point (PVBP)
- FX Net Open Position (NoP)
- Stop Loss

Other Market risk reports at the Group level are routinely tabled to G-ALCO which includes investment portfolio performance reports.

Value at Risk (VaR)

Group Market Risk is responsible for VaR which is calculated on the following basis:

- Historical Simulation
- Full Revaluation
- Holding Period, - 1 day
- Confidence Interval - 99%
- Frequency of Calculation - Daily

The Group has successfully implemented historical simulation VaR on the Comprehensive Trading and Market Risk (CTMR) platform for the majority of its businesses and will roll it out to the remainder in 2013. This project allows full revaluation of VaR on a T+1 basis, with historical market data sets updated daily. The new VaR model provides an improved view on the correlations of all market risk factors in the portfolios, in line with current products globally.

International Branches

Larger overseas entities/subsidiaries of the Group have independent risk management functions, and each overseas branch/subsidiary has its own structure responsible for controlling and mitigating market risks. The respective risk management / reporting unit sends the related market risk report to Group Market Risk. Group Market Risk reviews these reports along with the local ALCO minutes before they are submitted to Group ALCO for any specific issues/deliberations. Group Market Risk also monitors lending by Group Treasury to overseas entities/subsidiaries and vice-versa on a daily basis.

The Group measures the risk weighted assets for Market Risk as per the Standardized approach. Accordingly the components of the Market Risk weighted assets are as given below.

Table 16: Capital Requirement for Market Risk under Standardised Approach as at 31st December 2012

(AED 000)

Market Risk	Amount
Interest rate risk	704,875
Equity position risk	82,477
Foreign exchange risk	48,868
Commodity risk	8,732
Option Risk	62,670
Total Capital Requirement	**907,622**

b) Management of Interest Rate Risk

The Risk Management Committee of the Board monitors on a periodic basis the interest rate risk taken by the Group. However, the management of interest rate risk is delegated to the G-ALCO. The G-ALCO is responsible for defining the interest rate risk limits and implementing strategies to contain interest rate risk within acceptable levels.

By the nature of its business, the Group is exposed to interest rate risk. Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group is exposed to this risk both in its Trading book and Banking book. The Treasury Middle Office generates the interest rate sensitivity report daily for its Treasury Trading and Banking book positions. The non-Treasury related Banking book positions are monitored through Interest Rate Sensitivity report which captures the contractual re-pricing of various assets and liabilities. The report incorporates all the rate sensitive and non-sensitive assets and liabilities of the Group. The Group Market risk team conducts assessment of the interest rate risk exposure to evaluate the impact of yield curve shifts on its NII.

The Group manages this risk principally through monitoring interest rate gaps on a consolidated basis across various maturities and by managing the re-pricing profile of rate sensitive assets and liabilities based on expected interest rate view. Overall interest rate risk positions are managed by creating floating rate assets against floating rate liabilities and fixed rate assets against fixed rate liabilities. The Group uses derivative instruments to manage interest rate risk arising from the Group's financial instruments which are rate sensitive in nature.

The Group measures the impact of interest rate risk on trading book in terms PVBP and VaR. On the Banking book the short-term impact of interest rate risk is measured in terms of Net Interest Income (NII) impact or Earnings at Risk (EaR). A substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk. The Group Market risk team conducts assessment of the interest rate risk exposure by measuring the impact of reasonable possible change in interest rate movements. Section 4(d) of the Financial Statement computes the impact on Equity and Net Profit owing to a "reasonable" change in interest rates as per IFRS.

Table 17: Interest Rate Risk in the Banking Book as at 31st December 2012

(AED 000)

Shift in Yield Curves	Net Interest Income	Regulatory Capital
±200 basis point	±136,039	±136,039

c) Management of Liquidity Risk and Funding Profile

A dedicated Group Treasury function was established in 2012. Group Treasury responsibilities include management of the group's liquidity and capital, debt issuance platform, internal funds transfer pricing mechanism as well as Asset and Liability Management (ALM) / Interest Rate Risk in Banking Book (IRRBB).

The Group defines its liquidity risk as the potential impact from having insufficient financial resources (liquidity) to meet its obligations as and when they fall due, or having to raise liquidity to meet those obligations at an excessive cost. The Group's liquidity risk principally arises from mismatches in the maturity profile of assets and liabilities as well as certain concentration risks on the liability side of the balance sheet.

The primary objective of liquidity management at the Group level is to ensure that the Group always has adequate liquidity to meet all obligations as and when they fall due and to comply with UAE regulatory requirements on liquidity risk. It is also a primary objective to ensure that the Groups liquidity management is in accordance with best International practice and has a forward looking approach in terms of upcoming regulatory reforms, e.g. Basel III on LCR and NSFR.

The Group's Board of Directors has delegated the responsibility for oversight and management of the Group's liquidity risk to RMC (Board level committee). The authority to set specific limits, guidelines and controlling liquidity is delegated by RMC to G-ALCO (Management level committee). G-ALCO has delegated the day-to-day liquidity management responsibility to the Group Treasurer who is authorized to operate within the parameters and limits as defined by G-ALCO. In establishing these parameters and monitoring liquidity, G-ALCO is provided with various reports, scenarios and recommendations from the Group Treasurer which incorporates a reflection of the international and domestic market conditions plus the macro-economic and political environment in which the Group operates. Based upon this input, G-ALCO determines the internal liquidity parameters and strategic liquidity objectives for the Group.

The management of liquidity at the Group level is in accordance with CBUAE requirements and the G-ALCO approved Group Liquidity Management Policy (GLMP). The objective of the GLMP is to provide guidance in measuring, monitoring, managing and reporting liquidity risk.

On a day-to-day basis, the Group manages liquidity in a decentralized manner by assigning to the domestic and international Treasury units certain liquidity limits so that they have the responsibility for their own liquidity management, including full compliance with any local regulatory guidelines where they are domiciled. Day to day liquidity needs/excesses from the branches and subsidiaries are met through loans/deposits with Head Office with any structural longer term requirements also being provided as and when needed.

Group Treasury also compiles a Funding Gap analysis on an ongoing basis which looks to identify potential Funding Gap issues at a very early stage thus allowing the Group to be pre-emptive in closing these potential issues. As part of this analysis an extreme stress event is considered whereby the Group would not have access to wholesale funding for a period of 12 months.

Group Treasury also looks to diversify the funding base with an appropriate liability maturity profile. Group Treasury has a well-documented Global Debt platform which gives the Group access to many different debt markets as and when required. The Group also maintains a strong level of high quality unencumbered liquid assets to meet both internal and future external regulatory requirements such as Basel III LCR.

The liquidity management process includes but is not restricted to the following:

- Preparing the maturity gap reports on residual maturity basis for the local currency equivalent exposure. This provides a view on the funding structure as it evolves with the balance-sheet growth. The Group has liquidity gap limits in place through which it monitors its actual liquidity position.
- Maintaining a targeted liquidity level by monitoring the Liquidity ratios which have been defined internally both from the regulatory and prudential perspective.
- While constantly striving for the diversification of the funding sources, monitor the concentration risk for the counterparties/depositors.
- In order to have the ability to provide funds at all times and to honour cash outflow obligations the Banks conducts the stress tests and scenario analysis.
- Maintaining a contingency funding plan to enable normal functioning in a stressed liquidity situation.

To manage the Groups liquidity in a contingent crisis situation the Group has in place an G-ALCO approved Contingency Funding Plan (CFP). The CFP operates under the supervision of the Liquidity Contingency Management Committee (LCMC) which monitors decisions support indicators emanating from the CFP to take necessary corrective actions.

The Group measures its liquidity in terms of regulatory and prudential requirements. This is both for the domestic and overseas operations of the group. As per the regulatory requirement, the G-ALCO monitors:

- Loans to Stable Resources Ratio
- Liquid Assets Ratio
- Liquidity Coverage Ratio
- Net Stable Funding Ratio

Prudential requirement includes monitoring:

- Structural Liquidity Gap
- Depositor concentration

The Group monitors the liquidity risk limits of its overseas units as well. The structural liquidity gap limits are closely monitored for time buckets up to 1 month. In case of a breach of limits, Group Treasury will recommend to G-ALCO a corrective measure of action.

The Group's overseas units report their liquidity position to the regional ALCO which reports to Group ALCO. The reports and ratios as mentioned above are monitored by the G-ALCO. The maturity analysis statement of the Group as at December 31, 2012 is shown in note 4(c) of the consolidated Financial Statements.

d) Management of Foreign Currency Risk

The Group is a market maker in Foreign Currency markets and the Financial Markets Division is granted Net Open Foreign Exchange limits to facilitate this business. The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Risk Management Committee sets Net Open Position limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, VaR and Stop Loss which are monitored on daily basis.

e) Management of Equity Price Risk

Equity price risk arises from the changes in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

Equity Position in the Banking Book as at 31st December 2012

Table 18: Quantitative Details of Equity Position as at 31st December 2012

(AED 000)

Type	Current Year		Previous Year	
	Publicly Traded	Privately Held	Publicly Traded	Privately Held
Equities	105,702	14,908	72,892	24,279
Collective investment schemes	5,030	748	10,109	292
Any other investment	-	-	-	-
Total	110,732	15,657	83,001	24,571

Table 19: Realised, Unrealised and Latent Revaluation Gains (Losses) during the year 2011 - 12

(AED 000)

Type	Amount
Gains (Losses)	-
Realized gains (losses) from sales and liquidations	139
*Unrealized gains (losses) recognized in the balance sheet but not through profit and loss account	32,214
**Latent revaluation gains (losses) for investment recorded at cost but not recognized in balance sheet or profit and loss account	-
Total	32,353

Table 20: Tier I and Tier II Capital Included in * and ** above are as follows

(AED 000)

Tier Capital	Amount
Amount included in Tier I capital	139
Amount included in Tier II capital	14,496
Total	14,635

Table 21: Capital Requirements by Equity Groupings as at 31st December 2012

(AED 000)

Grouping	Amount
Strategic investments	13,830
Available for sale	1,337
Held for trading	-
Total capital requirement	15,167

OPERATIONAL RISK

a) Operational Risk

Operational risks arise from all of the Group's operations and are faced by all business entities. This is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, people, and systems and from external factors other than credit, market and liquidity risks. This includes legal and regulatory requirements and generally accepted standards of corporate behavior but excludes strategic and reputational aspects. However, reputational risk is addressed via various ORM Tools and the Group has also created a separate reputational risk committee to address reputational risk aspects.

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses resulting from operational risk events and any damage to the Group's reputation. The Group has strived towards a viable risk reward environment that will ensure the businesses to operate in an environment to be creative and be enabled.

The Board has oversight responsibilities for operational risk management in the Group. These responsibilities are exercised through a board approved and mandated Operational Risk Management Committee (ORMC) that comprises of the senior executive management of the Group representing all lines of business and activities with established framework of policies and procedures to identify, assess, monitor, control, manage and report risks. The ORMC employs clear internal policies and procedures to reduce the likelihood of any operational risk related losses and to minimize the resultant impacts. This includes a unique and effective process of assessing associated risks and approving residual risks of new and / or significant change initiatives within the Group and an Internal Loss Data Collection Process. The Internal Loss Data Collected is reconciled with the General Ledger. The framework also provides the interrelation with other risk categories.

In addition to Business Continuity Planning, the Group has adopted appropriate risk mitigating strategies that include but are not limited to Insurance, Information Security, Anti Money Laundering and Counter Terrorist Financing etc. These functions are directly overlooked and supervised by a Group Compliance Division that has direct representatives in all key locations including overseas. The Group effectively addresses the regulatory requirements by regularly monitoring and ensuring compliance through the compliance function. In addition, as part of the mitigation strategy, the Group's Insurance Committee is responsible for arranging appropriate insurance coverage across the Group and employs a major international insurance broker to assist them in meeting their responsibilities. The Group's information security policies and requirements are intended to conform to internationally accepted IT Governance standards. More specifically, IT security is governed by explicit security related policies based on international standards such as ISO27001 and Payment Card Industry – Data Security Standard (PCI-DSS).

The Group has in place an effective ORM Framework with a defined operational risk management cycle that comprises four major stages – risk identification, risk assessment & measurement, risk control and risk monitoring & reporting. The operational risk cycle is achieved through the use of one or more tools. The Group ORM Framework seeks to embed operational risk management elements into its day-to-day activities & processes, through a strategic adoption of ORM tools across all business units, branches and subsidiaries.

Management at all levels is accountable for managing and mitigating the operational risks in their areas of responsibility. Day-to-day management of operational risk is conducted by the management of the respective business unit in compliance with the operational risk framework established in the ORM Policy., In accordance with the Policy, business units are required to conduct risk assessments, report operational losses on a periodic basis, adopt a monitoring framework and effect suitable mitigating measures for operational risk in their units. ORM coordinators have been designated for all business units, overseas branches and subsidiaries, who act as the primary source for facilitating ORM within their respective areas of responsibility. The individual entities in the Group are responsible for ensuring compliance with the different regulations of the various local and overseas regulators under which the Group operates and are assisted in the fulfillment of their responsibilities by the Group Compliance Division in the UAE.

Compliance with ORM policies and procedures is supported by periodic reviews undertaken by Group Audit. The results of these reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Group.

b) Business Continuity Management (BCM)

BCM is responsible for assuring operational resilience to the Group's key business processes under adverse circumstances. The key objectives of the BCM program are to:

- Identify the key processes essential to ensure the delivery of the Group's services;
- Identify the interdependencies that each key process relies upon; and;
- Identify and define time frames for the recovery of those key processes, and;
- Establish cost effective strategies and solutions to achieve the recovery time frames of the key processes; and
- Validate the selected solutions.

A key BCM success for 2012 was the full failover test of the new DR facility in October therefore demonstrating its capability to maintain Group Services. The key objective for the 2013 BCM Program is to maintain continuous improvement with a number of initiatives such as enhancing the operational resilience of UAE operations with an 'out of the region' business continuity solution and automation of the BCM program with a planning software tool.

c) Reputational Risk

Reputational risk is defined as the damage to the Group's reputation due to one or more events such as negative publicity on Group's practices, conduct or financial conditions. The Group has clearly identified the business areas as sources of reputational events such as (i) compliance with regulatory and legal obligations (ii) business practices followed, (iii) standard of product and service quality, (iv) information technology security and data integrity, (v) association with customers, suppliers and partners, (vi) crisis management, (vii) external communication, (viii) achievement if financial targets et cetera. The Group pro-actively manages these identified business areas that might lead to reputational events.

CAPITAL MANAGEMENT

The Group is governed by CBUAE guidelines on regulatory capital requirements for the Group and the overseas branches and subsidiaries are directly supervised by their local regulators. The capital management process for the Group is linked to the overall business strategy to ensure that capital is adequate to the level of inherent risk in the business. The Group conducts capital planning in conjunction with the financial budgeting exercise.

The Group has a rolling five year long-term strategic plan, which is updated annually. A short-term business plan for the next year is developed, based on the long term plan, which provides the foundation for financial and risk budgeting process. Capital requirement for each business unit is assessed and then consolidated at a Group-wide level.

The Group develops both bottom up plan based on the projections from individual business units as well as a top down strategic plan envisaged by the Board and top management. The top down plan consists of a high level multi-year financial statement based on long term planning and strategic objectives to be achieved. The aggregate numbers in this plan are based on long term plans and strategic initiatives/decisions that the Group plans to undertake/implement in the future. The bottom up plan is based on the budgeting process is conducted at a business unit level, which is consolidated for each business division and finally, for the entire Group. Business units, within each division, develop forecasted balance sheet and P&L statements for the next year, by considering the following key parameters:

- the short term (one year) goals
- risk appetite & strategy
- target growth rates
- target returns

The Group's capital management policies aim to ensure that it has sufficient capital to cover the risks associated with its activities. The assessment of the various risks across the Group and their likely impact is carried out in conjunction with ICAAP undertaken annually. As part of the ICAAP process, GRMD identifies the various risks the Group is exposed to as part of its day-to-day operations. Next the Group sets in place policies and procedures, frameworks and methodologies, contingency plans and other processes to measure, manage and mitigate the impact of such risks. Finally the Group determines the risks which would be covered by capital.

The key objectives of group capital management process are:

- Maintain sufficient capital to meet minimum capital requirement set by CBUAE as well as to ensure transition to Basel III in terms of capital ratios
- Maintain sufficient capital to support Group's Risk Appetite and strategic objectives as per long-term strategic plan
- Maintain adequate capital to withstand stress scenarios including increased capital requirements determined through ICAAP
- To support the Group's credit rating

The Group has set up a committee, namely, the Bank Equity Committee, to manage the investment of capital funds within the authorized limits.

The Group conducts a multi-year stress test exercise in which the Balance Sheet and Profit & Loss statements are determined for base case and stress scenarios. The risk factors are impacted by the assumptions made for the base and stress scenarios and the corresponding impact on the capital adequacy is determined. The Group uses macroeconomic stress tests in order to project capital need and capital levels under various unfavourable scenarios. The tests are perceived as an important tool in internal capital planning. The stress test result during 2012 shows that the Group has adequate capital in the event of adverse scenarios during next 3-year period.



Corporate Governance Report



Corporate Governance Report

Introduction

The National Bank of Abu Dhabi and its Group companies (together "NBAD") recognise their responsibility to demonstrate ethical and sustainable business practices in the United Arab Emirates and abroad. A comprehensive corporate governance framework plays a key role in NBAD's culture, business practices and regulatory compliance.

NBAD Guiding Principles of Corporate Governance

1. Strong Corporate Governance Standards
2. Leadership
3. Accountability
4. Transparency

NBAD believes that the benefits arising from a commitment to corporate governance are attributable to both documentary and behavioural elements. Hence, the Board has approved a framework which incorporates a broad range of policies for guidance and control, in addition to approving general principles of behaviour and personal conduct for which all Directors and staff are accountable as individuals and as a collective entity.

The corporate governance culture of NBAD is driven by:

- The responsibility of the Board to direct the Group's affairs and set its objectives,
- The selection of productive strategies and management of risk,
- The appropriate delegation and monitoring of power and accountability to management,
- Satisfying the interests of stakeholders through relevant and material disclosures,
- Ensuring compliance with all regulatory obligations, and
- Engaging with the community.

The scope and sophistication of the corporate governance framework is proportionate to NBAD's nature, size and complexity. The Board also recognises that NBAD is operating in an evolving global environment of diverse expectations, constant regulatory change, and increasing focus on stakeholder engagement and accountability. NBAD continually seeks to develop and improve its corporate governance framework to enable the Board and management to discharge their duties effectively.

Our Corporate Governance Framework

The Board of NBAD has overall responsibility for directing the Group's affairs, to create and preserve value through the Group's operations, and to consider the shareholders and other stakeholder interests. It has documented its roles and responsibilities in a Board Charter and associated policies.

The Board has established a number of Committees to consider various topics in more detail, to manage conflicts of interest, to satisfy regulatory rules, and for other relevant reasons. Each Committee has a Charter. It is affirmed that the Committees remain an integral part of the Board and all members are Directors.

The Board is responsible for making delegations to the management, including the definition, scope, frequency, and nature of powers. Aside from certain authorities and powers reserved by the Board for its own decision-making, the Group Chief Executive is delegated full responsibility for the management, operations and compliance of NBAD. To satisfy its oversight role, the Board has defined a clear control structure which monitors the management's activities, in addition to creating supporting controls and reporting structures both internal and external to the firm. The delegation and control structure is also subject to compliance with and oversight by regulators and third parties, including the Central Bank of the UAE, Securities & Commodities Authority.

The Board has also mandated Codes of Conduct which applies to Directors, employees and agents of NBAD. This encourages appropriate behaviour, defines inappropriate behaviour, and defines the process and outcomes for the identification and reporting of such.

Consistent with NBAD's approach to employ high standards for transparency and disclosure for the benefit of shareholders and other stakeholders, NBAD publishes a wide range of reports containing financial and non-financial data, in addition to regulatory information. NBAD has established a number of functions committed to communication with external stakeholders, including functions for Investor Relations, Sustainability, Company Secretariat and Corporate Communications. Additionally, internal transparency and disclosure is considered from operational, ethical and regulatory perspectives, ensuring that staff are aware of NBAD developments, strategies, risks and their personal responsibilities and duties, whilst protecting customer and personal data confidentiality, sensitive information, and commercial secrets.

Shareholder rights and interests include reserved powers in the UAE Commercial Companies Law and NBAD Articles of Association, and are supported by the duty of the Board to act in the interest of the Company. NBAD acknowledges that there are diverse interests within the shareholder base, and that the Board considers such interests when determining the objectives and strategies for the Group.

Regulatory Compliance

NBAD is regulated by the Central Bank of the UAE and is therefore required to comply with the Central Bank laws in addition to rules and circulars issued from time to time. In addition, NBAD is required to comply with all applicable law and regulations of the UAE and jurisdictions in which it operates, including, without limitation, the UAE Commercial Companies Law, rules and standards established by the Securities and Commodities Authority (SCA) of the UAE, and the NBAD Articles of Association. The NBAD Articles of Association were last amended in 2012 after the shareholders approved the payment of bonus shares at the Annual General Meeting.

NBAD is committed to complying with good corporate governance practices, and so has regard to the provisions of Ministerial Resolution 518 of 2009 Concerning Governance Rules and Corporate Discipline Standards ("MR518"), although this is not a mandatory requirement for Banks in the UAE.

Senior Management has the responsibility to ensure compliance with applicable laws and regulations, and report on this matter to the Board. The Board provides guidance and oversight in terms of risk appetite, significant compliance and risk strategies, and dealing with compliance and risk outcomes. The Board has established the Audit and Risk Committees with delegated authorities, as noted below, and has also mandated the other Committees to suitably consider compliance and risk in terms of their Charters.

Board of Directors

Board Composition in 2012

Six of the 11 Directors, including the Chairman of the Board and the Group Chief Executive, are nominees of the Abu Dhabi Government, and five Directors were elected by the minority shareholders during the Annual General Meeting in 2012. The Group Chief Executive, Mr Michael Tomalin, is the only Executive Director.

The composition of the Board satisfies the generally acceptable corporate governance practice relating to the separation of Chairman and Group Chief Executive and the majority membership of Non-Executive Directors.

Membership of the Board of Directors as at 31 December 2012



H.E. Nasser Ahmed Alsowaidi
Chairman

Non-Executive Member since 19/05/2003
Appointee of the Abu Dhabi Government

H.E. Nasser Ahmed Alsowaidi is the Chairman of Department of Economic Development, Abu Dhabi Securities Exchange, Etihad Rail Company and Higher Corporation for Special Economic Zones.

H.E. is also a Member of Abu Dhabi's Executive Council and a Board Member of International Petroleum Investment Company (IPIC) and Mubadala Development Company (Mubadala).

H.E. has held senior roles in a number of Government organizations, including the Abu Dhabi Investment Authority (ADIA) and the Abu Dhabi National Oil Company.

H.E. holds a degree in Economics from the California State Polytechnic University, USA.

External appointments

- Member – Executive Council of Abu Dhabi Government
- Chairman – Department of Economic Development
- Chairman – Abu Dhabi Securities Exchange
- Chairman – Higher Corporation for Specialized Economic Zones
- Chairman – Etihad Rail Company
- Board Member – Mubadala Development Company
- Board Member – International Petroleum Investment Comp



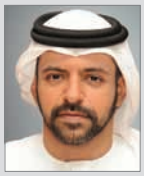
H.E. Dr. Jauan Salem Al Dhaheri
Deputy Chairman

Non-Executive Member since 17/08/1982
Appointee of the Abu Dhabi Government

H.E. Dr. Al Dhaheri is the Vice-Chairman of the Board of NBAD. H.E. is also a Member of the Board of Abu Dhabi National Oil Company and Secretary General of the Supreme Petroleum Council. In addition, H.E. also sits as a Board Member of the Abu Dhabi Investment Authority and is the Deputy Chairman of its Investment Committee.

External appointments

- Secretary General – Supreme Petroleum Council
- Board Member – Abu Dhabi National Oil Company
- Board Member – Abu Dhabi Investment Authority



Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan

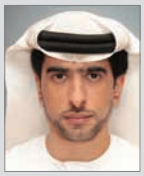
Director

Non-Executive Member since 19/03/2006
Elected by the Minority shareholders

Sheikh Mohammed Al Nahyan is the Vice Chairman of the Abu Dhabi National Insurance Company (ADNIC) which is a leading and prominent insurance provider in the region. Sheikh Mohammed also holds the role of the Chairman of its Compensation and Remuneration Committee. In addition, Sheikh Mohammed is also the Chairman of the Abu Dhabi Marine Investment Company and the Vice Chairman of the Abu Dhabi International Marine Sports Club (ADIMSC).
Sheikh Mohammed holds a degree in International Economics and History from the American University of Paris, France.

External appointments

- Chairman – Abu Dhabi Marine Investment Company
- Vice Chairman – Abu Dhabi National Insurance Company
- Vice Chairman – Abu Dhabi Marine Sports Club



Sheikh Ahmed Mohammed Sultan Al Dhaheri

Director

Non-Executive Member since 01/05/1994
Elected by the Minority shareholders

Sheikh Ahmed Al Dhaheri is currently the Chairman of Bin Srour Engineering. Prior to this, Sheikh Ahmed has been the Undersecretary of the Department of Social Services and Commerce Building (DSSCB) from 1996 until 2009.

Sheikh Ahmed holds a Bachelor Degree in Civil Engineering Science.

External appointments

- Member of Abu Dhabi National Consultative Council
- Board Member - Etisalat
- Board Member - National Hotels Company
- Deputy Chairman - Abu Dhabi Aviation



H.E. Mohammed Omar Abdulla

Director

Non-Executive Member since 19/05/2003
Appointee of the Abu Dhabi Government

H.E. Mohammed Omar Abdulla joined the Department of Economic Development (DED) as Undersecretary in March 2007. Before joining DED, H.E. assumed the position of Director General of the Abu Dhabi Chamber of Commerce and Industry from May 1997 to March 2007.

H.E. is a recognized specialist and expert in the field of Law, Banking and Economic Development.

External appointments

- Board member - Abu Dhabi Ports Company
- Board member - Sheikh Khalifa Fund



H.E. Sultan Bin Rashid Al Dhaheri
Director

Non-Executive Member since 02/05/1973
Elected by the Minority shareholders

H.E. Sultan Bin Rashid Al Dhaheri is a Member of the Federal National Council. H.E. is one of the most recognised and respected businessman in the UAE and plays an essential role in the economy of the UAE through participation in different industries such as real estate, projects , portfolio management or by owning and acting as partner in commercial and industrial leading companies.

H.E. owns and sits as director for several major private companies in the UAE. In addition, H.E. is well recognised for his role on charitable activities both regionally and internationally.

External appointments

- Member – Federal National Council of the UAE
- Board Member – Abu Dhabi National Insurance Company



Mr. Khalifa Sultan Al Suwaidi
Director

Non-Executive Member since 19/03/2006
Appointee of the Abu Dhabi Government

Mr. Khalifa Al Suwaidi is an Executive Director of the Direct Investment Department at the Abu Dhabi Investment Council. Prior to this, he was the Deputy Director of the External Funds (Americas) Department at the Abu Dhabi Investment Authority.

Mr. Al Suwaidi holds a degree in Business Administration (Finance) and MSC in Finance from Seattle University, USA and is a Chartered Financial Analyst.

External appointments

- Board Member – Etihad Airways
- Board Member – Abu Dhabi Securities Exchange
- Board Member – Aldar Properties PJSC
- Board Member – Union National Bank
- Board Member – Abu Dhabi Insurance Company
- Board Member – Abu Dhabi Investment Company (Invest AD)



Mr. Hashim Fawwaz Al Kudsi
Director

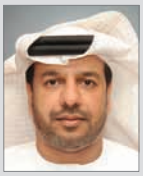
Non-Executive Member since 19/03/2006
Appointee of the Abu Dhabi Government

Mr. Hashim Al Kudsi is an Executive Director, Active Investment Strategies, at the Abu Dhabi Investment Council since April 2007.

With a long term investment management background and experience in banking and finance, he has a degree in Business Administration from American University, USA and is also a Chartered Financial Analyst.

External appointments

- Executive Director Active Investment Strategies – Abu Dhabi Investment Council
- Board Member – Abu Dhabi Investment Company (Invest AD)
- Board Member – Al Wathba Company for Central Services



Mr. Matar Hamdan Al Ameri

Director

Independent Non-Executive Member since 11/03/2010
Elected by the Minority shareholders

Mr. Matar Al Ameri has more than 25 years of experience in various roles in Abu Dhabi National Oil Company (ADNOC). Mr. Al Ameri started his career in ADNOC and has been involved in various senior finance roles in the ADNOC Group including secondment to Arthur Andersen for two and half years on assignments across UAE. Australia. UK and USA.

Mr. Al Ameri is currently responsible for the oversight of the ADNOC Group Finance where he also represents as Member or Chairman the ADNOC Group on the Finance Board Advisory and Audit Committees of various companies such as ADCO, ADMA, ZADCO, GASCO, ADGAS, NDC, ESNAAD, FERTIL, BOROUGE, ADNATCO, NGCSO and ADNOC Distribution.

An advocate of developing and maximizing opportunities for UAE Nationals towards building future leaders and is also active in the Al Ain Sports Club where he sits as a Board Member. Mr. Al Ameri holds a Bachelor's Degree in Accounting and Information System from UAE University.

External appointments

- Board Member – National Drilling Company
- Board Member – Abu Dhabi National Tanker Company
- Board Member – Excel London – Subsidiary of Abu Dhabi National Exhibiton Co. (ADNEC)
- Board Member – Al Ain Sports Club
- Manager Group FCD – Abu Dhabi National Oil Company (ADNOC)
- Manager of Finance & Control – Abu Dhabi Onshore Oil Operating Company (ADCO)



Mr. David Beau

Director

Independent Non-Executive Member since 11/03/2009
Elected by the Minority shareholders

Mr. David Beau has been working for the Abu Dhabi Government since November 2003. Currently, he is the Chief Investment Officer of the Direct Investment Department at the Abu Dhabi Investment Council. Prior to this, he was a Fund Manager at the Abu Dhabi Investment Authority. Mr. Beau is a CFA Charter holder and holds NASD Series 3, 7 and 24.

Mr. Beau grew up and went to university in Strasbourg, France and started his career in Finance in New York as a stockbroker before joining Everest Capital in London. He subsequently moved to Bermuda and Dublin where he was a fund manager for Berco Ltd., a family office with substantial assets under management.

External appointments

- Investment Committee member – Abu Dhabi National Insurance Company



Mr. Michael H. Tomalin

Group Chief Executive

Executive Member since 13/3/2012
Appointee of the Abu Dhabi Government

Mr. Tomalin joined the National Bank of Abu Dhabi (NBAD) as its Chief Executive (NBAD) in 1999. A senior international wholesale and private banker with hands on executive experience in UK, Japan, the Middle East, Australasia, the Caribbean and the Far East. Trained as an investment manager at Rothschilds and broadened into general management at Barclays, culminating in CEO of Abu Dhabi's (the capital of United Arab Emirates) largest universal bank.

Awards

- Awarded O.B.E. (Officer of the Order of the British Empire) 1991.
- Honorary doctorate in banking, Institute of Financial Studies, London.

External appointments

- Director of Morant Wright Japan Fund
- Advisor to Millennium Associates: Corporate boutique advisors specialising in Asset Management

Independent Directors

NBAD's Independent Directors are elected by the minority shareholders during the Annual General Meeting. The Independent Directors are obliged to immediately inform the Board of any circumstance which may impact upon their Independent status. The Corporate Governance and Nomination Committee is charged with nominating suitable candidates for the shareholders to consider for election, and monitoring the Independence of Directors according to agreed criteria.

The SCA has mandated that nomination by a Government does not by itself exclude Directors from being considered Independent in the event that they would otherwise satisfy the conditions. Whilst the Government nominated Directors are not included in the number of Independent Directors stipulated by the Articles, the Board may potentially consider the attributes of Government nominees to determine whether Independent Directors constitute one-third of the total Board.

Director Nomination

All Directors serve a maximum term of three years, and there is no restriction on retiring Directors, if considered appropriate, being re-nominated for election at Annual General Meeting or re-appointed by the Abu Dhabi Government. As the Articles of Association fixes the number of Board Directors, the Board may also appoint new Directors to fill vacancies arising during the year, and any Director so appointed must seek re-election at the next Annual General Meeting.

Terms regarding nomination and election of Directors are stipulated in the NBAD Articles of Association to include certain representation, including a proportional number of Directors to the ownership by the Abu Dhabi Government, and a minimum number of Independent Directors. The nomination minority elected Directors are subject to a formal nomination process including the public call for nominations, review of appropriate skills and experience, categorisation as Independent if suitable, and inclusion of the nominations received in the Notice of Meeting for voting by shareholders.

Election by minority shareholders of the Directors is subject to secret ballot and shareholders may demand a cumulative voting system.

Board Responsibility and Practices

In order to conduct its business and discharge its duties to a high standard of corporate governance protocols and policies, the Board has committed to several key documents which define the roles, responsibilities, functions, protocols and other matters relevant to the Board and its Members:

- Corporate Governance Policy & Principles, which establishes the overarching approach of NBAD.
- Charter of the Board of Directors and of each Committee.
- Directors Code of Conduct.
- Other NBAD policies referred to in the above.

During 2012 pursuant to an initiative of the Corporate Governance and Nomination Committee, the Company Secretariat performed a full review of the corporate governance policies, and the revised documents were approved by the Committee and the Board.

a. Role of the Board and its Members

These duties and responsibilities of the Board of Directors include, but are not limited to, the following:

- Strategy, annual budget and corporate / organisational structure,
- Financial reporting and controls,
- Risk and internal audit,
- Delegation of authority,
- Conflicts of interest,
- Contracts,
- Board membership and other appointment,
- Remuneration of Directions,
- Executive remuneration and human resources policies,
- Corporate governance matters,
- Approval of significant corporate policies, and
- General meeting of shareholders and communication with stakeholders.

Role of Chairman of the Board

It is the responsibility of the Chairman to lead the Board, ensure that the Board is aware of material information and developments pertaining to NBAD, and encourage all Directors to work in the best interests of NBAD. The role is defined clearly in the Board Charter:

- Facilitates the work of the Board and approves the annual rolling agenda for the Board as well as the agenda for each meeting;
- Ensures that new Directors are properly inducted and introduced to the business of NBAD;
- Ensures that Directors receive in good time all information which is necessary for the proper performance of their duties, this information to be accurate, relevant and timely;
- Ensures that there is sufficient time for consultation and decision-making by the Board;
- Liaises regularly with the Group Chief Executive to ensure adequate contact between the Board and Senior Management;
- Oversees the orderly and efficient conduct of the General Meeting;
- Ensures effective communication with shareholders and other stakeholders and communicates any concern to the Board.

The Deputy-Chairman shall replace the Chairman in his absence or whenever the Chairman is unable to perform his duties. The role of the Committee Chairmen is substantially similar to that of the Chairman of the Board.

Role of Directors

Directors are expected to exercise due care and skill in the performance of their duties, and in particular to:

- Provide constructive challenge,
- Contribute strategic thought, and utilise their skills and experience,
- Ensure business performance conforms to strategic direction and NBAD values and ethics,
- Ensuring satisfactory dialogue with shareholders and stakeholders.

Independent Directors have a particular obligation to:

- Conduct themselves and participate in Board matters with an independent mind,
- Give priority to NBAD upon any conflict of interest,
- Have particular regard to the protection of the interests of the minority shareholders.

Role of Group Chief Executive and Senior Management

The Group Chief Executive has delegated responsibility from, and a job description which is clearly defined by, the Board of Directors for ensuring that the Company is operated in accordance with its mandate.

Senior Management must ensure that the Board and Committees receive sufficient complete information on a timely basis.

b. Board Conduct

The Board has approved, and each Director commits, to particular codes and standards of conduct which are to be considered in terms of their “spirit” as well as the strict wording. The Directors Codes of Conduct and Board Charter notes the personal duties that Directors owe to the Company, and standards attached to:

1. Conflicts of Interest
2. Provision of Banking Facilities
3. Employment of Family
4. Gifts, Benefits & Business Courtesy
5. Bribery and Corruption
6. Confidentiality
7. Insider Trading
8. Fair, Accurate and Timely Reporting and Disclosures
9. Ethical Behaviour and Whistleblowing
10. Directors and Officers Insurance

c. Board meetings and attendance

The Board commits to meet at least six times per year, with additional meetings as required to conduct special business. During 2012 the Board met 8 times. The Board may make unanimous written resolutions by circulation. but did not require the need for this option during 2012. Quorum for meetings is set at a simple majority of Directors, and voting during meetings is a simple majority of attendees. The Chairman may make a casting vote.

Directors must disclose potential conflicts of interest as soon as they are aware of the situation, and recuse themselves from further discussion and voting on the matter.

Attendance during 2012 was as follows:

2012 Board Meeting Attendance	17/1	31/1	14/2	24/4	24/7	16/9	23/10	29/11
H.E. Nasser Ahmed Khalifa Alsowaidi - Chairman	✓	✓	✓	✓	✓	✓	-	✓
H.E. Dr. Jauan Salem Al Dhaheri - Deputy Chairman	-	✓	✓	✓	✓	✓	✓	✓
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan	✓	-	✓	✓	✓	✓	✓	✓
H.E. Mohammed Omar Abdulla	✓	✓	-	-	✓	✓	-	✓
H.E. Sultan Bin Rashed Al Dhaheri	-	✓	-	-	✓	✓	✓	-
Sheikh Ahmed Mohammed Sultan Al Dhaheri	✓	✓	✓	✓	✓	✓	✓	-
Mr. Khalifa Sultan Al Suwaidi	✓	✓	-	✓	✓	✓	✓	✓
Mr. Hashim Fawwaz Al Kudsi	✓	✓	✓	✓	-	✓	✓	✓
Mr. David Beau	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Matar Hamdan Al Ameri	✓	✓	✓	✓	✓	✓	-	✓
Mr. Michael Tomalin*	GCE	GCE	GCE	✓	✓	✓	✓	✓

**GCE denotes the atttendance of Mr. Michael Tomalin prior to his apppointment as a Director*

d. Delegation and Accountability

The Board retains specific powers in accordance with the NBAD Articles and the Matters Reserved for the Board included in the Board Charter, and delegates other responsibilities to its Board Committees. Unless otherwise stated, all responsibility for day to day operation of the business to the Group Chief Executive and senior management. Certain specific powers which are subject to special controls are appropriately recorded in the Board Resolutions and Minutes.

The Board monitors further delegations and devolution of power through NBAD via management reporting frameworks, independent reviews and verifications by audit, compliance and legal departments and external advisors.

During 2013 NBAD will continue the revision of its delegations of authority pursuant to the evolution of risk strategies, prudential requirements, changes in the business environment and operational effectiveness.

e. Induction, Development, Evaluation and Succession

The Board, Committees and management require an appropriate balance of skills, experience, independence and knowledge having regard to the nature and complexity of the business, its commercial environment, and the interests of stakeholders. The procedures for nomination of Non-Executive Directors for shareholder election and the selection of Directors for Subsidiaries are reviewed by the Corporate Governance and Nomination Committee takes these factors into account.

New Non-Executive Directors receive formal induction, and all Directors commit to continually refresh their skills and knowledge.

The Board and each Committee conducted an annual evaluation of their performance on a collective basis during 2012, with the support of the Company Secretariat. The results of the self-assessment were submitted to the Corporate Governance and Nomination Committee to consider and identify areas of improvement. After review by the Chairman of the Board and the full Board, various recommendations were included in the development plan for 2013.

f. Remuneration of the Board and Executives

It is a policy of NBAD to offer a competitive compensation framework to attract, retain and motivate qualified and talented Directors and staff, whilst having regard to appropriate risk, accountability and the interests of shareholders to build value.

Remuneration for the Non-Executive Directors is based on the time commitment, skills, and responsibility borne by the Directors whilst undertaking their duties for the Board and Committees. The total remuneration allocation for the Non-Executive Directors is approved at the Annual General Meeting based on the recommendation of the Corporate Governance and Nominations Committee and the Board, and subject to regulatory limits. The compensation is allocated to the Directors based on their membership and additional roles performed in the Board, including Chairmanship of the Board or Committee and attendance at Committee meetings.

Title	Annual Fee	Committee Attendance fee in AED/per meetig
Chairman	800,000	2,500
Deputy Chairman	650,000	2,500
Directors	500,000	2,500

The Group Chief Executive, as an Executive Director, is compensated in accordance with his employment contract, which is approved by the Board after recommendation from the Corporate Governance and Nominations Committee. The Group Chief Executive and Senior Management's remuneration is structured to link reward with corporate and individual performance. As noted below, the Corporate Governance and Nominations Committee is tasked with determining appropriate remuneration frameworks for other senior management, taking account of incentivisation measures, risk, seniority, responsibility and industry benchmarks. In accordance with the NBAD Articles of Association, Executive Directors and Senior Management may participate in the Staff Share Option Scheme, under which allocations of rights are monitored and approved by the Board of Directors. Senior Management compensation is disclosed in the Annual Reports.

Board Committees

a. Committee Mandates

The Board has established four Committees in order to focus on key initiatives or controls of NBAD and to assist in the efficiency and effectiveness of the Board. Each Committee Charter approved by the Board and outlines authority, responsibilities , meeting frequency and practices, reporting, and self-evaluation. The Committees are required to meet as frequently as deemed necessary to fulfil their objectives and to allow sufficient time for discussions, presentations, deliberation, and decisions or recommendations to be clearly formulated.

The composition and Chairmanship of each Committee is approved by the Board after recommendation by the Corporate Governance and Nomination Committee, and reviewed on an annual basis. Quorum is a simple majority, and voting is a simple majority of those in attendance with the Committee Chairman having a casting vote in the case of tied voting. The Committee Chairman shall escalate to the Chairman of the Board and Company Secretary any significant matters arising from the Committee.

Only Directors may be appointed to Committees, however each Committee shall have the authority to obtain advice and assistance from outside legal, accounting and other advisors as it deems necessary to carry out its duties. The Committee may also request management and any other internal or external advisors to attend meetings and/or conduct any investigations, reviews or studies of any matter within the scope of the Committee's duties and responsibilities. In connection with any such investigation, the Committee shall have unrestricted access to NBAD's personnel and documents.

During 2012 the Compensation and Nomination Committee was renamed to Remuneration Committee and its scope amended to consider compensation issues, and the Corporate Governance Committee was expanded to cover Nomination duties.

b. Committee Scope and Composition

Audit Committee — *Meetings: 12*

Members: (minimum 3, inc 1 indep)

- Sh. Mohammed Bin Saif Bin Mohammed Al Nahyan **(Chairman)**
- Mr. Khalifa Sultan Al Suwaidi
- Mr. David Beau
- Mr. Matar Hamdan Al Ameri

Oversight and review of:

- Integrity of financial statements, accounting policies, adjustments and financial reporting.
- Adequacy of internal control, IT security and risk management systems.
- Compliance with laws and regulations, whistleblowing and fraud.
- Investigations into integrity, conflicts of interest and adherence to standards of conduct of Senior Management.
- Examination reports from regulatory authorities.
- Internal audit function, plans, independence, resourcing and effectiveness.
- Appointment, remuneration and removal of Group Chief Audit Officer.
- External audit function, including recommendations to the Board and Shareholders on appointment, remuneration, non-audit fees, independence, audit plans, audit recommendations and removal.
- Compliance with Codes of Conduct.

Risk Management Committee — *Meetings: 20*

Members: (minimum 5)

- H.E. Nasser Ahmed Alsowaidi **(Chairman)**
- H.E. Dr. Jauan Salem Al Dhaheri
- H.E. Sultan Bin Rashed Al Dhaheri
- Sh. Ahmed Mohammed Sultan Al Dhaheri
- Mr. Hashim Fawwaz Al Kudsi

The Risk Management Committee plays a key role in evaluating the risk appetite and policies for the Group. This is an extremely active Committee with delegated decision-making authority on material credit approvals, in addition to the strategic risk issues. Certain matters may be decided, and later ratified by the Board, in case of extreme urgency when the Committee cannot meet.

Oversight and review of:

- Risk appetite and tolerance taking into account the Group's strategies and operating environment.
- Group's risk methodology, KPIs and tolerances, including stress testing.
- Trading, investment, liquidity, funding and interest rate risk, including transfer pricing.
- Risks of strategic acquisitions or disposals.
- Adequacy and allocation of capital.
- Management proposals, material risk transactions and seek Central Bank approval if required.
- Alignment of remuneration to risk.
- Risk disclosures and reports.
- Compliance with regulatory requirements.
- Overall risk management framework, including adequacy of company procedures, material findings of regulators, independence and resourcing of the risk function, and assurance from internal audit on risk controls.
- Chief Risk Officer role.

Corporate Governance and Nominations Committee *Meetings: 2*

Members: (minimum 3, inc 1 indep)

- H.E. Nasser Ahmed Alsowaidi **(Chairman)**
- H.E. Mohammed Omar Abdulla
- Mr. Khalifa Sultan Al Suwaidi
- Mr. Matar Hamdan Al Ameri

Oversight and review of:

- Corporate Governance Charters, policies, practices, and organisational structure.
- Size and composition of the Board and its Committees relative to the responsibilities of each.
- Director independence.
- Allocation of responsibilities to the Committees, Directors and Company Secretary.
- Board membership and management of subsidiaries.
- Board remuneration.
- Outside directorships, director lending, share trading and conflicts of interest of Directors and Senior Management.
- Compliance with Charters and policies.Members

Remuneration Committee *Meetings: 3*

Members: (minimum 3, inc 1 indep)

- H.E. Mohammed Omar Abdulla **(Chairman)**
- Sh. Mohammed Bin Saif Bin Mohammed Al Nahyan
- Sh. Ahmed Mohammed Sultan Al Dhaheri
- Mr. Khalifa Sultan Al Suwaidi
- Mr. David Beau

Oversight and approval of:

- Strategic human resources.
- Remuneration and performance related pay schemes, policies and framework for NBAD.
- Appointment, promotion, remuneration, retirement and dismissal of Senior Management.
- Development and implementation of Emiratisation strategies and targets.
- Terms of reference and reporting of the Management Remuneration Committee.
- Training strategy for NBAD.
- High level succession planning.
- Review of Senior Management performance against KPI's.
- Headcount budgets.
- HR related expenditure above delegated authorities.

Risk and Control Framework

The Board of Directors has approved and implemented an extensive internal control system, which includes:

- Control environment and codes of conduct for the Board and staff.
- Risk management.
- Control functions.
- Management Information systems
- Monitoring, security and prevention systems.

The Codes of Conduct establish certain protocols and restricted activities.

The significant functions which incorporate the control system include Internal Audit, Risk, Compliance, Legal and Company Secretariat. Control functions within NBAD functionally report to the Board or designated Committees, and administratively report to the Group Chief Executive.

Control functions are comprised of skilled and experienced staff with internationally recognized qualifications, and are provided with unfettered and independent powers to investigate the affairs and internal controls of the Corporation. Where necessary, the controls function may also be outsourced to reputable third parties who are qualified to provide specialist expertise.

In particular, the evolution of risk perspectives and policies in the international and local regulatory environment will continue to mandate or influence NBAD's approach to, and appetite for, risk. As risk is an integral part of both the operational and control framework, the Board will continue to monitor the appropriate delegation of risk, the continued nature of its risk appetite and strategies, and the authorities provided to the Risk Committee.

The External Auditors are paid on a fixed annual fee basis. The auditors' fee is recommended by the Board of Directors for shareholders' approval in the Annual General Meeting. Non-audit work or audit work not within the scope of the annual review will be reviewed by the Audit Committee on a case to case basis, although procurement policies may exclude tendering by auditors to avoid any perceived or potential conflict of interest. The external audit fees are disclosed in the NBAD Annual Audited Accounts.

As required by the Central Bank of the UAE and as desirable for international banks of NBAD's stature, NBAD has implemented a comprehensive set of policies for the prevention and detection of fraud, corruption, bribery, money laundering and other criminal and civil offences. These are monitored by a number of control functions, which ultimately report to the Committees and Board on matters of significant breach, local and international updates, monitoring programs, trends and risks. Whilst NBAD has instituted a sophisticated set of systems and controls to segregate duties, establish limits and approval processes, and monitor and audit employee and stakeholder interactions, it is recognised that systems are not failsafe. Hence, NBAD has an over-arching Whistleblowing Policy which incorporates independent reporting channels, confidentiality and sensitivity, investigation powers, escalations, reporting, re-integration of findings into the operational and control framework, and regulatory co-operation.

Transactions of Directors and Employees in Securities:

By virtue of NBAD's status as a listed company on the Abu Dhabi Stock Exchange, Directors and staff are subject to certain trading restrictions on NBAD securities, including Close Periods. All Directors and a wide class of Senior Management are classified by NBAD as "Insiders" with respect to trading rules set by the SCA, which imposes internal and public disclosure requirements.

Also, due to the nature of NBAD's business, Directors and staff may come into possession of material non-market information which may impact the prices of listed securities (including equities, bonds, ETFs, etc) on many global exchanges. The legal prohibition of Insider Trading is enforced within the NBAD's Codes of Conduct, which specifies that trading with inside knowledge on any security (including but not limited to NBAD securities) is strictly forbidden and may expose the individual and NBAD to serious negative outcomes. All Directors and staff are made aware of their legal obligations and the need for timely, relevant disclosure in relation to reporting on these issues.

Other Policies

Dividends

Provided that no adverse conditions exist regarding domestic and/or global economic circumstances, and after making transfers to the mandatory reserves and ensuring that the Bank's capital adequacy ratio remains at the targeted level, and subject to approval by shareholders, NBAD's policy is to recommend for the approval of shareholders in the Annual General Meeting a cash dividend which is covered at least three times by the distributable profit.

Sustainability and Corporate Social Responsibility

Since 2007, NBAD has a proud history of being a leader in the disclosure of Corporate Social Responsibility ("CSR") and Sustainability Reports in the UAE. NBAD currently self-declares compliance with reporting standards under the Global Reporting Initiative's (GRI) international guidelines and the Financial Sector Supplement.

In 2011 NBAD formally established a Corporate Sustainability role and committed further resources for the development of strategies and implementation of sustainability and corporate social responsibility initiatives. This role has the responsibility for production of the annual Sustainability Report, with the assistance of external expertise on technical issues, and continues to identify and redefine performance measures and recommendations.

All historical reports and current reports are available on the NBAD website in the Sustainability section, indicating NBAD's commitment to full disclosure of historical development and continued improvement.

Share Registry Services

NBAD is a significant provider of share registry services to other public joint stock companies in the UAE and is well recognised by the market for providing integrated and support services for the conduct of shareholder actions. The Securities and Funds Administration Services Department is subject to an extremely high standard of duty and care with regard to issues such as regulatory compliance, confidentiality, audit and regulatory co-operation.

Investor Transparency and Disclosure

A dedicated Investor Relations site is included on the Corporation's website (www.nbad.ae), where investors are provided with current information relating to the Corporation such as:

- Annual reports
- Financial reports
- Corporate Governance documentation
- Credit profiles
- Analyst coverage
- Press releases
- Securities information
- Presentations
- Feedback facility



Shareholders' Information



Major Shareholders

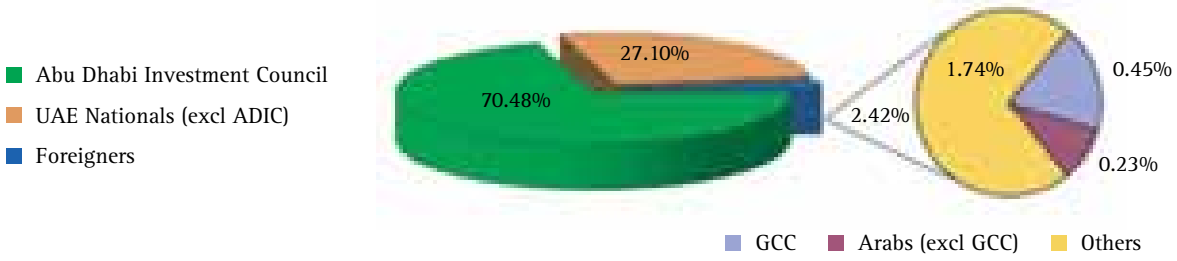
Shareholders holding more than 5% of NBAD shares as at 31 December 2012

- Abu Dhabi Investment Council (ADIC)	70.48%

Source: Abu Dhabi Securities Exchange (ADX)

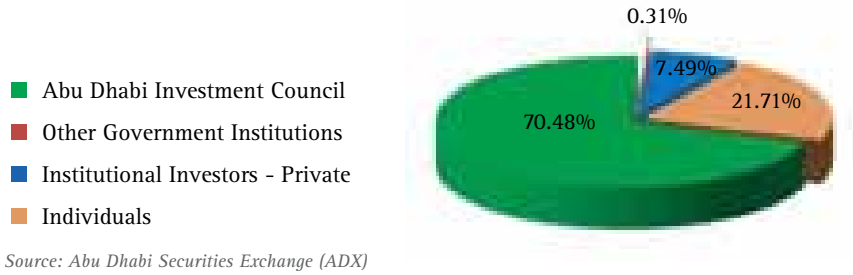
NBAD shareholding by Nationality

Foreign ownership is restricted to 25% of the total shares listed on the exchange. As of 31 December 2012, foreign ownership in NBAD shares amounted to 2.42%.



Source: Abu Dhabi Securities Exchange (ADX)

NBAD shareholding by Category



Source: Abu Dhabi Securities Exchange (ADX)

Price & Ratios

Market Capitalisation (Price @ AED 10.3*)	31 Dec 2012	AED 39.9bn (US$ 10.9bn)
Diluted EPS	FY 2012	1.04
PE Ratio (on Basic EPS)	Dec 2012	9.8
Price / Book	Dec 2012	1.5
Dividend Yield (AED 0.35 / share)	2012	3.4%
Dividend Cover (Payout %)$	2012	3.0x (33.1%)

* ADX closing price (unadjusted) as on 31 December 2012
^ Yield based on closing price as mentioned above
$ Dividend cover = (Net profits less Dividend on GoAD Tier-I capital notes) / Cash dividends for 2012

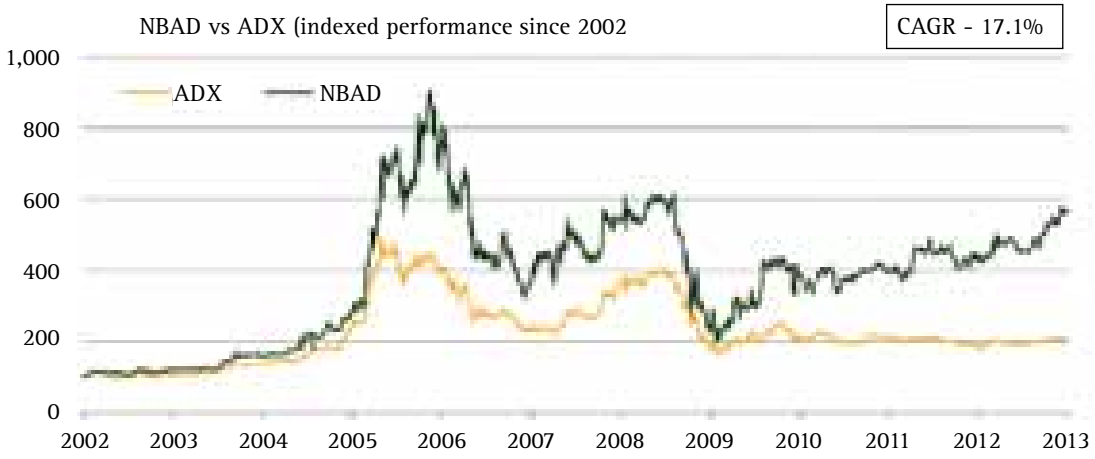
Shareholders' rewards

- **Distributions**

For Financial Year	2012	2011	2010	2009	2008	2007	2006
Cash Dividends	35%	30%	30%	10%	30%	40%	40%
Stock Dividends (Bonus shares)	10%	35%	20%	10%	10%	20%	30%

- **Capital Appreciation**

  - **Stock Price Performance**



Source: Bloomberg

  - **Share price CAGR as of 31 December 2012**

	1-Year	3-Year	5-Year
NBAD	27.0%	14.0%	1.3%
ADX	9.5%	-1.4%	-10.4%

CAGR - compounded annual growth rate
Source: Bloomberg



Group Network



Branches - UAE

Abu Dhabi

Main Branch
Telephone: 02 - 6111111
Telefax: 02 - 6275738/9
P.O.Box: 2993, Abu Dhabi

ADIA*
Telephone: 02 - 4105168
Telefax: 02 - 6212157
P.O. Box: 2993, Abu Dhabi

Khalidiya
Telephone: 02 - 4106000
Telefax: 02 - 6667480
P.O. Box: 46175, Abu Dhabi

ADCO*
Telephone: 02 - 6112800
Telefax: 02 - 6653057
P.O. Box: 46175, Abu Dhabi

ADMA*
Telephone: 02 - 6263225
Telefax: 02 - 6263295
P.O.Box: 46175, Abu Dhabi

ADNOC*
Telephone: 02 - 6669143
Telefax: 02 - 6679869
P.O.Box: 46175, Abu Dhabi

Rental Dispute Judicial Department*
Telephone: 02 - 4105170
Telefax: 02 - 4450568
P.O. Box: 46175, Abu Dhabi

ZADCO*
Telephone: 02 - 6768821
Telefax: 02 - 6768851
P.O. Box: 46175, Abu Dhabi

Hilton*
Telephone: 02 - 6112770
P.O. Box: 46175, Abu Dhabi

Abu Dhabi Municipality*
Telephone: 02 - 4103801
Telefax: 02 - 6767136
P.O. Box: 46175, Abu Dhabi.

Abu Dhabi Food Control Authority*
Telephone: 02 - 4468559
Telefax: 02 - 4460184
P.O. Box: 46175, Abu Dhabi

Abu Dhabi International Airport
Telephone: 02 - 5075400
Telefax: 02 - 5757593
P.O. Box: 5279, Abu Dhabi

Sheikh Rashed Bin Saeed Al Maktoum Road
Telephone: 02 - 4104000
Telefax: 02 - 6416677
P.O. Box: 46727, Abu Dhabi

Abu Dhabi Mall
Telephone: 02 - 4104666
Telefax: 02 - 6452424
P.O. Box: 7021, Abu Dhabi

Arabian Gulf Road
Telephone: 02 - 4103000
Telefax: 02 - 4478344
P.O. Box: 71230, Abu Dhabi

Baniyas
Telephone: 02 - 5078100
Telefax: 02 - 5833359
P.O. Box: 11700, Baniyas

Abu Dhabi Municipality – Al Wathba*
Telephone: 02 - 5831720
Telefax: 02 - 5831740
P.O. Box: 11700, Abu Dhabi

Bateen
Telephone: 02 - 6668792
Telefax: 02 - 6663925
P.O. Box: 7644, Abu Dhabi

Al Bateen - Abu Dhabi Municipality*
Telephone: 02 - 6112795
P.O. Box: 46175, Abu Dhabi

Between The Two Bridges
Telephone: 02 - 5589446
Telefax: 02 - 5589447
P.O. Box: 26380, Abu Dhabi

Corniche
Telephone: 02 - 6919777
Telefax: 02 - 6819122
P.O. Box: 3699, Bel-Ghailam Tower, Corniche Rd. Abu Dhabi

Bawabat Al Sharq Mall
Telephone: 02 - 5864096
Telefax: 02 - 5864356
P.O. Box: 149027
Abu Dhabi, UAE

Higher Colleges of Technology*
Telephone: 02 - 4456588
Telefax: 02 - 4456436
P.O. Box: 31818
Abu Dhabi, UAE

Khalifa Port*
Telephone: 02 - 5069311
P.O. Box: 76142
Al Taweela, UAE

*Denotes cash offices

Boutik Mall
Telephone: 02 - 6740159
Telefax: 02 - 6740135
P.O. Box: 33166
Abu Dhabi, Reem Island

Delma Island
Telephone: 02 - 8781240
Telefax: 02 - 8781331
P.O. Box: 50670, Delma, Abu Dhabi

Government Complex (TAMM, Delma)*
Telephone: 02 - 8945528
Telefax: 02 - 8945558
P.O. Box: 50670, TAMM Center,
Delma, Abu Dhabi

Das Island
Telephone: 02 - 8731099
Telefax: 02 - 8731448
P.O. Box: 46175, Abu Dhabi

Liwa
Telephone: 02 - 4105388
Telefax: 02 - 8822188
P.O. Box: 50419, Western Area, Abu Dhabi

Madinat Zayed
Telephone: 02 - 8945700
Telefax: 02 - 8846496
P.O. Box: 50019, Madinat Zayed, Abu Dhabi

Ghayathi
Telephone: 02 - 8744609
Telefax: 02 - 8744628
P.O. Box: 77729, Ghayathi Area, Abu Dhabi

Ghayathi TAMM*
Telephone: 02 - 8744712
Telefax: 02 - 8744713
P.O. Box: 77729, TAMM Building, Ghayathi Area, Abu Dhabi

Sir Baniyas*
Telephone: 02 - 8013210
Telefax: 02 - 8779014
P.O. Box: 11785, Inside Sir Baniyas Island, Abu Dhabi

Government Complex (TAMM, MZD)*
Telephone: 02 - 8989128
Telefax: 02 - 8846981
P.O. Box: 50019, Madinat Zayed, Abu Dhabi

Al Mirfaa
Telephone: 02 - 8836330
Telefax: 02 - 8836313
P.O. Box: 77110, Abu Dhabi

Paris Gallery
Telephone: 02 - 6651215
Telefax: 02 - 6650563
P.O. Box: 110818, Khalidiya Center, Abu Dhabi

Al Ruwais
Telephone: 02 - 8776343
Telefax: 02 - 8776453
P.O. Box: 11875, Al Ruwais, Abu Dhabi

Al Muroor
Telephone: 02 - 4485833
Telefax: 02 - 4484181
P.O. Box: 2712, Abu Dhabi

Mussafah
Telephone: 02 - 5029500
Telefax: 02 - 5559997
P.O. Box: 8351, Abu Dhabi

NPCC*
Telephone: 02 - 5549282
Telefax: 02 - 5549193
P.O. Box: 8351, Abu Dhabi

Petroleum Institute*
Telephone: 02 - 5075220
Telefax: 02 - 6075385
P.O. Box: 26380, Abu Dhabi

Etihad Airways
Telephone: 02 - 5562998
Telefax: 02 - 5562993
P.O. Box: 131770, Abu Dhabi

Mezyad Mall
Telephone: 02 - 5532922
Telefax: 02 - 5591251
P.O. Box: 8350, Abu Dhabi

Al Salam Street
Telephone: 02 - 4103900 / 02 - 6440051
Telefax: 02 - 6446050
P.O. Box: 7749, Abu Dhabi

Al Shahama
Telephone: 02 - 5632411
Telefax: 02 - 5633508
P.O. Box: 76142, Al Shahama, Abu Dhabi

New Al Shahama
Telephone: 02 - 5635695
Telefax: 02 - 5630806
P.O. Box: 77455, Al Shahama, Abu Dhabi

Shahama Municipality*
Telephone: 02 - 5631385
Telefax: 02 - 5631409
P.O. Box: 77455, Al Shahama, Abu Dhabi

Abu Dhabi National Exhibition Centre
Telephone: 02 - 4494996
Telefax: 02 - 4493788
P.O. Box: 94959, Abu Dhabi

*Denotes cash offices

Branches - UAE

Marina Mall
Telephone: 02 - 6816002
Telefax: 02 - 6816018
P.O. Box: 35835, Abu Dhabi

Mina Road
Telephone: 02 - 6507186
Telefax: 02 - 6507242
P.O. Box: 48089, Abu Dhabi

GHQ Officers Club
Telephone: 02 - 6112769
Telefax: 02 - 4416326
P.O. Box: 2993, Abu Dhabi

Madinat Zayed Tower
Telephone: 02 - 6355390
Telefax: 02 - 6355389
P.O. Box: 111699, Abu Dhabi

Al Etihad
Telephone: 02 - 4104953
Telefax: 02 - 6417812
P.O. Box: 31818, Abu Dhabi

Emirates Palace
Telephone: 02 - 6908900 / 6112777
Telefax: 02 - 6908908
P.O. Box: 40039, Abu Dhabi

Abu Dhabi Chamber of Commerce & Industry
Telephone: 02 - 6177460
P.O. Box: 662, Abu Dhabi

Al Sila'a
Telephone: 02 - 8721979
Telefax: 02 - 8721959
P.O. Box: 76900, Abu Dhabi

Al-Muroor Municipality Cash Office*
Telephone: 02-4413169
Telefax: 02-4413152
P.O. Box: 2712, Abu Dhabi

Sila'a Municipality*
Telephone: 02-8724296
Telefax: 02-8724975
P.O. Box: 76900, Abu Dhabi

Liwa Municipality*
Telephone: 02-8820133
Telefax: 02-8820115
P.O. Box: 50419, Liwa, Abu Dhabi

Al Mirfa'a Municipality*
Telephone: 02-8836330
Telefax: 02-8832460
P.O. Box: 77110, Al Mirfa'a, Abu Dhabi

Dalma Mall
Telephone: 02-5512472
Telefax: 02-5512470
P.O. Box: 93200, Abu Dhabi

Masdar City Institute
Telephone: 02-5570401
Telefax: 02-5570421
P.O. Box: 93003, Khalifa City A, Abu Dhabi

Sky Park Plaza T3 -Abu Dhabi Airport*
Telephone: 02-5075402
Telefax: 02-5757593
P.O. Box: 5279, Abu Dhabi

Municipality Food Distribution Center-Mussafah*
Telephone: 02-5029501
Telefax: 02-5559997
P.O. Box 8351, Abu Dhabi

Mushrif Mall
Telephone: 02-4100300
Telefax: 02-6737095
P.O. Box 62545, Abu Dhabi

Khalifa City (A)
Telephone: 02-4100202
Telefax: 02-5577853
P.O. Box 145545, Abu Dhabi

Madinat Zayed Municipality*
Telephone: 02-8945720
Telefax: 02-8845021
P.O. Box 50019, Abu Dhabi

Al Ain

Al Ain Clock Tower
Telephone: 03 -7066500
Telefax: 03 - 7668150
P.O.Box: 1138, Al Ain

Al Ain New branch
Telephone: 03 - 7513246
Telefax: 03 - 7517911
P.O. Box: 17822, Al Ain

Emirates Cement Factory*
Telephone: 03 - 7224060
P.O. Box: 17822, Al Ain

Al Ain International Airport*
Telephone: 03 - 7855511
Telefax: 03 - 7855588
P.O. Box: 17822, Al Ain

Al Ain Defence*
Telephone: 03 - 7688824
Telefax: 03 - 7688879
P.O. Box: 17822, Al Ain

Al Sanaiya
Telephone: 03 - 7011111
Telefax: 03 - 7610875
P.O. Box: 19771, Al Ain

Sweihan
Telephone: 03 - 7346033
Telefax: 03 - 7347414
P.O. Box: 10033, Sweihan

*Denotes cash offices

Al Hayer
Telephone: 03 - 7321414
Telefax: 03 - 7322500
P.O. Box: 17087, Al Hayer, Al Ain

Al Hayer Municipality*
Telephone: 03 - 7322400
Telefax: 03 - 7322500
P.O. Box: 17087, Al Hayer, Al Ain

Al Maqam
Telephone: 03 - 7684009
Telefax: 03 - 7684451
P.O. Box: 85313, Al Maqam, Al Ain

Al Maqam Municipality*
Telephone: 03 - 7085308
Telefax: 03 - 7684451
P.O. Box: 85313, Al Maqam, Al Ain

Al Ain Mall
Telephone: 03 - 7519900
Telefax: 03 - 7513636
P.O. Box: 59212, Al Ain

Al Ain Civic Center
Telephone: 03 - 7625414
Telefax: 03 - 7624425
P.O. Box: 86777, Al Ain

Mezyad Municipality*
Telephone: 03 - 7085359
Telefax: 03 - 7668150
P.O. Box: 1138, Al Ain

Al Wagan Municipality*
Telephone: 03 - 7351886
Telefax: 03 - 7351451
P.O. Box: 21844, Al Ain

Al Quaa Municipality*
Telephone: 03-7066592
Telefax: 03-7356465
P.O. Box: 21844, Al Ain

Al Remah – TAMM*
Telephone: 03-7371257
Telefax: 03-7371947
P.O. Box: 17822, Al Ain

Al Khaznah – TAMM*
Telephone: 02-5663134
Telefax: 02-5663573
P.O. Box: 17822, Al Ain

Al Yahar
Telephone: 03-7819220
Telefax: 03-7819351
P.O. Box: 200600, Al Ain

Department of Economic Development*
Telephone: 03-7011350
Al Ain Municipality, Al Ain

Ajman

Ajman
Telephone: 06 - 7013400
Telefax: 06 - 7425750
P.O. Box: 988, Ajman

Dubai

Dubai Main Branch
Telephone: 04 - 2131900
Telefax: 04 - 2504009
P.O. Box: 4436, Deira, Dubai

Dubai Side (Bur Dubai)
Telephone: 04 - 5098500
Telefax: 04 - 3583610
P.O. Box: 2372, Dubai

Jebel Ali
Telephone: 04 - 8116700
Telefax: 04 - 8870553
P.O. Box: 17177, Jebel Ali Area, Dubai

Sheikh Zayed Road
Telephone: 04 - 7071111
Telefax: 04 - 3861508
P.O. Box: 33317, Dubai

Al Qusais
Telephone: 04 - 7058500
Telefax: 04 - 2581613
P.O.Box: 48111, Dubai

Jumeirah
Telephone: 04 - 4050990
Telefax: 04 - 3499012
P.O.Box: 333314, Jumeriah, Area 1, Dubai

Mall of the Emirates
Telephone: 04 - 3413888
Telefax: 04 - 3413889
P.O. Box: 211875, Dubai

Dubai Health Care City
Telephone: 04 - 4245600
Telefax: 04 - 4298350
P.O. Box: 505115, Dubai

Dubai Mall
Telephone: 04 - 3398260
Telefax: 04 - 3398463
P.O. Box: 73700, Dubai

Hor Al Anz (Al Mamzar)
Telephone: 04 - 2017900
Telefax: 04 - 2656186
P.O. Box: 4436, Dubai

Al Quoz
Telephone: 04 - 3397499
Telefax: 04 - 3397332
P.O. Box: 282227, Dubai

*Denotes cash offices

Branches - UAE

Al Muraqabat
Telephone: 04 - 2042400
Telefax: 04-2999537
P.O. Box: 4436, Dubai

Mirdif City Center
Telephone: 04 - 2316900
Telefax: 04 - 2840338
P.O. Box: 78941, Dubai

Meadows
Telephone: 04-4415251
Telefax: 04-4228507
P.O. Box 488084, Dubai

Dubai Marina (JBR)
Telephone: 04-4522793
Telefax: 04-4228608
P.O. Box 334511, Dubai

Motor City
Telephone: 04-4539518
Telefax: 04-4228617
P.O. Box 294818, Dubai

Deira City Center
Telephone: 04-2131950
Telefax: 04-2946711
P.O. Box: 182311
Inside Deira City Center Mall, Dubai

Fujairah

Fujairah
Telephone: 09 - 2222633
Telefax: 09 - 2227241
P.O. Box: 79, Fujairah

Dibba Al Hisn
Telephone: 09 - 2440677
Telefax: 09 - 2440622
P.O. Box: 144900, Fujairah

Dibba
Telephone: 09 - 2045111
Telefax: 09 - 2431188
P.O. Box: 11500, Fujairah

Qidfaa
Telephone: 09 - 2361000
Telefax: 09 - 2361001
P.O. Box: 12229, Fujairah

Khorfakkan
Telephone: 09 - 2088200
Telefax: 09 - 2383735
P.O. Box: 10092, Fujairah

Kalba
Telephone: 09 - 2772112
Telefax: 09 - 2772712
P.O. Box: 11979, Fujairah

Ras Al Khaimah

Al Nakheel
Telephone: 07 - 2056800
Telefax: 07 - 2281305
P.O. Box: 5744, Al Nakheel, Ras Al Khaimah

Ras Al Khaimah
Telephone: 07 - 2056666
Telefax: 07 - 2330950
P.O. Box: 350, Ras Al Khaimah

Sharjah

Al Bourj Avenue
Telephone: 06 - 5110666
Telefax: 06 - 5695511
P.O. Box: 20606, Sharjah

Sharjah
Telephone: 06 - 5170555
Telefax: 06 - 5721100
P.O. Box: 1109, Sharjah

Al Dhaid
Telephone: 06 - 8822929 / 8823789
Telefax: 06 - 8826006
P.O. Box: 13343, Al Dhaid, Sharjah

Al Madam
Telephone: 06 - 8861212
Telefax: 06 - 8861813
P.O. Box: 48100, Al Madam, Sharjah

Al Nahda
Telephone: 06 - 5308989
Telefax: 06 - 5308620
P.O. Box: 45493, Sharjah

Sharjah Industrial Area
Telephone: 06 - 5353530
Telefax: 06 - 5353113
P.O. Box: 33777, Sharjah

Al Tawuun
Telephone: 06 - 5304759
Telefax: 06 - 5304739
P.O. Box: 7210, Sharjah

Umm Al Quwain

Umm Al Quwain
Telephone: 06 - 7069333
Telefax: 06 - 7649644
P.O.Box: 733, Umm Al Quwain

*Denotes cash offices

Branches - Overseas

Bahrain

Retail Banking Unit
Address: Building No. 2611, Road No.2833, Al Seef District 428
P. O. Box 5247 Manama -Kingdom of Bahrain
Telephone: + 973 17 560870
Fax: + 973 17 560837
Swift: NBADBHBMBRA

Wholesale Banking Unit
Address: Building No. 2611, Road No.2833, Al Seef District 428
P. O. Box 5886, Manama, Kingdom of Bahrain
Telephone: + 973 17 560 870
Fax : +973 17 583281
Swift: NBADBHBM

Egypt

Regional Office
Telephone: +202 37475102 / 37475000
Telefax: +20 2 37475295
Address: Nile Tower (18th Floor),
21 Charles de Gaulle St . Cairo, Egypt

6th October
Telephone: +20 2 38282900
Telefax: +20 2 38282928
Swift: NBADEGCAOCT
Address: 52, H. AL Mahwar Al Markazy,
Banks District, 6th October City, Egypt

Dandy Mall
Telephone: +202 38282960
Telefax: +202 35391868
Swift: NBADEGCAOCT
Address: K.M. 28 Cairo Alex. Desert Road,
Unit No. 23, Dandy Mall , Giza, Egypt

Elite Banking Unit - Giza
Telephone: +202 37475006 / 37475300
Telefax: +202 37475296
Swift: NBADEGCAPSU
Address: Nile Tower – 1st & 3rd Floors,
21 Charles de Gaulle St . Cairo, Egypt

Mohandessin
Telephone: +202 38282941/45
Telefax: +202 33365569
Swift: NBADEGCAMHD
Address: 35 Mohie El Din Abu El Ezz Street,
El Mohandessin, Giza, Cairo, Egypt

Talaat Harb
Telephone: +202 27683240
Telefax: +202 23931527
Swift: NBADEGCATHB
Address: 22, Kasr El Nil Street,
Talaat Harb Sq., Cairo, Egypt

Maadi
Telephone: +20 2 27683200 / 23586015
Telefax: +20 23588945 / 235838877
Swift: NBADEGCAMAD&tPSU
Address: Crossing of Roads 151/152
(near Horreya Square) Maadi, Cairo, Egypt

Maadi City Center
Telephone: +202 27683237
Telefax: +202 27683236
Swift: NBADEGCAMAD
Address: Unit No. 27, Maadi City Center, Ring Road,
Medinat El Mirage 1435 – Katameya Road, Cairo, Egypt

El Choueifat
Telephone: +202 27683275
Telefax: +202 26182701
Swift: NBADEGCA CHF
Address: El Choueifat School - Main Gate,
New Fifth Urban Community (Kattameya),
New Cairo, Egypt

Heliopolis
Telephone: +20 2 24177627
Telefax: +202 24177632
Swift: NBADEGCAHLP
Address: 13A, Ramsis Street, From Salah Salem Road,
Heliopolis, Cairo, Egypt

City Stars
Telephone: +202 24137850
Telefax: +202 24802183
Swift: NBADEGCAHLP
Address: Unit No. 148, City Stars Mall,
Nasr City, Cairo, Egypt

Al Akkad
Telephone: +202 24137830
Telefax: +202 22752376
Swift: NBADEGCAAAKD
Address: 36 Abbas Al Akkad Street, Nasr City, Cairo, Egypt

El Obour
Telephone: +202 24137863
Telefax: +202 46104972
Swift: NBADEGCAOBR
Address: Unit No. 1 & 2, City Club Wall,
Ismailya Desert Road,
El Obour City, El Qalubia, Egypt

Salah Salem
Telephone: +203 4860900 / 3
Telefax: +203 4847114
Swift: NBADEGCAALX
Address: 28, Salah Salem Street, Alexandria, Egypt

Sporting
Telephone: +203 4203401 / 4196000
Telefax: +203 4203409 / 4240027
Swift: NBADEGCASPT
Address: 243 Horreya Ave., Sporting,
Alexandria, Egypt

*Denotes cash offices

Branches - Overseas

San Stefano
Telephone: +203 4690029
Telefax: +203 4690028
Swift: NBADEGCASTF
Address: San Stefano Grand Plaza, Alexandria, Egypt

Alexandria City Center
Telephone: +203 4196040
Telefax : +203 3970081
Swift: NBADEGCAACC
Address: City Centre, Alexandria, Egypt

Port Said
Telephone: +2066 3384400
Telefax: +2066 3235814
Swift: NBADEGCAPSD
Address: 4, Sultan Mahmoud & Tahr El Bahar St.,
ElSalam Tower, Port Said, Egypt

Mansoura
Telephone: +2050 2281200
Telefax: +2050 2329980
Swift: NBADEGCAMNS
Address: 242 Al Guesh Street,
P.O.Box: 350, Mansoura, Egypt

Tanta
Telephone: +2040 3385800 / 0105005823
Telefax: +2040 3385811
Swift: NBADEGCATNT
Address: 22 El Geish Street, Al Sarayah Tower, Tanta,
Gharbia, Egypt

Damietta
Telephone: +2057 392201
Telefax: +2057 392222
Swift: NBADEGCADMT
Address: 173 Saad Zaghloul Street,
Damietta, Egypt

Luxor
Telephone: +2095 2399840
Telefax: +2095 2399839
Swift: NBADEGCALUX
Address: Khaled Ibn Al Waleed Street,
Sonesta St. George Hotel, Luxor, Egypt

Assiut
Telephone: +2088 228539 / 6
Telefax: +2088 2285394
Swift: NBADEGCAASU
Address: 32A, El Gomhoria Street,
Assiut, Upper Egypt

Sharm El Sheikh
Telephone: +2069 3602695
Telefax: +2069 3621912
Swift: NABDEGCASHK
Address: Golden Center, Unit No. 19 - Ground Floor,
Al Salam Street - Na´ama Bay, Sharm El Sheikh,
South Sinai, Egypt

Sharm El Sheikh*
Telephone: +2069 3621971
Telefax: +2069 3602693
Swift: NABDEGCASHK
Address: Sanafir Hotel, Unit No. 2, Na´ama Bay,
Sharm El Sheikh South Sinai, Egypt

Hurghada
Telephone: +2065 3443424
Telefax: +2065 3443446
Swift: NBADEGCAHUR
Address: West Side Touristic Center Shop 1/3,
Al Mashaia Area, Hurghada, Red Sea, Egypt

Hurghada Cash Office - Titanic Beach Hotel*
Telephone: +2065 3461420
Telefax: +2065 3461430
Address: LTI Titanic Beach Hotel–
South Magawish – KM 17,
Sahl Hashish Road, Hurghada, Red Sea, Egypt

Senzo Mall
Telephone: +2065 3412134
Telefax: +2065 3412130
Swift: NABDEGCASNZ
Address: Unit No. 1A Senzo Mall, South Magawish,
Safaga Road, Hurghada, Red Sea, Egypt

El Hegaz
Telephone: +202 26217953 / 4
Telefax: +202 24137879
Swift: NBADEGCAHGZ
Address: 50 Farid Semeika st. El Hegaz square,
Heliopolis, Cairo, Egypt

Shoubra
Telephone: +202 22007926
Telefax: + 202 22007784
Swift: NBADEGCASHB
Address: 21 Dawletyan St., Agha Khan Bld., Shoubra Misr

France

Paris
Telephone: +33 1 53230280
Telefax: +33 1 47208160
Swift: NBADFRPPXXX
Address: 125, Avenue des Champs Elysees, 75008,
Paris, France

Kuwait

Kuwait
Telephone: +965 22904141
Telefax: +965 22495196
Swift: NBADKWKW
Address: Al Bahar Tower, Ahmed Al Jaber Street,
Sharq, Kuwait
P. O. Box: 2620, Safat, 13027, Kuwait

*Denotes cash offices

Libya

Libya Rep. Office
Telephone: +218 213362283
Telefax: +218 213362284
Address: Tripoli Tower 1, 15th Floor, Office No. 152,
P.O Box: 259, Tripoli, Libya

Oman

Regional Office
Telephone: +968 24761000
Telefax: +968 24761010 / 110
Swift: NBADOMRXXXX
Address: Commercial Business District (CBD),
Building No. 320, Way No. 4010, Block No.140,
P.O. Box 303, Postal Code 100,
Muscat, Sultanate of Oman

Main
Telephone: +968 24761046 / 47 / 48 / 49
Telefax: +968 24798929
Swift: NBADOMRXXXX
Address: Commercial Business District (CBD),
Building No. 320, Way No. 4010, Block No. 140,
P.O. Box 303, Postal Code 100,
Muscat, Sultanate of Oman

Al Qurum
Telephone: +968 24662200 / 01 / 02 / 03 / 04 / 05 / 06
Telefax: +968 24563935
Address: Al Qurum – ROP Parking Area,
P. O. Box: 988 - Postal Code 116,
Al Qurum, Sultanate of Oman

Al Khuwair
Telephone: +968 24476701 / 02 / 03 / 04 / 05
Telefax: +968 24482329
Address: Al Khuwair – Ice-Skating Building,
Next to Zawawi Mosque,
P. O. Box: 458 - Postal Code 130,
Al Khuwair, Sultanate of Oman

Al Khoudh
Telephone: +968 24533902 / 03 / 04 / 05 /06 / 07 / 08
Telefax: +968 24545904
Address: Al Khoudh Commercial St. - Building No. 356,
P.O. Box: 1092, Postal Code 132,
Al Khoudh, Sultanate of Oman

Sohar
Telephone: +968 26851800 / 01 / 02 / 03 / 04 / 05
Telefax: +968 26845644
Address: Al Waqaiba – Banks Area,
P.O. Box No 25 – Postal Code 321,
Al Tarif, Sultanate of Oman

Nizwa
Telephone: +968 25414700 / 01 / 02 / 03 / 04 / 05 / 06
Telefax: +968 25414720
Address: Opposite Firq Roundabout,
P. O. Box: 895 - Postal Code 611,
Nizwa, Sultanate of Oman

Salalah
Telephone: +968 23207600 / 01 / 02 / 03 / 04 / 05 / 06
Telefax: +968 23207620
Address: Haffa House, P.O. Box 2715, Postal Code 211,
Central Salalah, Sultanate of Oman

Sur
Telephone: +968 25563100 / 01 / 02 / 03 / 04 / 05 / 06
Telefax: +968 25563120
P.O. Box 421, Postal Code 411, Sur, Sultanate of Oman
Address: On Main Commercial Road,
Between Oman Housing Bank and Sur Plaza Hotel,
Sur, Sultanate of Oman

Al Buraimi
Telephone: +968 25658200 / 01 / 02 / 03 / 04 / 05 / 06 / 07
Telefax: + 968 25658220
Address: New Al Sa'ara, Al Buraimi
P.O. Box 671, Postal Code 512,
Al Buraimi, Sultanate of Oman

Sudan

Regional Office
Telephone: +249 183 774204 / 787203 / 787750
Telefax: +249 183 774892
Address: P.O.Box 12147, Taka Building, Atbara Street,
Khartoum, Republic of Sudan

Khartoum
Telephone: +249 183 778517
Telefax: +249 183 792347
Swift: NBADSDKH
Address: P.O. Box 2465, Taka Building, Atbara Street,
Khartoum, Republic of Sudan

Khartoum North*
Telephone: +249 185 343833
Telefax: +249 185 343227
Address: Sinaat Street, Khartoum North, DAL Food Building
P. O. Box 1138, Postal Code: 13311,
Khartoum North, Republic of Sudan

Amarat
Telephone: +249 183 569656 / 604 / 640
Telefax: +249 183 569625
Swift: NBADSDKHAMR
Address: Street 15, Block 9/10, Plot No. 50/1,
Hilal Sami Building,
P.O. Box: 15141, Amarat,
Khartoum, Republic of Sudan

Omdurman
Telephone: +249 187 569051
Telefax: +249 187 569165
Swift: NBADSDKH
Address: Al Mourada Street, Shekkan Building Block 4/1,
Plot No. 617 Omdurman City
P.O. Box: 2465,
Khartoum, Republic of Sudan

*Denotes cash offices

Branches - Overseas

Jordan

Shmeisani
Telephone.: +962 6 5002222
Telefax: +962 6 5002220
Swift: NBADJOAM
Address: 10 Abdul Hameed Sharaf Street,
Al Shmeisani 941110
Amman 11194 - Jordan

Wadi Abdoun
Telephone: +962 6 5002222
Telefax: +962 6 5933763
Swift: NBADJOAM
Address: Wadi Abdoun - Princess Basma Street
P.O. Box 941110, Amman 11194 - Jordan

Hong Kong

Hong Kong
Telephone: +852 3413 4388
Telefax: +852 3413 4343
Swift: NBADHKHH
Address: **18/F, Nine Queen's Road Central,**
Central, Hong Kong

United Kingdom

London
Telephone: +44 207 3933600
Telefax: +44 207 3933636
Swift: NBADGB2L
Address: One Knightsbridge,
London SW1X 7 LY, UK

China

Shanghai Rep Office
Tel: +86 21 6095 2388
Telefax: +86 21 6095 2343
Address: Unit 2304, Shanghai IFC Phase II,
No.8, Century Avenue
Pudong District, Shanghai
200120 China

Subsidiaries

United States of America

Abu Dhabi International Bank N.V.
Telephone: +1 202 8427900
Telefax: +1 202 8427955
Swift: ADIBUS33
Address: 1430 K street, N.W., Suite 400,
Washington D.C. 20005, U.S.A.

Curacao

Abu Dhabi International Bank N.V.
Telephone: +599 94611299
Telefax: +599 94615392
Address: Kaya W.F.G. (Jombi) Mensing 36
P.O. Box: 3141
Curacao

Switzerland

NBAD Private Bank (Suisse) SA
Telephone: +41 22 7075000
Telefax: +41 22 7075010
Address: Quai de l'lle 5, P.O. Box: 5055,
CH-1211 Geneva 11, Switzerland

Jersey Channel Islands

NBAD Trust Company (Jersey) Limited
Telephone: +44 1534 609000
Telefax: +44 1534 6093333
Address: C/O Mourant Private Wealth,
22 Grenville Street, St. Helier, Jersey JE4 8PX,
P.O. Box: 87, Jersey, Channel Islands

Malaysia

National Bank of Abu Dhabi Malaysia Berhad
Tel: +603 2330 3800 (General)
Telefax: +603 2330 3801 (General)
SWIFT: NBADMYKL
Address: Level 28, Menara Maxis,
Kuala Lumpur City Centre,
50088 Kuala Lumpur

United Arab Emirates

Abu Dhabi National Leasing LLC
Telephone: +971 2 6111629
Telefax: +971 2 6269111
P.O. Box: 4
Address: One NBAD Tower,
Sheikh Khalifa Street, Abu Dhabi,
United Arab Emirates

Abu Dhabi National Islamic Finance Company
Telephone: +971 2 4104444
Telefax: +971 2 6222597
Address: P.O. Box 40057, Abu Dhabi,
United Arab Emirates

NBAD Securities LLC
Telephone: +971 2 6161600
Telefax: +971 2 6273285
P.O. Box: 28400, Abu Dhabi,
United Arab Emirates

Abu Dhabi National Properties PrJC
Telephone: +971 2 6594888
Telefax: +971 2 6355382
P.O. Box: 3520
Address: Muroor Street, Opposite Madinat Zayed
Shopping Centre, Abu Dhabi,
United Arab Emirates

NBAD Investment Management (DIFC) Limited
Telephone: +971 4 7058520
Telefax: +971 4 7058521
P.O. Box: 506659
Address: Gate Village 1, DIFC, Dubai,
United Arab Emirates